

# AMANA TAKAFUL PLC



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At Amana Takaful Insurance, protecting customer interests is at the heart of our mission. Going beyond the traditional sense of insurance, we have incorporated competitive and comprehensive benefits that provide exceptional protection. Protecting and uplifting 'Every Sri Lankan as One', we have made it our goal to be a true partner with tailored solutions that mirror the needs of each individual and organisation we serve.

Staying true to our promise of dependable protection, we continued to provide reliable coverage with integrity, transparency and respect. We are proud to have nurtured truly rewarding relationships with our stakeholders in the past year, as we worked closely with customers and remained responsive to stakeholder needs.

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## CHAIRMAN'S MESSAGE - 14

"During the year under review, we focused on the diversity of our employees by recruiting a talented and diverse team. This diversity focus is something we carried onto our engagement approach to customers."



## CHIEF EXECUTIVE OFFICER'S REVIEW - 16

"Maintaining the momentum achieved during the previous year, we concentrated our efforts on growing agency-based distribution channels while our sales force tripled their efforts to engage customers in an effective manner."



## VISION

"Committed to providing peace of mind through  
World Class Insurance solutions"



## MISSION

"We will stand apart from the rest by engaging all  
stakeholders, crafting unique insurance solutions,  
in a spirit of mutuality and solidarity"



## VALUES

### **CUSTOMER CENTERED:**

Interaction with Customers. We listen to our customers and go the  
Extra mile to serve them

### **OPEN MINDEDNESS:**

Changing the status quo, seeking new ideas. We foster a culture where  
ideas and opinions are shared freely

### **RISE FOR QUALITY:**

A culture of continuous improvement. We are driven to give all  
stakeholders a quality service

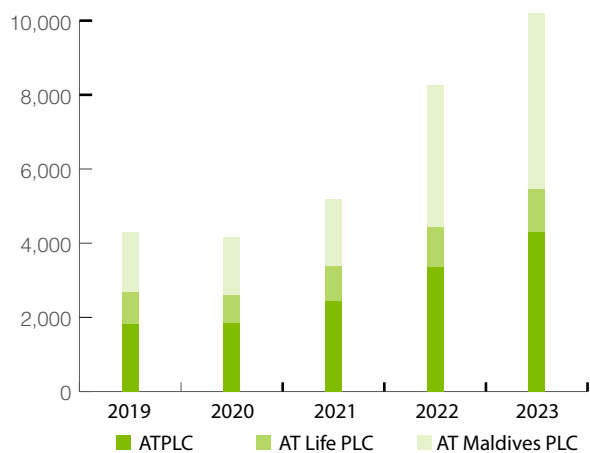
### **DIVERSITY:**

Our soul and spirit To every Sri Lankan as one

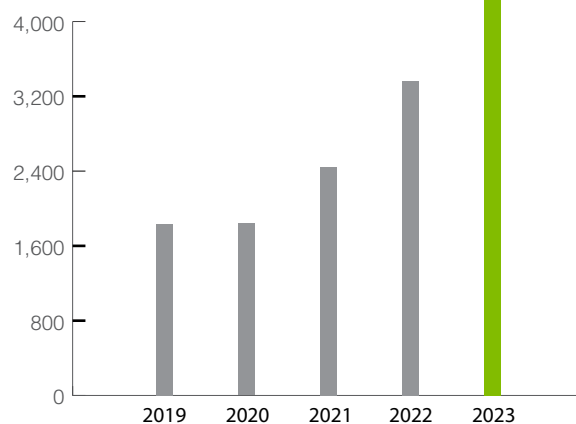
# PERFORMANCE HIGHLIGHTS

|                                       | 2023<br>Rs. Mn | 2022<br>Rs. Mn | Growth    |
|---------------------------------------|----------------|----------------|-----------|
| <b>Group</b>                          |                |                |           |
| Total Gross Written Premium           | 10,208         | 8,251          | 23.72%    |
| Profit/(Loss) after tax               | 151            | 487            | (68.94%)  |
| Weighted Average Earnings per Share   | (0.05)         | 1.66           | (102.95%) |
| Diluted Earning per Share             | (0.04)         | 1.21           | (103.34)  |
| Total Assets                          | 15,685         | 12,707         | 23.43%    |
| Net Assets value per share (Rs.)      | 25.40          | 23.50          | 8.11%     |
| Return on Equity                      | 0.0293         | 0.12           | (74.61%)  |
| <b>General Takaful</b>                |                |                |           |
| Gross Written Premium                 | 9,058          | 7,199          | 25.81%    |
| Net Earned Premium                    | 6,250          | 4,781          | 30.73%    |
| <b>Life (Family) Takaful</b>          |                |                |           |
| Gross Written Premium                 | 1,151          | 1,061          | 8.47%     |
| Life Fund - FTF                       | 304            | 357            | (14.67%)  |
| Life Fund - Unit Link                 | 2,970          | 2,474          | 20.08%    |
| Total Life (Family Takaful) Fund      | 3,275          | 2,830          | 15.71%    |
| <b>Company</b>                        |                |                |           |
| Profit/(Loss) After Tax               | (14)           | 295            | (104.71%) |
| Weighted Average Earnings per Share   | (0.07)         | 1.64           | (104.16%) |
| Diluted Earning per Share             | (0.06)         | 1.19           | (104.71%) |
| Net Assets value per share (Rs.)      | 16             | 15.27          | 4.796%    |
| Return on Equity                      | (0.0043)       | 0.1072         | (103.97%) |
| No of Employees                       | 483            | 407            | 18.67%    |
| No of Branches / Distribution Centres | 31             | 30             | 3.33%     |
| <b>General Takaful</b>                |                |                |           |
| Gross Written Premium                 | 4,298          | 3,359          | 27.959%   |
| Net Earned Premium                    | 2,618          | 2,065          | 26.794%   |

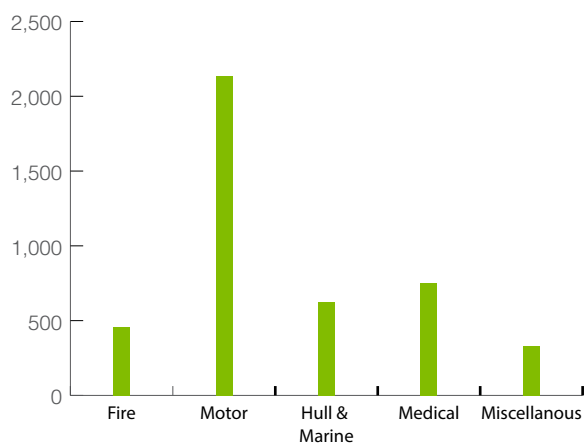
**Group - Gross Written Premium  
(Rs. Mn)**



**Company - Gross Written Premium  
(Rs. Mn)**



**Motor & Non-Motor Mix in GWP  
No.**



# PRODUCT PORTFOLIO



## MOTOR

|                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Private Car           | Experience the ultimate convenience with Takaful Total Drive insurance, offering user-friendly options to streamline your claims process. Whether online, through our mobile app, or via customer service, we prioritize your preferences for a hassle-free experience, putting you first with straightforward solutions for a simplified claims journey.                                                                                                          |
| Private Car- Prestige | Explore Total Drive – Prestige, tailored motor insurance for luxury vehicles valued at Rs. 15 Million and above. Elevate your coverage and drive with confidence.                                                                                                                                                                                                                                                                                                  |
| Commercial Vehicle    | Explore Amana Takaful's Commercial Vehicle insurance—crafted for a diverse range, including Dual Purpose Vehicles, Lorries, Quadricycles, Tractors, and Trailers. Tailored for both private and hiring usages, our comprehensive coverage addresses unique challenges for businesses and individuals. Whether you operate a fleet or use vehicles personally, our flexible and inclusive insurance ensures precise protection, offering peace of mind on the road. |
| Three Wheeler         | Amana Takaful's TukTuk insurance is designed for Three Wheelers, providing comprehensive coverage for natural perils, riot & strike, third-party property damage, and personal emergencies. The 'TukTuk Full' scheme goes further, offering extensive personal coverage, recognizing and addressing the daily challenges faced by 3 Wheel drivers, ensuring uninterrupted income flow during adversity.                                                            |
| Motor cycle           | With coverage for critical illnesses, funeral expenses, disability, death, and hospitalization allowances, 'Smart Rider Cover' serves as a robust shield against various eventualities, ensuring a comprehensive safety net for policyholders.                                                                                                                                                                                                                     |

# MEDICAL



|               |                                                                                                                                                                                                                                                                                                                                                               |
|---------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Hale & Hearty | Discover peace of mind with Amana Takaful's Hale and Hearty Medical Takaful. In a world where timely healthcare is a luxury, our comprehensive coverage acts as a crucial support system during unexpected health challenges. Tailored for every stage of life, from day one to beyond 73 years, Hale and Hearty is the essential solution for every citizen. |
| Suwasiri      | While free healthcare is available in Sri Lanka, the limitations of government hospitals and the financial constraints of private nursing homes can be challenging. Suwasiri offers an optimal solution with a coverage of Rs. 100,000/- for just Rs. 2,222/- per year, ensuring accessible and affordable healthcare for everyone.                           |
| Kruthaguna    | Explore KRUTHAGUNA, an exclusive health cover crafted for individuals aged 55 and above. As the only company addressing the medical concerns of senior citizens, our distinctive feature ensures coverage for pre-existing ailments after the 1st renewal, providing reassurance even for those with existing conditions.                                     |
| Crystalline   | Amana Takaful's Crystalline policy is a tailored fit for women's unique health concerns. From critical illnesses to aging challenges, this policy ensures you have the support you need, providing peace of mind as you navigate the ups and downs of womanhood. Care for your loved ones, while we've got your back.                                         |
| Young Minds   | Experience peace of mind with Hale and Hearty Young Minds Medical Insurance—an ideal solution for parents who cherish their children's health. Tailor-made for children aged Day 1 to 18 years, this insurance offers a range of attractive benefits, ensuring your child's well-being during hospitalization.                                                |

## PRODUCT PORTFOLIO



### MY HOME

#### My Home

Welcome to “My Home,” where absolute insurance coverage meets your home’s needs. Safeguard against burglary, fire, and natural disasters with added benefits like personal accident covers for your family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/credit cards, alternative accommodation, and more. Ensure comprehensive protection for your home with “My Home” insurance.

### TRAVEL



#### Travel Pal

Discover worry-free adventures with Amana Takaful Travel Pal Insurance—the ultimate companion for your journeys abroad! From personal accidents to lost luggage, flight delays, and more, Travel Pal has you covered. Embark on your travels with peace of mind, knowing we’ve got your back. Make every moment count with Travel Pal Travel Insurance!

## BUSINESS



|                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|----------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Commercial Fire      | Amana Takaful Fire Insurance is an unwavering safeguard against a spectrum of risks, from fire to natural disasters. Our comprehensive coverage extends to water damage from firefighting and explosion-triggered damage. This insurance acts as a financial safety net for your property and possessions, providing reassurance and peace of mind. Choose Amana Takaful Fire Insurance for reliable support in times of need, ensuring a resilient financial safety net for your recovery.                                                                                                                                                                                                                               |
| Personal Accident    | Discover peace of mind with Amana Takaful Personal Accident Insurance—a crucial form of coverage providing financial security in the wake of unforeseen accidents. Crafted to extend support during challenging times, this insurance safeguards individuals and their beneficiaries, offering relief for accidental death, permanent disablement, and temporary disablement. Act with confidence, knowing that this insurance serves as a reliable safety net, alleviating financial burdens when needed most.                                                                                                                                                                                                           |
| Electronic Equipment | Electronic All Risk Insurance is a robust policy offering extensive coverage for electronic equipment, shielding against a myriad of risks and perils. Tailored for businesses and individuals reliant on electronic assets, it provides comprehensive defense against financial losses due to accidental damage, breakdowns, and unforeseen events. Particularly beneficial for sectors like IT firms, manufacturing units, medical facilities, and research laboratories, this insurance ensures a protective barrier, allowing confident navigation through potential setbacks. It serves as a safeguarding tool designed to preserve financial stability amid the unpredictable nature of electronic equipment usage. |
| Public Liability     | Public Liability Insurance is an essential shield for individuals and businesses facing potential financial losses from third-party claims. Especially vital for those engaging with the public or hosting visitors, this insurance serves as a bulwark against legal liabilities arising from accidents or incidents involving third parties. Offering comprehensive coverage, it empowers businesses to manage risks effectively, ensuring a secure operational environment without succumbing to the burden of legal costs and compensation claims. It's a strategic risk-management tool for businesses and individuals interacting with the public.                                                                  |
| Workmen compensation | Amana Takaful Workmen's Compensation Insurance is a crucial safety net providing financial protection to employees facing work-related injuries or illnesses. In the unfortunate event of workplace incidents, employees receive essential medical care and financial support for their recovery, simultaneously shielding employers from potential legal actions. This coverage demonstrates employers' commitment to workforce welfare and fulfills legal obligations, ensuring a fair and comprehensive support system in accordance with the Workmen's Compensation Ordinance and subsequent amendments or common law.                                                                                                |
| Business cover       | Amana Takaful Business Cover is your comprehensive shield for business, employees, and financial well-being. Beyond ordinary coverage, it ensures Income continuity in case of property destruction, offering financial support and addressing financial commitments. With a forward-thinking approach, it considers relocation expenses, providing a holistic solution for robust business protection in today's dynamic landscape.                                                                                                                                                                                                                                                                                      |
| Money                | Money Insurance is a comprehensive protection for the loss or damage of money in transit or securely stored. This specialized coverage goes beyond the standard, including money in drawers, safes, or strong rooms. Safeguard your financial assets at every step, ensuring protection against unforeseen events like theft or damage, whether in transit or on your premises. Covering dynamic movements and secure confinement, this insurance ensures your money is shielded in various scenarios.                                                                                                                                                                                                                    |
| Burglary             | Discover peace of mind with Amana Takaful's Burglary Insurance—an essential financial safety net providing compensation for losses due to burglary or hold-ups. This comprehensive coverage ensures protection and financial support, going beyond compensation to offer assurance that your valuable possessions are safeguarded. Whether it's contents within your premises or the impact of a hold-up, our insurance is designed to ease the financial burden and provide a sense of security, allowing you to navigate unexpected challenges with confidence. Choose Amana Takaful for reliable protection against the unexpected.                                                                                    |

## PRODUCT PORTFOLIO



# MARINE

### Easy marine

Explore Amana Takaful's comprehensive Marine Takaful—an insurance designed for the unique risks of marine activities and goods transportation by sea. This coverage safeguards against physical loss or damage to ships, cargo, terminals, and all modes of transport. With a commitment to fairness and transparency, Amana Takaful ensures that the coverage aligns with Islamic financial principles, meeting the specific needs of marine activities.

# AWARDS

|                                                                  |                                                                                                                                                                                                                                                                                                                                                                   |
|------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. CPM Award                                                     | <ul style="list-style-type: none"> <li>• Best Management Practices Company Awards - Category Winner in the Insurance Category</li> </ul>                                                                                                                                                                                                                          |
| 2. LMD Most Awarded                                              | <ul style="list-style-type: none"> <li>• 5th Most awarded company in Sri Lanka</li> <li>• 2nd Most awarded company in the Insurance Category</li> </ul>                                                                                                                                                                                                           |
| 3. The Global Economic Awards 2023                               | <ul style="list-style-type: none"> <li>• Fastest Growing General Insurance Company (Takaful ) – Sri Lanka 2023</li> </ul>                                                                                                                                                                                                                                         |
| 4. Finance Derivative Awards                                     | <ul style="list-style-type: none"> <li>• Fastest Growing Insurance Company Sri Lanka 2023</li> <li>• Most People-Friendly Insurance Company Sri Lanka 2023</li> </ul>                                                                                                                                                                                             |
| 5. Global Business Magazine Award Winner 2023                    | <ul style="list-style-type: none"> <li>• Most Innovative Insurance Company Sri Lanka 2023</li> <li>• Most Customer-Friendly Insurance Company Sri Lanka 2023</li> </ul>                                                                                                                                                                                           |
| 6. World Business Outlook Awards 2023                            | <ul style="list-style-type: none"> <li>• Fastest Growing Insurance Company in Sri Lanka 2023</li> <li>• Best General Insurance App Sri Lanka 2023</li> <li>• Best Life Insurance Product Sri Lanka 2023 (GOLD FUND)</li> </ul>                                                                                                                                    |
| 7. Global Banking & Finance Awards 2023                          | <ul style="list-style-type: none"> <li>• Insurance Technology Awards - Best General Insurance App Sri Lanka 2023</li> </ul>                                                                                                                                                                                                                                       |
| 8. Insurance Asia Awards 2023                                    | <ul style="list-style-type: none"> <li>• Mobile App of the Year - Sri Lanka</li> </ul>                                                                                                                                                                                                                                                                            |
| 9. Asia Prestige Award                                           | <ul style="list-style-type: none"> <li>• Insurance Company of the Year – Asia</li> </ul>                                                                                                                                                                                                                                                                          |
| 10. Brand and Business Magazine Awards 2023                      | <ul style="list-style-type: none"> <li>• Best General Insurance App Sri Lanka 2023</li> <li>• Best Life Insurance Product Sri Lanka 2023 (GOLD FUND)</li> <li>• Most people-friendly insurance company in Sri Lanka 2023</li> </ul>                                                                                                                               |
| 11. Global Business Review Magazine Award 2023                   | <ul style="list-style-type: none"> <li>• Best General Insurance App Sri Lanka 2023 - Amana Takaful Insurance</li> <li>• Best Life Insurance Product Sri Lanka 2023 - GOLD FUND</li> <li>• Best Takaful Insurance Provider - Sri Lanka 2023</li> <li>• Excellence In Innovation In Insurance Sri Lanka 2023 - Mobile App</li> </ul>                                |
| 12. Gazet International Annual Awards 2023                       | <ul style="list-style-type: none"> <li>• Best Life Insurance Product Sri Lanka 2023 - (GOLD FUND)</li> <li>• Excellence in Innovation in Insurance Sri Lanka 2023</li> </ul>                                                                                                                                                                                      |
| 13. Sri Lanka Islamic Banking & Finance Industry Awards (SLIBFI) | <ul style="list-style-type: none"> <li>• Brand of the Year – Gold Award</li> <li>• Takaful Entity of the Year – Gold Award</li> <li>• Entity of the Year – Silver Award</li> </ul>                                                                                                                                                                                |
| 14. World Economic Magazine Awards 2023                          | <ul style="list-style-type: none"> <li>• Best Life Insurance Product (GOLD FUND) Sri Lanka 2023</li> <li>• Best General Insurance App Sri Lanka 2023</li> </ul>                                                                                                                                                                                                   |
| 15. Asian Technology Excellence Awards 2023                      | <ul style="list-style-type: none"> <li>• Sri Lanka Technology Excellence Award for Mobile - General Insurance</li> </ul>                                                                                                                                                                                                                                          |
| 16. Brands Review Magazine Award Winner 2023                     | <ul style="list-style-type: none"> <li>• Visionary Leadership Excellence Award - CEO Mr. Shehan Feisal - Amana Takaful 31.General Insurance Sri Lanka 2023</li> <li>• Best Customer Centric Insurance Company Sri Lanka 2023</li> <li>• Best Takaful Company (Life) Sri Lanka 2023</li> <li>• Most Innovative General Insurance Company Sri Lanka 2023</li> </ul> |
| 17. IFFSA Awards                                                 | <ul style="list-style-type: none"> <li>• Takaful Entity of the Year – GOLD</li> <li>• Entity of the Year - Silver</li> </ul>                                                                                                                                                                                                                                      |
| 18. LMD Most Respected Entities                                  |                                                                                                                                                                                                                                                                                                                                                                   |





**LEADERSHIP**

# CHAIRMAN'S MESSAGE

In navigating the turbulent waters of the year 2023, Amana Takaful General pivoted our growth trajectory on a strategic impetus based on service excellence and human capital development. Much like the previous year, the year under review proved to be challenging. As such, we took the strategic decision to focus on medium-term growth through concentrated efforts on taking proactive measures to improve our services towards customers and adopted a sound people management approach to foster growth.

## OPERATING CONTEXT

While the country's economic downturn continued during the year, discussions with the IMF and recovery measures henceforth implemented gave rise to a slow yet steady trajectory of growth. Meanwhile, during the year under review the new tax policies combined with other economic woes, resulted in a decrease in disposable income in our customer base.

## COMPANY PERFORMANCE

While industry growth was lagged Amana Takaful General posted a GWP growth of 27.96%. The foundation that we laid through enhancing our services and relations with customers as well as our team, paved the way for Amana Takaful General to post a stable and commendable performance. During the year under review, we focused on the diversity of our employees by recruiting a talented and diverse team. This diversity focus is something we carried onto our engagement approach to customers. Mindful of the fact that our customer base is diverse with different perspectives and insurance needs, we customised insurance solutions to meet their requirements. This robust foundation allowed us to meet our medium-term growth targets whilst also laying the foundation for medium and long-term success.

Meanwhile, our well-structured and knowledgeable risk committee laid the groundwork to meticulously create a risk framework to address each challenge on a going concern basis. This insight driven approach enabled Amana Takaful General to respond well to external risks and in turn usher in stability to improve stakeholders, in particular customer confidence.

## CORPORATE GOVERNANCE

Corporate Governance plays an important role in establishing trust among our stakeholders by providing transparency, accountability and integrity. During the year under review, we restructured our Board of Directors and relevant committees to meet the statutory requirements. The Company strictly adheres to the regulatory standards stipulated under corporate governance by the Insurance Regulatory Commission of Sri Lanka and complies with the strict criteria defined for all insurance companies as of 30th June 2021. In addition, we have established a well-defined and clear set of guidelines within the Company to create a culture of answerability and transparency across all levels of the organisation. Meanwhile, Amana Takaful General comply with all the necessary and relevant rules and regulations for the industry in relation to Anti Money Laundering laws of the country as well as the CSE rules and regulations as a listed Company. This strong and steadfast corporate governance approach contributes to the overall value of the Company, which in turn earns stakeholder confidence.

## FUTURE OUTLOOK

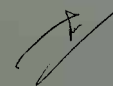
We expect the economic challenges, in particular the initial impact of recovery measures to create a challenging external environment. Until such time, the financial markets stabilize and economic activities pick up pace, our customer base will experience a decrease in disposable income. However, even though insurance is not a statutory requirement yet in Sri Lanka, it has become a necessity. The market trends as well as the changing needs of the country's population have made insurance a necessary service. As

such, we expect our solid brand reputation, consistently improving service excellence as well as innovative insurance products will contribute to helping us proceed undaunted on an upward growth trajectory.

Moreover, we will further improve our digitalization targets to cater to the new generation of digitally reliant customers.

## ACKNOWLEDGEMENT

The year 2023 called upon our innate resilience, commitment, risk response and the ability to maintain operational integrity amidst challenges. Navigating this environment was a team effort and we could not have succeeded without the perseverance of our team. I am grateful to the Board of Directors for their insightful guidance and leadership. I wish to express my gratitude to our management team and employees for remaining strong and dedicated to their tasks during this time. I am also thankful to our shareholders and business partners for their steadfast support and confidence in Amana Takaful General. I would also like to thank our loyal customers for standing by us and continuing to place their trust in our services. Let us persevere together to seek lasting value.



Zulficar Ghouse  
Chairman  
15 May 2024  
Colombo

**During the year under review, we focused on the diversity of our employees by recruiting a talented and diverse team. This diversity focus is something we carried onto our engagement approach to customers.**



**Our well-structured and knowledgeable risk committee laid the groundwork to meticulously create a risk framework to address each challenge on a going concern basis.**

# CHIEF EXECUTIVE OFFICER'S REVIEW

The year 2023 posed numerous challenges as the economic crisis was slow to progress on the path of recovery. While the discussions with and subsequent assistance from the IMF eased some of the pressure, the economic downturn continued to negatively impact growth. The vehicle import ban that continued dampened our growth prospects while the economic downturn negatively impacted our customers' disposable income, which in turn created difficulties in even necessary investment insurance products. Nevertheless, Amana Takaful General succeeded in achieving growth targets by employing a gamut of market sensitive responses. As such, we were able to carefully navigate the less than helpful external environment and maintain our growth momentum at a desirable level to reach our strategic growth targets set for the year 2025.

## COMPANY PERFORMANCE

During the year under review, Amana Takaful General registered a GWP growth of 27.96%. While this growth was marginally less than the growth recorded at the end of the previous financial year, it was a commendable performance given the external challenges. The company & Group total asset stood at Rs. 6.38 Bn (Company) & as 15.68 (Group).

Our strategic market response was imperative to our growth as well as the stability of our financial position. During the year under review, while we stood steadfastly by our planned growth approach, we responded to each challenge that the external environment created with pragmatism. Our sales force strived hard to maintain engaging and transparent relations with customers. Meanwhile, we also increased our focus on customer service excellence to further improve our relationships with our customer base. Amana Takaful General's stakeholder engagement process went beyond customer rapport building to engage business partners including financial companies and brokers. This robust stakeholder engagement process allowed us to build a robust foundation for future growth. We invested heavily in safeguarding the interests of our employees through training and development as well as fair remuneration.

One of the vital tools in our strategic approach for the year was our focus on customising generic insurance products to match the evolving needs of each customer. This approach further enhanced our relations with customers and improved brand value.

Amana Takaful General persevered in line with the three-year growth plan, while also addressing each bottleneck or challenge appropriately without losing our long-term vision.

In 2023 the Company performance was hindered due to inflation in motor spare parts, increase in labour cost due to overall inflation in the economy. However, the Company strives to achieve the Rs 5Bn mark in 2024.

Further in 2023, we had to brace ourselves for the impact of motor SRCC/TC impact by way of pricing changes.

Later part of 2023 saw economy stabilizing with tourism & worker remittances picking up and the Rupee stabilizing and improving against the dollar. We are expecting 2024 for the economy to recover further and an year of election which we eagerly look forward to.

## DIGITALIZATION FOR FUTURE GROWTH

Maintaining the momentum from the previous financial year, Amana Takaful General continued our digitalization drive during the year under review. As our medical app attracted a large number of users, we upgraded the application and incorporated user-friendly features. The medical app allows users to make payments and claim benefits, thus saving them time and energy spent on paperwork. In the meantime, we relied on internal training to improve our employees' technology savviness and enhanced backend technologies to solidify our commitment to digitalization in preparation for the more digital focused future.

## FUTURE PROSPECTS

While we find the economic recovery efforts hopeful, we remain conscious of the potential pitfalls in a turbulent global and local backdrop. We will rely on timely risk analysis and management as well as our sound stakeholder management framework to continue on the path of growth. Amana Takaful General aims to surpass the Rs 5 Bn mark in terms of financial value by 2025. We are confident that our current progress and innate ability to manage external circumstances will allow us to reach beyond this target and create sustainable and long-term value for all stakeholders.

**Our strategic market response was imperative to our growth as well as the stability of our financial position. During the year under review, while we stood steadfastly by our planned growth approach, we responded to each challenge that the external environment created with pragmatism.**



**Amana Takaful General persevered in line with the three-year growth plan, while also addressing each bottleneck or challenge appropriately without losing our long-term vision.**

## APPRECIATION

As we conclude yet another challenging year, I wish to express my sincere gratitude to the able and inspirational leadership of the Director Board for their visionary guidance during the year. I am grateful to our senior management and employees for their professionalism, commitment and admirable work ethics. The Sharia Advisory council provided ample support throughout the year. I am sincerely grateful for their unwavering support. I also wish to express my sincere appreciation to Insurance Regulators and our Reinsurance partners, especially our lead reinsurers – Swiss Re and the NITF. I am also thankful to our shareholders and customers for their trust in our inherent capabilities. We will continue to seek lasting growth in the future and create value for all stakeholders.

Shehan Feisal  
Chief Executive Officer  
31 March 2024  
Colombo

# MANAGING DIRECTOR'S REVIEW

Resilience, forethought and pragmatic responses to the crisis situation were the cornerstones of strength that we relied on in 2023, as Amana Takaful general sought to seek sustainable growth. As the country began to slowly recover from the financial crisis in 2023 through adopting timely financial policy strategies, the economic challenges continued to impact the insurance industry as our customers' disposable income decreased. However, our focus on medium-term success and straightforward concentration on business and operational targets, allowed Amana Takaful General to perform well and lay the foundation for medium-term growth in line with our aspirations.

## OPERATING ENVIRONMENT

Sri Lanka's economy began to recover from the slump with the assistance of the IMF as well as relevant changes in financial policies during the second half of the year under review. Improved earnings from the tourism sector and worker remittances along with other foreign inflows supported the appreciation of the Sri Lankan Rupee (LKR). However, the easing of import restrictions in the latter half of 2023 negatively impacted the LKR's appreciation.

In this backdrop, the insurance industry was at a standstill in 2023 as both motor and medical segments lagged behind in terms of growth. Increased taxation and economic challenges decreased the disposable income of customers as well as the target audience. Nevertheless, the non-motor segment showed a significant growth of over 10% YoY.

On the investment front, the insurance industry veered towards investing in Fixed Deposits and Government Securities during the first half of the year, in response to the high interest rates. Equity too indicated a marginal growth momentum, while unit trust investments lagged behind slightly.

## OUR STRATEGIC FOCUS

In spite of the less than desirable external environment, our strategic focus allowed the Company to face challenges in a timely manner and remain true to growth targets.

Amana Takaful PLC showed a commendable GWP growth of 27.96% YoY, recording Rs. 4.3 Bn for 2023. Nevertheless, the company recorded a staggering Rs. 2.0 Bn in Insurance Claims for the year, a 43% YoY increase. With the high interest atmosphere in the first half of 2023, the Company managed to record a 80% YoY increase in investment income in 2023. In spite of the challenges faced in 2023, the Company is confident of achieving the goal of Rs. 5 Bn of GWP in 2024.

Maintaining the momentum achieved during the previous year, we concentrated our efforts on growing agency-based distribution channels while our sales force tripled their efforts to engage customers in an effective manner. In this context, stakeholder management was of paramount importance. During the year under review, we reinforced our stakeholder management approach to involve a purposeful, impactful and engaging framework that nurtures relations with all relevant entities.

Meanwhile, we improved our human capital management efforts to create a workforce that functions from a growth-conducive mindset. Our human capital management strategies included timely training and development to improve service excellence on behalf of our customers.

We also upgraded our prudent risk management strategy to meet the evolving challenges of the market. Mindful of the

fact that digitalization plays an important role in the insurance industry's growth, we increased our focus on digitalization to cater to our customers' needs. As a result, Amana Takaful General posted a commendable GWP growth of 27.96%, in spite of an extremely challenging economic backdrop.

## FUTURE OUTLOOK

Sri Lanka's economy will continue to go through a turbulent time on the path to recovery. The expected gradual easing of the regulations on vehicle imports will trigger a further depreciation of the Rupee. The political outlook for Sri Lanka remains uncertain in view of the upcoming Presidential and General elections. The elections are expected to be held in the second half of the year, however, one of the two could possibly shift to 2025. As general Public's Perception of the current regime has weakened largely on the back of unpopular reforms such as VAT hikes other tax increases electricity tariff hikes etc. There is a possibility of change in administration with no favourite candidate in view.

Nevertheless, Sri Lanka's economy will see a phase of recovery in 2024, following two consecutive years of contraction, albeit below expectations in view of severely damaged political infrastructure. Over the next three years, the Gross Domestic Product (GDP) is expected to grow by 2- 3% YoY. Inflation is expected to hover at around 7% in 2024 with the revised VAT Rate and the removal of 97 items from the VAT exempted list. Lower interest rates are expected to continue in the short run and thereby boost economic optimism and strengthen credit growth.

**Amana Takaful PLC showed a commendable GWP growth of 28% YoY, recording Rs. 4.3 Bn for 2023. Corresponding to the growth, the Company's acquisition cost too recorded an increase of 28% for the year.**



**Maintaining the momentum achieved during the previous year, we concentrated our efforts on growing agency-based distribution channels while our sales force tripled their efforts to engage customers in an effective manner.**

Meanwhile, Amana Takaful's resilient efforts to remain stable financially alongside the focus on operational growth, place us in an advantageous position to pursue robust growth objectives. While we expect numerous economic and social challenges to pose a threat to our growth, we remain confident of our ability to respond to them in a pragmatic manner. We will continue to remain true to our goals and aspirations to create value for all stakeholders.

## ACKNOWLEDGEMENT

The year 2023 was once again a challenging period in view of the economic crisis and subsequent policy reforms that impacted household income. Our success during such a challenging period is the result of a unified front that tackled problems in a far-seeing manner. I am grateful to the Board of Directors for their able guidance. I am also grateful to our senior management team and employees for the way in which they managed tough situations and continued to perform their duties with exceptional commitment. I am also thankful to the Shari'ah Advisory Council for their guidance. I wish to express my gratitude to our reinsurance partners and the Insurance Regulator for their irreplaceable contribution to our growth. I am also thankful to our shareholders and customers for their trust in our capacity to manage external pressure and create value. Let us continue to forge ahead together to achieve lasting success.

A handwritten signature in black ink, appearing to read 'Hassan Kassim'.

Hassan Kassim  
Managing Director  
15 May 2024  
Colombo

# BOARD OF DIRECTORS



**M ZULFICAR GHOUSE**  
CHAIRMAN/INDEPENDENT  
NON-EXECUTIVE DIRECTOR

Zulficar Ghouse, a Fellow Member of the Chartered Accountant - Sri Lanka and trained at KPMG and also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka. Since 2009, functioning as the Managing Director of Expack Corrugated Carton Plc, a leading Corrugated Carton Manufacturer. He also a Director Aberdeen Holdings Pvt Ltd & Denshun Industries Pvt Previously was employed as Director/CEO of Asiabike Industrial Limited, a BOI approved company is the pioneer in the manufacture of bicycles in Sri Lanka.

Zulficar has extensive experience in private sector organisations local and overseas. His previous appointments were as Director / CEO of Colombo Land and Development Co Limited and prior to that he was Managing Director of iOM Lanka (Pvt) Limited and as Country Manager of iOM Philippines In which was subsidiary of Royal Clicks Limited, a company listed on the Singapore Stock Exchange. He was also employed as Group Financial Controller of the Expolanka Group. Was Independent Director at Vidullanka from 2007 to January 2019. Vidul Lanka PLC, Muvumbe Hydro (Uganda) Limited, Norfolk Foods Pvt Ltd, Vidul Engineering Pvt Ltd, Gurugoda Hydro Pvt Limited and Lower Kotmale Oya Hydro Pvt Ltd.



**M HASSAN SATTAR KASSIM**  
MANAGING DIRECTOR

Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/ Deputy Chairman at Aberdeen Holdings (Private) Limited and the Founder of Expo Commodities Global.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.

Hassan Kassim, was awarded the Young Leader Award at the 26th Asia Insurance Industry Awards (AIIA) 2022. The achievement is an unprecedented feat for Amana Insurance and the Sri Lankan insurance industry as a whole, as Hassan is the only Sri Lankan to have won this Young Leader Award of Asia thus far. Furthermore, this was a rare occurrence, where a Sri Lankan company won an award in this forum after nearly 10 years, and the fact that this was achieved amidst an island wide economic crunch provides great reputational value to both Amana Insurance and Sri Lanka as a whole.



**E. DEEPTHE WICKRAMASURIYA**  
INDEPENDENT NON-EXECUTIVE DIRECTOR

Deepthie currently serves as an Independent Non-Executive Director and the Chairperson of the Audit Committee of Vidullanka PLC and Amana Takaful PLC & Amana Takaful Life PLC. She is also non executive director of Mercantile Investments and Finance PLC and an independent consultant mainly in the fields of business process management, treasury management and business counseling, at board / senior management levels. Counts over 35 years of corporate experience that ranges across many industries and countries including the United Kingdom, Singapore, India, Indonesia & the Fiji Islands. She is renowned for successfully leading special projects (locally & internationally) relating to organisational strategy, operations, finance, risk & governance. She has been a board member, advisor to the boards of many companies. She also held the post of Vice President of the Sri Lanka Army Medical Corps Seva Vanitha Unit from 2012 -2015. Deepthie is a Fellow Member of the Chartered Institute of Management Accountants (CIMA), UK, and holds an MBA from the University of Sri Jayewardenepura, Sri Lanka.



**SYED RIZWAN HUSSAIN**  
INDEPENDENT NON-EXECUTIVE DIRECTOR

Syed Rizwan Hussain is the Managing Director and CEO of Salaam Takaful Limited. A seasoned professional par excellence, possessing an immaculate experience of more than 30 years in a wide range of various leadership roles in local and foreign insurance enterprises, Mr. Rizwan's name is well known in the corporate world. From the initial responsibilities and successes in product innovation and business network accumulation, he reached towering heights of accomplishments through his exquisite style of work and was soon given the reigns of multiple departments quite early in his career.

He assumed the role of MD and CEO of Salaam Takaful Limited in the year 2018 and since day one, Mr. Rizwan, has kept his focus to grow, adapt and innovate within the industry, to define the future of insurance / takaful, deliver second-to-none experiences for customers, and help to build resilient communities with utmost transparency with zero compromise on corporate governance. His vision has always been to develop an organization which is the role model for the entire industry. Under his leadership, the company has seen astronomical growth from a Rs. 149 million company in 2017 to a Rs. 4 billion plus company in 2023, making it the largest general takaful operator in Pakistan.

Mr. Rizwan is quite famous for his advocacy of digital transformation, providing consumers with more than just mundane loss-protection based products. On his directives, the organization has taken big strides of transformation into a technologically advanced enterprise through heavy investments in IT and process automation, and opening of all digital doors, Salaam Takaful Limited is now known as the '1st Islamic Insurtech' of Pakistan. Leveraging on his in-depth industry experience and hands-on knowledge, he has always been keen on seeking new ways to further facilitate the public with state-of-the-art products, structural reforms, and sustenance of operational excellence throughout global takaful industry. It is his acumen which has enabled his team to indulge in product innovation with various unprecedented solutions developed and in development.

Mr. Rizwan graduated with a Master of Business Administration and has many management and insurance industry related certificates, and is also a certified director. He also serves as Non-Executive Director on the Board of Amana Takaful Insurance, Sri Lanka.

<https://www.linkedin.com/in/rizwan-hussain-93532b4a/>



**PADMESH SAJJEWA  
WEERASEKERA**  
INDEPENDENT NON-EXECUTIVE DIRECTOR

Padmesh Weerasekera is a business strategist with over 28 years of experience specializing in the areas of corporate strategy, sales, marketing and sustainability. He has worked in a number of industries covering insurance, advertising, telecommunications, FMCG, automotive, banking, logistics, travel, hospitality, real estate operating locally and internationally. He is a Fellow of the Chartered Institute of Marketing, UK, Certified Management Accountant - CMA Australia and holds a MBA from the University of Wales, UK. He was the Chief executive officer at George Steuart Consumer and served in senior leadership capacities in the past at Expolanka Holdings PLC, Janashakthi Insurance and Bates Asia. He is a recipient of the Brand Leadership Award at the World Brand Congress in 2011, CMO Asia Award in 2012 and Asia's Best Marketer Award in 2016, CMO Asia, Singapore.

## BOARD OF DIRECTORS



**THILAN MANJITH WIJESINGHE**  
INDEPENDENT NON-EXECUTIVE DIRECTOR

Thilan Wijesinghe, a product of Ananda College, has three Bachelors' degrees in Industrial Engineering, Economics and Business from Cornell University and State University of New York, USA.

Thilan started his career at PWC as Senior Consultant and Sampath Bank as Head of Planning. In the early 1990s he cofounded Asia Capital PLC, which became Sri Lanka's largest investment bank at the time. In September 1995, Thilan was invited to become the youngest ever Chairman of the BOI and almost immediately sold his shareholding in Asia Capital. As its longest serving Chairman, Thilan pioneered PPP transactions in Sri Lanka when he set up the Bureau of Infrastructure Investments under the BOI in 1996. The incentive and policy environment created under Thilan's leadership resulted in several pioneering PPP investments, including Sri Lanka's first ever PPP port terminal (SAGT), first ever mini-hydro and thermal power plant, middle income housing (Millennium City, Athurugiriya and Nivasiya Pura, Ekala) and quadrupling of private hospital beds in Sri Lanka (Asiri Surgical, Lanka Hospitals, Ninewells, Kings etc).

Thilan has also headed Sri Lanka's two largest public listed real estate companies, Asian Hotels Properties PLC (owning company of the Cinnamon Grand and Lakeside) and directed the sale of this company to John Keells in 2003. He was also Group Managing Director of Overseas Realty Ceylon PLC, owning company of the WTC and Havelock City. Thilan quit the corporate world in 2010 to pursue entrepreneurial interests and co-founded several businesses such as the Ceylon Tea Trails resort (majority owned by Dilmah Tea), Wow.lk (sold to Dialog Axiata), and Sapphirus Lanka (highest value-added exporter of sapphire). He is currently Chairman/CEO of TWC, an investment bank Thilan founded in 2012. He is also Director of several other public and private companies.



**ABDULLAH OSMAN KASSIM**  
INDEPENDENT NON-EXECUTIVE DIRECTOR

Abdullah Kassim is a young business leader with over 15 years of experience in Senior Management, specializing in Business Process Re- Engineering, Mergers & Acquisitions, High-Level Strategy, and General Management. His experience spans several industries, including Environment Management, Sustainability, Financial Services & Insurance, among others. Abdullah is the Managing Director of Neptune Papers (Pvt) Ltd, Sri Lanka's Premier Resource Recovery, Environment Management, and Recycling Company with interests in the Paper, Fabric, and Plastic Recycling Spaces. His interests and passion in Environment Management led him to transform the company from a small recycler to the largest company in the country over a 10-year period.

Abdullah is also a Director of Aberdeen Holdings (Pvt) Ltd, a diversified conglomerate with operations spread across the world. He also serves as a Director at Expack Corrugated Cartons PLC, Amana Takaful (Maldives) PLC and at Platinum Advisors, a boutique investment bank headquartered in Singapore. Previously he played the role of Head of Business Development of Expolanka Holdings PLC and was part of the core team that floated the company in the Colombo Stock Exchange. Abdullah holds a First Class (Hons.) BBA from Staffordshire University, UK, and an M.Sc. in International Business & Management from Manchester Business School, University of Manchester, UK.

# SENIOR MANAGEMENT TEAM



**Shehan Feisal**  
*Chief Executive Officer*  
(Resigned w.e.f. 31.03.2024)



**Siva Karthigun**  
*Chief Executive Officer*  
[Appointed w.e.f. from 01st April 2024]



**Rinaz Niyas**  
*Head of Finance & Compliance*



**Farhan Jabir**  
*Head of Human Resources &  
Secretary to the Board*



**Rizvan Ahamed**  
*Senior Assistant General Manager –  
Non-Motor & Medical Claims/ Re-Takaful*



**Nalin Sakalasooriya**  
*Senior Assistant General Manager -  
Product Pricing & Digital Transformation*



**Noushad Cassim**  
*General Manager – Sales (Metropolitan)*



**Suresh Basnayake**  
*Chief Sales Officer (Enterprise)*



**Zakir Kanaka**  
*Assistant General Manager -  
Branch Sales Distribution*

## SENIOR MANAGEMENT TEAM



**Rajitha Obeysekera**  
*Head of Corporate Strategy*



**Malith Nanayakkara**  
*Head of General Underwriting*



**Sobitha Weerasekera**  
*Head of Information Technology*



**Shaheer Rasooldeen**  
*Assistant General Manager - Operations  
(Business Processes) & Relationship  
Management*

# OTHER CORPORATE MANAGEMENT



**Janaka Wijayakumara**  
*Senior Regional Manager – Southern*



**M.F.M. Hismy**  
*Senior Regional Manager – Eastern*



**Suluki Kuthdoos**  
*Senior Regional Manager (Western I)*



**Luqman Nizamdeen**  
*Senior Regional Manager (Western II)*



**Kapila Rajapaksha**  
*Zonal Sales Manager - (Uva)*



**Thasleen Ammon**  
*Assistant General Manager - Corporate Sales*



**P.C. Wishwaka**  
*Head of Leasing & Banca*



**M. Ramakrishnan**  
*Manager – Retail Products*



**Thilak Nishantha**  
*Senior Manager - Human Resources & Branch Operations*



**Rushdi Zarook**  
*Senior Manager – Legal*



**Harindrani Bowatte**  
*Senior Manager - Motor Claims*



**Jawfer-Us Sadik**  
*Senior Manager - Re-Takaful*

## OTHER CORPORATE MANAGEMENT



**Chamara De Silva**  
*Senior Manager – Underwriting*



**Anura Shantha**  
*Senior Manager - Internal Audit*



**Nawaz Badurdeen**  
*Manager – Shariah Department*



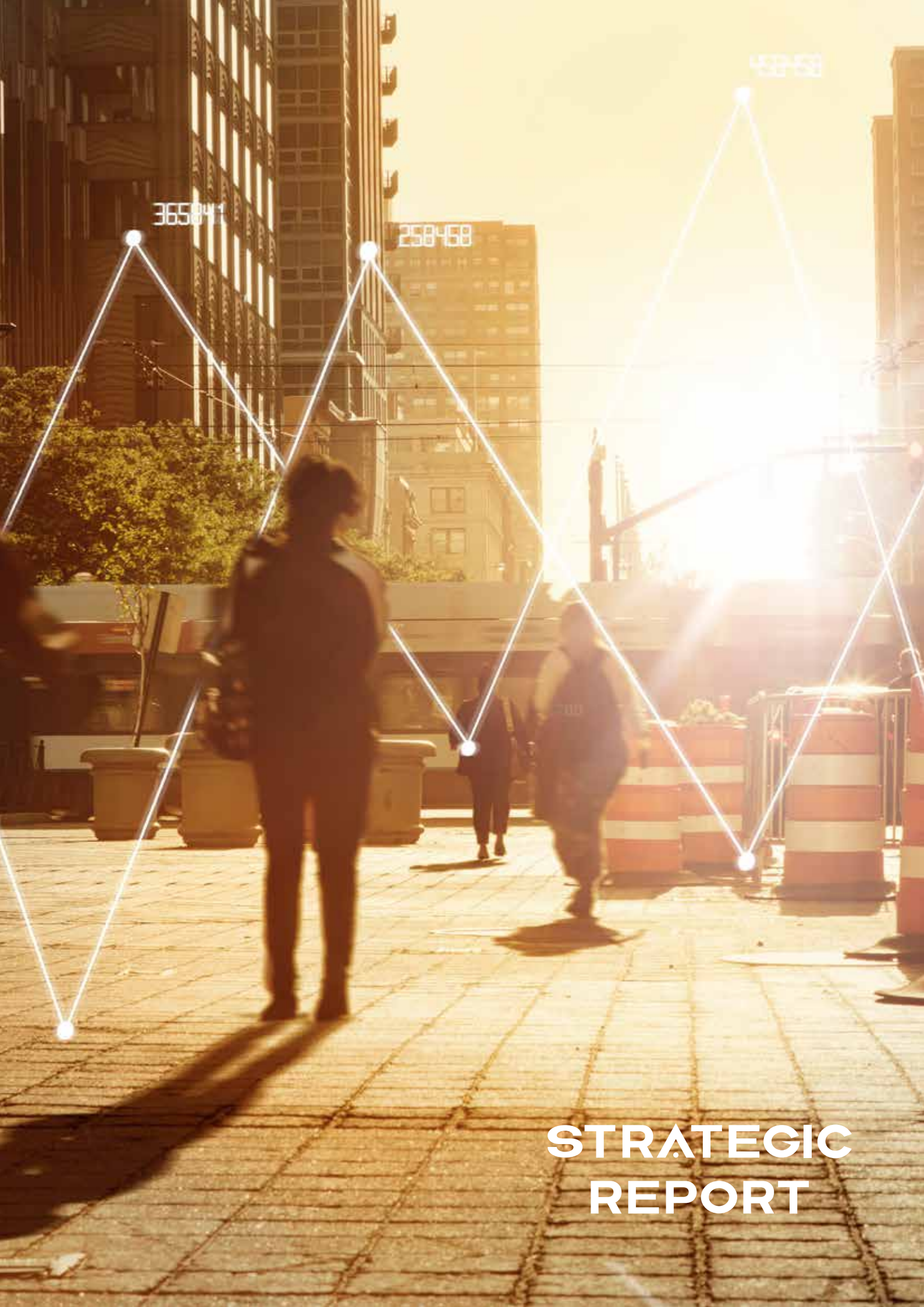
**Fazil Caffoor**  
*Manager – Medical Claims*



**Duminda Abeywickrama**  
*Chief Engineer*



**Tharindu Victor**  
*Manager Underwriting*



# STRATEGIC REPORT

# OPERATIONAL REVIEW

According to the World Bank's development update, Sri Lanka's economy declined by 7.8% in 2022 and subsequently 7.9% in the first half of 2023. A confluence of factors including decreasing private credit, input shortage as well as supply chain disruptions led to a critical decrease in activity in several sectors including construction, manufacturing, financial services and real estate. As a result, the economy took a further downturn, leading to a peak in Headline inflation (as measured by the Colombo consumer price index) at 69.8% in September 2022. Amidst financial difficulties, demand for goods weakened causing inflation to decline by 4 percent in August 2023. This deceleration decreased further the rise of food security and malnutrition amongst poorer households.

In an attempt to aid economic recovery, the Central Bank loosened monetary policies; cutting policy rates by 250 basis points by June 2023 and a further 200 basis points in July. As a result, the Standing Deposit Facility came down to 11% while the Standing Lending Facility went down to 12%. Meanwhile, in July 2023, the 91-day T-bill fell below 20% in July 2023 in line with increased transparency in domestic debt restructuring and policy rate cuts.

The Government's policy decisions to restrict imports combined with a further decline in import demands resulted in a reduction of the merchandise trade deficit by US\$1 billion between the period January and July 2023. The Government's efforts to attract remittance payments, the rise in tourism earnings, and the absence of large debt service payments led to easing foreign exchange liquidity pressure. This was in spite of the decline in export earnings as global demand fell. As a result, usable foreign reserves were at US\$2.4 billion by end-July 2023 (equivalent to 5-6 weeks of imports of goods and services).

Against this backdrop, the Sri Lankan Rupee appreciated by 11% between the period of January to August during the year under review.

While the country's economy shows signs of improvement, long-term recovery depends on the effectiveness of the debt restructuring programmes and stable structural reforms. The World Bank states that the macroeconomic adjustments necessary for economic recovery may initially highlight the country's poverty and inequality impacting vulnerable communities. However, the adjustments are

necessary to resolve imbalances and access international financial markets. While such changes can lead to sustainable growth, the Government needs to safeguard the needs of vulnerable communities through various well-structured programmes.

(Source: Sri Lanka Development Update 2023 – World Bank Report)

## THE GENERAL INSURANCE SECTOR PERFORMANCE

Ongoing restrictions on vehicle imports which resulted in no new registrations of vehicles along with the decline in the public's disposable income led to a challenging external environment for the insurance industry as a whole. The Gross Written Premium of the general insurance sector grew by 7.2% during the first half of the year 2023, driven by policy repricing in tandem with increasing price levels. According to the Central Bank, insurance penetration in Sri Lanka was a marginal 1.2% as at the end of the first two quarters of 2023.

Asset growth in the general insurance sector lagged behind that of long-term insurance at 9.3% by the second quarter of the year under review. This was due to the fact that the general insurance sector invested in Government securities as well as corporate debt compared to the long-term insurance sector.

During the year under review, claims in the insurance sector were high, mainly due to the increase in repair costs in motor insurance. Claims made by motor, fire, marine and other insurance sub-sectors in general insurance were 3.5%, 68%, 10.4% and 38.5% respectively.

While the long-term insurance sector benefitted from higher investments, profitability in the general insurance sector was low. Meanwhile, the Combined Operating Ratio for general insurance was 111.7% as at the second quarter of the year.

In the general insurance sector, the liquidity ratio improved to 0.88 by the end of the second quarter in comparison to the corresponding period during the previous financial year.

A Central Bank report revealed that the capital position of the general insurance sector declined in comparison to that of the long-term insurance sector. The capital

adequacy ratio of the general insurance sector dropped to 192% as at the end of the second quarter of the year from 223 in 2022.

Moving forward, the insurance sector needs to strengthen the capital adequacy ratio to face challenges including economic shocks.

(Sources: Central Bank Financial Stability Review/ Report of the Insurance Regulatory Commission)

## COMPANY PERFORMANCE

While fewer investments in government securities and corporate debt negatively impacted the profitability of Amana General, the Company's concentrated efforts in business growth paid off in stabilizing profitability in spite of the weak external environment. Amana General's GWP for the year stood at 4.298 Mn indicating a growth of 27.96% year on year. The Company's profit after tax stood at Rs. 1.2 Mn as at the end of the financial year.

Amana General sought to pursue success through placing concentrated efforts on service excellence, sales force development and digitalization. During the year under review, the Company upgraded the medical app and laid the foundation for further improvements in the digital front.

In response to market and economic pressure, we invested in stakeholder engagement and looked to offer customers customized insurance solutions based on individual and entity needs.

In the meantime, Amana General took concrete measure to develop employees, and provide them a safe environment to seek career growth and contribute to the Company's long-term growth plans.

As such, we were able to steer forth steadily, navigating challenges in a market sensitive manner without losing sight of sustainable growth goals.

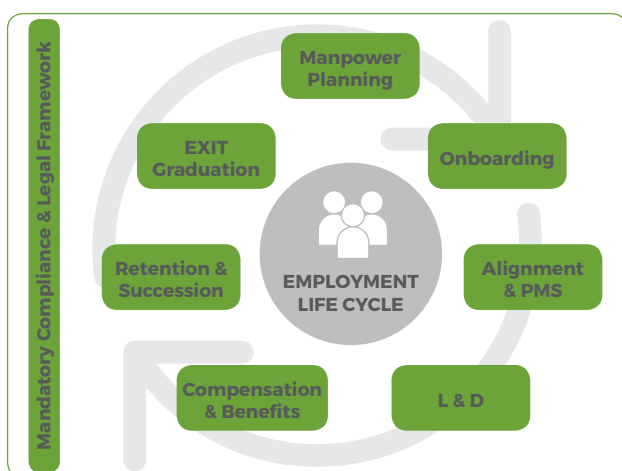
## FUTURE OUTLOOK

We are well aware of the economic challenges of the near future, as the country moves forward on the difficult path of recovery. The continuation of the import ban on vehicles, limitations that necessary taxation will place upon our customers and target market will test our operational integrity. However, we remain confident of our own growth targets, and the ability to effectively respond to challenges.

# HUMAN RESOURCES

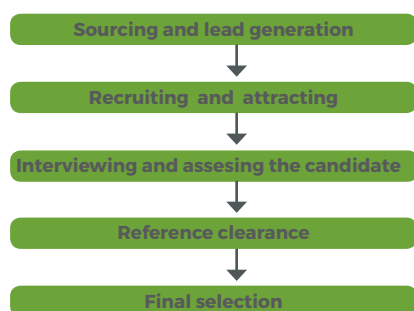
Our human capital pivots growth through seamlessly connecting our intellectual, social and relationship capital to cater to the evolving needs of our customers, which allows us to create value for all stakeholders. As such, developing our human capital through taking care of employees and ensuring their well-being is an integral part of our growth pursuits. A well-defined and comprehensive process guides our

human capital framework, allowing us to analyze the effectiveness of each action. This process includes fair hiring practices, performance-based remuneration, training and development as well as the safety and well-being of each employee. The below illustration presents the Employee Life Cycle and Key Result Areas in HR that we use to nurture human capital.



## RECRUITMENT

Our employee life cycle begins at the point of recruitment. In a bid to maintain a non-discriminatory, fair and transparent recruitment process, all departments of Amana Takaful General Insurance follow a straightforward set of steps during the recruitment process.

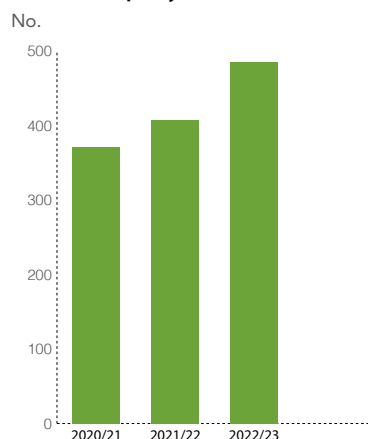


## EMPLOYEE COMPOSITION

Once the selected candidates join Amana General, they become part of a diverse team of talented professionals. Amana General is a non-discriminatory employer, and we proactively seek to hire talented

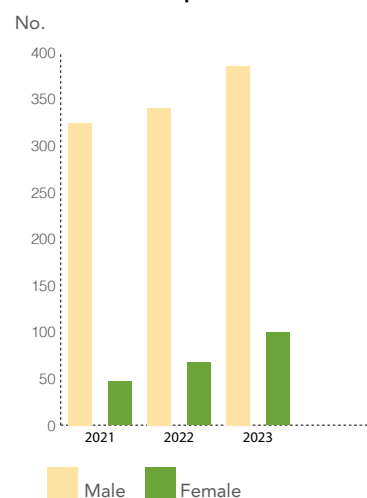
professionals from various backgrounds to enrich our human capital whilst also making a safe space for anyone to thrive in the environment without the fear of discrimination based on gender or ethnic background. A large number of our employees have remained with us – a testament to the growth-conducive culture that we promote.

## Total Employees



The Company's 'Credo- To Every Sri Lankan as One' applies to our employee base. In line with our non-discrimination policy, our employee composition remains diverse. However, the organic cultural trend in Sri Lanka attracts more male employees to the profession compared to female employees. Nevertheless, we as an organisation consistently encourage female professionals to join our force and seek career progress.

## Gender Composition



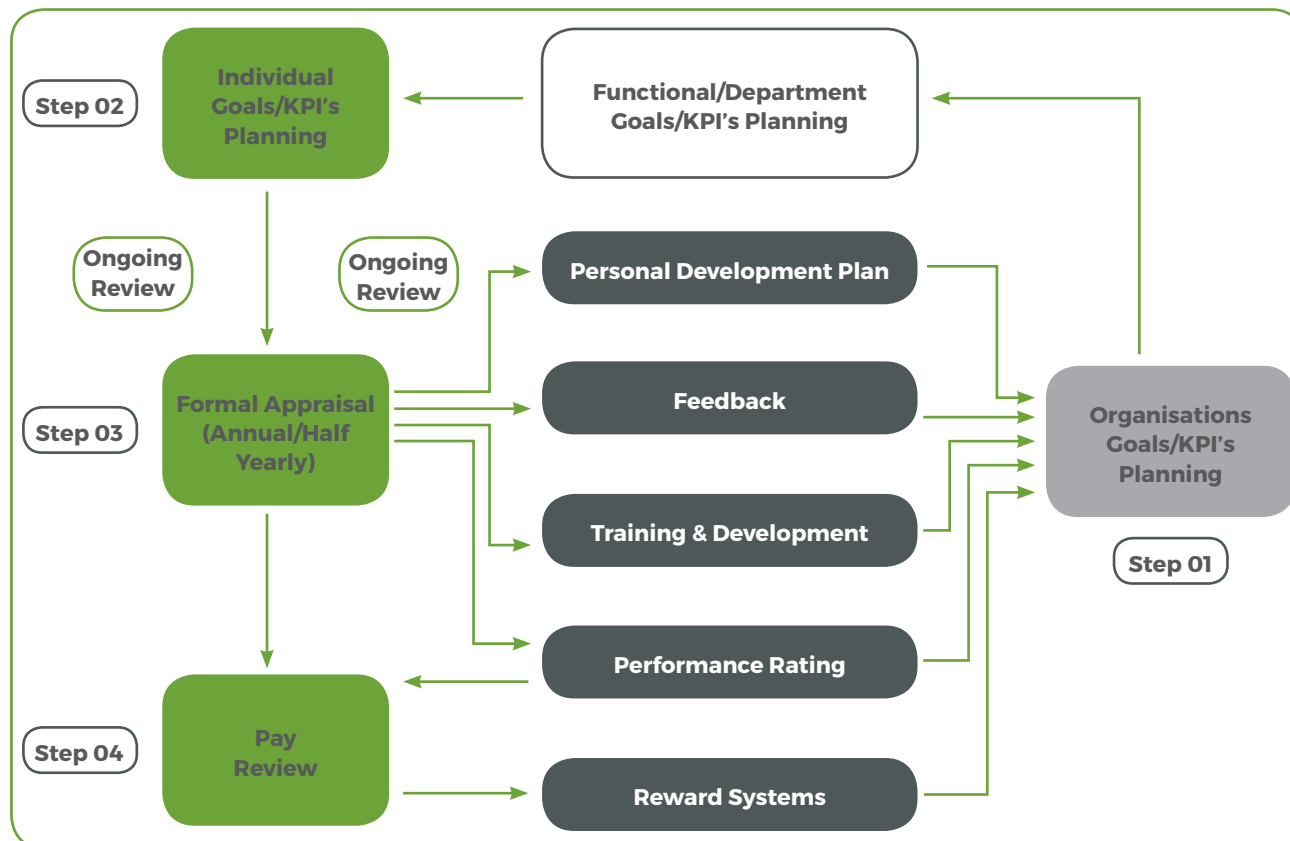
As an insurance Company with a growing footprint, our employee base encompasses all corners of Sri Lanka, enabling a wide range of convenient customer touchpoints.

## REMUNERATION

Amana General maintains a performance-based remuneration framework and compensates its employees in a fair manner for their commitment and based on merit. As we consider employee well-being as a key priority, we continued to pay complete remuneration and other benefits to employees despite the economic crisis and resulting financial and operational challenges. Our remuneration approach follows a systematic process and remains transparent at all times. The below illustration presents our comprehensive Performance Management System (PMS)

## HUMAN RESOURCES

### PERFORMANCE MANAGEMENT PROCESS



### TRAINING AND DEVELOPMENT

In the highly competitive insurance industry, training and development is a high priority not only for human capital growth but also for organizational growth. As such, Amana General employ a robust and all-encompassing training and development regime on an annual basis. Upon identifying the training needs of our employees, we engage both internal and external parties to create a training plan. In the year 2023, a total of 53 training programs were conducted. These programs successfully trained 749 employees, with a total of 23,069 hours dedicated to training.

During the year under review, we conducted a Leadership Development Programme for seniors to help our management teams refine their skills and improve their

knowledge base in line with timely requirements. The 6-month programme conducted in collaboration with the Post Graduate Institute of Management (PIM) focused on developing strategy, leadership, finance and marketing skills as well as HR capabilities of our leadership force.

The LEAP programme sought to groom our young leaders to develop their own leadership potential. The programme focused on coaching participants through a rigorous series of exercises to become high-performing professionals with the capacity to drive long-term growth.

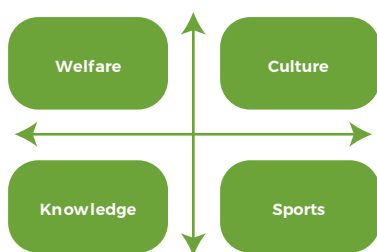
The below is a list of the other training programme conducted during the year under review.

| Training title      | Focus                                                                                                                                                                  |
|---------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Path Training       | Company Induction/ IRCSL licensing/ Product Competency                                                                                                                 |
| Need Based Training | Customer service/ Telephone etiquette/ Outbound training                                                                                                               |
| TNA Based Training  | Business Writing skills/ Takaful training/ Miscellaneous insurance/Marine/ Fire/Engineering/Bond & Liability/ Medical Insurance/Motor insurance/ Underwriting/MS Excel |

## EMPLOYEE WELL-BEING

The Amana Takaful Welfare Association (ATWA) ensures the overall well-being of employees through a comprehensive range of action steps designed to prioritize employee physical and emotional well-being. ATWA conducts a number of events during the year, geared to engage the interest of employees and create a friendly workplace where employees feel respected and included.

The below illustration depicts the mandate of the ATWA;



We have set in place a number of strategies to ensure that employees are allowed to voice their grievances without fear of negative repercussions. Our 'Open Door' policy encourages employees to approach relevant parties in a straightforward manner. The Internal Communications Unit (ICU) is in place to ensure the timely and reliable flow of information within the Company. The 'Pulse Check' initiative is in place to maintain cordial and respectful relations with each employee and ensure that they remain satisfied with work arrangements and feel heard.

## LOOKING AHEAD

As we continue to navigate the hard road ahead as the country scrambles to recover from the economic crisis, we will continue to nurture our human capital using a purposeful and impactful strategy.

# CORPORATE SOCIAL RESPONSIBILITY

## BUILDING BRIGHTER FUTURES

At Amana Takaful, we believe in the power of education to transform lives. Our team embarked on a meaningful CSR initiative at Dehiwala Methodist College. Our focus was clear: to provide essential school supplies to support the education of young minds. With heartfelt dedication, we distributed much-needed supplies such as textbooks, stationery, and learning materials to the students of Dehiwala Methodist College.

Through this simple yet impactful gesture, we aimed to ease the burden on students and teachers alike, ensuring that every child has access to the tools they need to thrive academically. We are grateful for the opportunity to make a difference in the lives of these bright young students. Their smiles and gratitude inspire us to continue our mission of creating positive change in our communities.

Join us as we continue to support education and empower the next generation to reach for the stars. Together, we can build a brighter future for all.

## AMANA TAKAFUL AND ROTARY CLUB COLLABORATE FOR CLEAN WATER

Join us in commemorating a remarkable partnership between Amana Takaful and the Rotary Club of Colombo West, one of the largest and most impactful clubs in Sri Lanka.

We witnessed the fulfillment of a shared vision as clean water access became a reality for the residents of Ranaviru Gamanaya, Ulapane, Gampola. Prior to our intervention, this vibrant community faced significant challenges due to the lack of safe drinking water.

Through collaborative efforts and unwavering commitment, Amana Takaful and the Rotary Club of Colombo West embarked on a mission to address this pressing issue. Together, we implemented sustainable solutions to provide clean and safe water sources for the community.

As we reflect on this transformative journey, we are proud to have played a

part in improving the quality of life for the residents of Ranaviru Gamanaya. Through our collective efforts, we have demonstrated the profound impact of collaboration and community engagement in creating lasting positive change.



## BEYOND THIRST: WATER FUELS LIFE'S EVERY MOMENT

In the heart of Alakkaddu, Mannar, a profound change rippled through the community, touching the lives of over 400 students at Zahira G M M S school. For over

six years, these students endured a scarcity of water, a basic necessity often taken for granted. However, their plight caught the attention of Amana Takaful Insurance, igniting a ripple effect of compassion that extended far beyond the confines of the school gates.

In a transformative gesture of benevolence, Amana Takaful Insurance stepped forward, recognizing the urgency of the situation. By supplying water to Zahira G M M S school, they not only quenched the physical thirst of hundreds of students but also revitalized hope within the entire village of Alakkaddu. This act of kindness did more than merely provide water; it symbolized the immense power encapsulated within seemingly modest deeds.

The impact of Amana Takaful Insurance's initiative was profound and multifaceted. Firstly, it alleviated the immediate suffering of the students who had long endured the burden of water scarcity, allowing them to focus on their education without the distraction of basic survival needs.



# CORPORATE GOVERNANCE

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amana Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amana Takaful PLC is committed to adopting best practices. It is also committed to maintain the smooth functioning of the Company's operations.

## CAPITAL STRUCTURE AND SHAREHOLDING

Amana Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,966,338,648/-. The Company has 4,563 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 151.

## BOARD OF DIRECTORS AND BOARD COMMITTEES

There are seven Directors on the Board of Amana Takaful PLC, of whom six Directors hold office in Non-Executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 47.

## CORPORATE GOVERNANCE FRAMEWORK

Amana Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report.

## BOARD COMPOSITION

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations and Governance Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 20 to 22.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and human resources are in place in order to achieve the Company's strategic aims.

The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising

the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 39 to 45. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:

The main functions of the Board of Directors are as follows:

Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.

Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.

Secure a sound and an adequate risk management system.

Review the integrity and effective information, control and audit systems.

Adopt business practices that conform to "Shari'ah" principles.

Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.

Ensure compliance with legal/ethical standards.

## CORPORATE GOVERNANCE

### BOARD ROLES AND RESPONSIBILITIES

#### CHAIRMAN

The role of the Chairman (or Chair) is to:

Lead the Board to ensure effectiveness in all aspects of its role;

Plan agenda items and timings for Board meetings;

Ensure the membership of the Board is appropriate to meet the needs of the business;

Oversee that the Board Committees carry out their duties including reporting to the Board;

Establish appropriate personal objectives for the Chief Executive;

Ensure Directors are up to date with training and development;

Provide the information necessary for Directors to take a full and constructive part in Board discussions;

Promote an open culture of debate; and develop and maintain effective communications with shareholders.

#### CHIEF EXECUTIVE

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;

Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and

Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

#### BOARD SECRETARY

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;

Facilitate Director inductions and professional development;

As requested, arrange independent professional advice for Directors at the Company's expense; and

Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and Committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amana Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- i. Audit and Compliance Committee
- ii. Risk Management Committee
- iii. Investment Committee
- iv. Remuneration Committee
- v. Related Party Transactions Review Committee
- vi. Board Nominations and Governance Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

### (I) THE BOARD AUDIT AND COMPLIANCE COMMITTEE

The Audit and Compliance Committee comprises of three Independent Non-Executive Directors of the Board. This Committee is chaired by E. D. Wickramasuriya who is an Independent Non-Executive Director of the Company. The Managing Director, Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors including KPMG are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 49 to 50.

## (II) THE BOARD RISK MANAGEMENT COMMITTEE

The Risk Management Committee of the Board comprises four Independent Non-Executive Directors. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Padmesh Weersekera who was appointed to the Committee during the reconstitution. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2023 are provided on pages 39 to 45.

## (III) THE BOARD INVESTMENT COMMITTEE

The Investment Committee comprises Osman Kassim, M H S Kassim, Sharhan Muhsin, Zulficar Ghouse, Abdullah Kassim and Ammar Kassim. The Committee chaired by Mr. Sharhan Muhsin ensures that a healthy investment portfolio is maintained within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

## (IV) THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee comprises three Independent Non-Executive Directors of the Board. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Abdullah Kassim as per the reconstitution. Details of remuneration paid to Directors are set out in Note 31 to the Financial Statements on page 119.

The Report of the Remuneration Committee is provided on page 51.

## (V) THE BOARD RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Related Party Transactions Review Committee of the Board comprises three Independent Non-Executive Directors as at Reporting date. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Padmesh Weersekera who was appointed to the Committee during the reconstitution. The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 52.

## (VI) THE BOARD NOMINATIONS AND GOVERNANCE COMMITTEE

The Board Nominations and Governance Committee comprises three Independent Non-Executive Directors of the Board. This Committee was chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. In compliance with the amendments to the listing rules, the Committee was reconstituted with effect from 11th of December 2023. The Committee is currently chaired by Abdullah Kassim who was appointed to the Committee during the reconstitution.

## ETHICAL STANDARDS

Amana Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgment;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and
- maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

## EXECUTIVE MANAGEMENT

The Chief Executive Officer deliberates strategic issues with the Operations Management Committee (OMC) which includes heads of departments. Each of them who head strategic business units drive their business functions aligned to the strategic plan, building capacity and capability.

## CORPORATE GOVERNANCE

### INTERNAL CONTROLS

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

### COMPLIANCE WITH "SHARI'AH" REQUIREMENTS

Amana Takaful PLC takes the utmost care in adhering to "Shari'ah" principles. A Shari'ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari'ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 53.

### REGULATORY COMPLIANCE

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

### RELATIONSHIP WITH STAKEHOLDERS

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amana Takaful PLC and their views and suggestions are sought and evaluated.

Amana Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

### SOLVENCY REQUIREMENTS

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amana Takaful PLC has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015 as at 31.12.2023.

## CORPORATE GOVERNANCE DISCLOSURES UNDER COLOMBO STOCK EXCHANGE (CSE) RULES IN RELATION TO DIRECTORS OF THE COMPANY

| Areas of Compliance                         | Current Status                                                                                                                                                                                               | Remarks                                                                                                                                                                                                                                                                                                                                                                                                       |
|---------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Board of Directors                          | <b>Executive Directors</b><br>M. H. S. Kassim – Managing Director                                                                                                                                            | All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules.                                                                                                                                                                                                                                                             |
|                                             | <b>Non-Executive Directors</b><br>M. Z. M. Ghouse – Chairman<br>S. Rizwan Hussain<br>E.D. Wickramasuriya<br>T. M. Wijesinghe<br>P. S. Weerasekera<br>A. O. Kassim                                            |                                                                                                                                                                                                                                                                                                                                                                                                               |
|                                             | <b>Independent Directors</b><br>M. Zulficar Ghouse<br>E. D. Wickramasuriya<br>S Rizwan Hussain<br>T. M. Wijesinghe<br>P. S. Weerasekera<br>A. O. Kassim                                                      | All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 9.8.5.<br><br>The Board comprises of six Independent Directors out of six Non-Executive Directors, by the end of 2023.<br><br>The Company has complied with the CSE Listing Rules 9.8.2. |
| Remuneration Committee                      | Abdullah Osman Kassim – Chairman (Appointed w.e.f. 11th December 2023)<br>Zulficar Ghouse - Chairman (stepped down as Chairman w.e.f. 11th December 2023)<br>Syed Rizwan Hussain                             | This Committee comprised of three Non-Executive Directors as at reporting date, of whom, three are Independent.<br><br>The Company has complied with the CSE Listing Rules 9.12.6.                                                                                                                                                                                                                            |
| Audit and Compliance Committee              | E. D. Wickramasuriya - Chairman<br>Syed Rizwan Hussain<br>P. S. Weerasekera                                                                                                                                  | This Committee comprised of three Non Executive Directors of which three are Independent Non-Executive directors at reporting date.<br><br>The Company has complied with the CSE Listing Rules 9.13.3.                                                                                                                                                                                                        |
| Related Party Transactions Review Committee | P. S. Weerasekera – Chairman (Appointed as Chairman w.e.f. 11th December 2023)<br>M. Zulficar Ghouse – Ceased to be Chairman w.e.f. 11th December 2023 and continues to be a member)<br>E. D. Wickramasuriya | This Committee comprised of three Independent Non-Executive Directors. The Company has complied with the CSE Listing Rules 9.14.2.                                                                                                                                                                                                                                                                            |

## COMPLIANCE WITH IRCSL DIRECTION # 17 ON CORPORATE GOVERNANCE

The Company has ensured compliance with the above guidelines including the limitation on period of service of Directors for 9 years and the age limit. As of the reporting date all Directors have service period within 9 years. The company had implemented actions to comply with the requirements within the grace period of 30 June 2021 and will ensure compliance on an ongoing basis.

## CORPORATE GOVERNANCE

### DIRECTORS' ATTENDANCE AT THE MEETINGS

| Name of the Director       | Board Meetings      |          | Audit Committee Meetings |          | Remuneration Committee Meetings |          | Related Party Transactions Review Committee Meetings |          |
|----------------------------|---------------------|----------|--------------------------|----------|---------------------------------|----------|------------------------------------------------------|----------|
|                            | Held/<br>Applicable | Attended | Held/<br>Applicable      | Attended | Held/<br>Applicable             | Attended | Held/<br>Applicable                                  | Attended |
| M. Z. M. Ghouse – Chairman | 4                   | 4        |                          |          | 2                               | 2        | 4                                                    | 4        |
| Hassan Kassim              | 4                   | 4        |                          |          |                                 |          |                                                      |          |
| E. D. Wickramasuriya       | 4                   | 4        | 4                        | 4        |                                 |          | 4                                                    | 4        |
| Syed Rizwan Hussain        | 4                   | 3        | 4                        | 3        | 2                               | 2        |                                                      |          |
| P. S. Weerasekara          | 4                   | 4        | 4                        | 4        |                                 |          | 4                                                    | 4        |
| A. O. Kassim               | 4                   | 4        |                          |          | 2                               | 1        |                                                      |          |
| T. M. Wijesinghe           | 4                   | 2        |                          |          |                                 |          |                                                      |          |

# ENTERPRISE RISK MANAGEMENT

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with the involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates on the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2023.

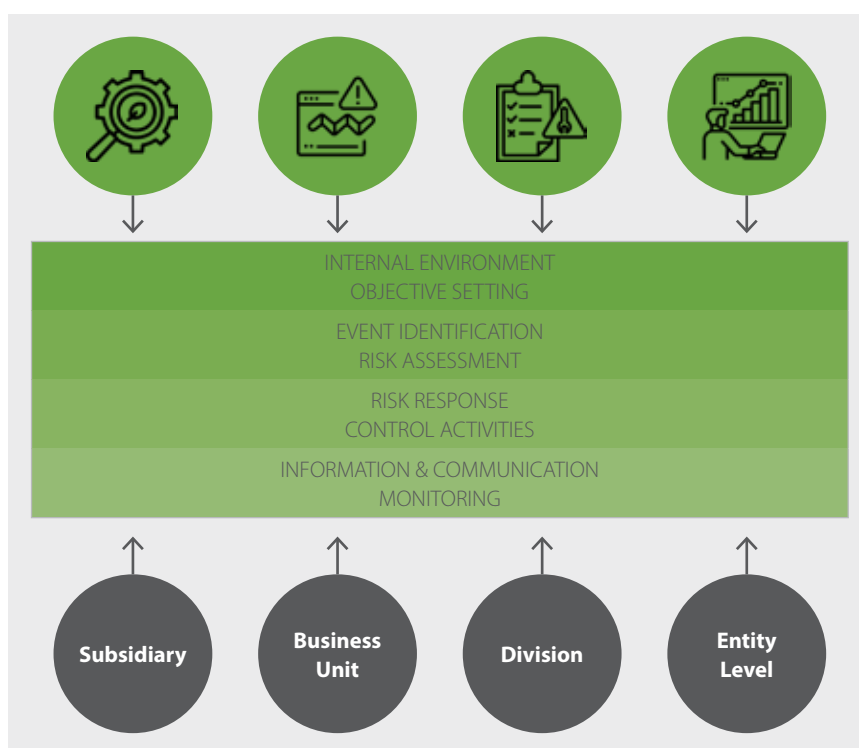
## WHAT IS ENTERPRISE RISK MANAGEMENT?

ERM is yet an emerging topic in this part of the world and thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation

of a firm-wide strategy to manage those risks" (Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in the Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

## COSO AND FRAMEWORK WHICH WAS PUBLISHED IN 2004 IN THE US DEFINES ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –

Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.

# ENTERPRISE RISK MANAGEMENT

Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.

Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.

Reducing surprises and associated costs or losses.

Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response

to the interrelated impacts, and integrated responses to multiple risks.

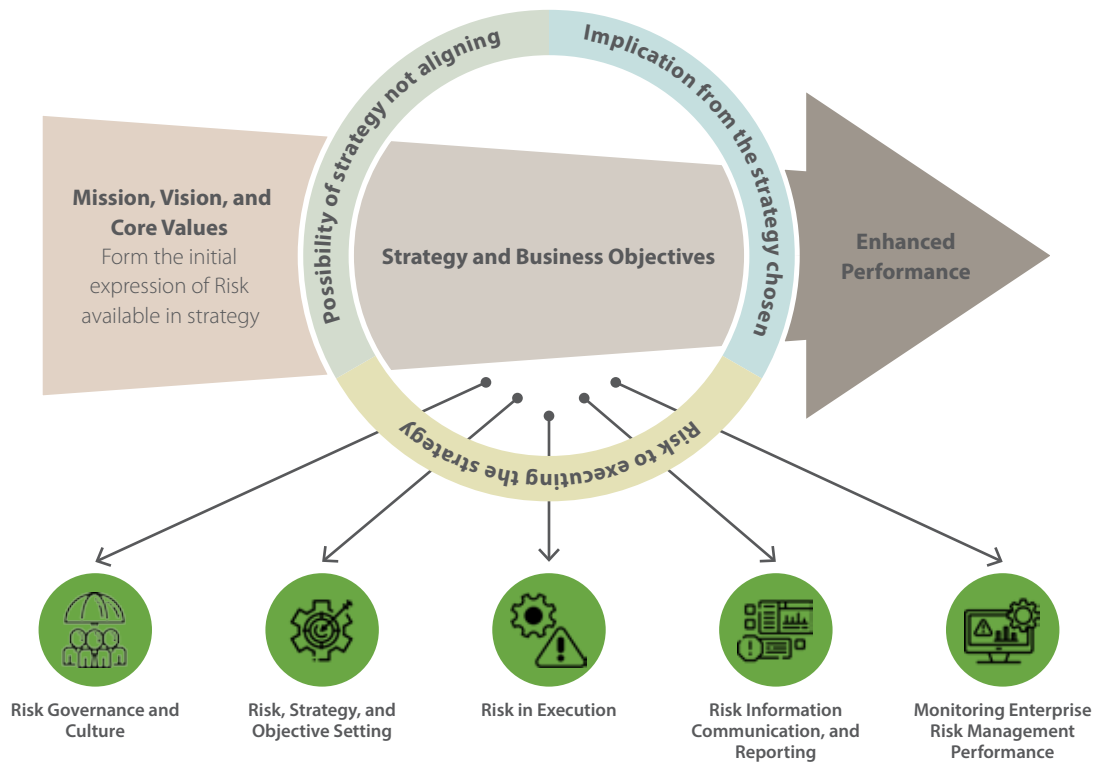
Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.

Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.



## DEFINITIONS OF RISK AND RISK MANAGEMENT

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi-directional, iterative process in which almost any component can and does influence another.

## RISKS FACED BY INSURANCE COMPANIES

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

### 1. INSURANCE RISK

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

| Risk                                                                                                                                                                                                                                                                                                                                                                               | Control                                                                                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore, the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool. | A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented. |

| Risk                                                                                                                          | Control                                                                                                                                                                                                                                                                  |
|-------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business. | The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements. |
| Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.                      | A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.                                                                                                                  |

### A. CLAIMS RISK

| Risk                                                                                                                                                           | Control                                                                                                                                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.                                          | At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential of agreed assumptions. |
| The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved. | A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with the supervision of well-experienced senior staff to mitigate such risks.                                                                |

### B. RETAKAFUL RISK

| Risk                                                                                                                                                                                                                                                          | Control                                                                                                                                                                                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant. | Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL).<br><br>The services of professional Retakaful brokers are also obtained in reinsurance placements. |

## ENTERPRISE RISK MANAGEMENT

| Risk                                                   | Control                                                                                                                                                                                                                   |
|--------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Accepting risks beyond the Company's retention limits. | System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process. |

### 2. MARKET RISKS

Market risks are wider risks that any company is exposed to in terms of demand and supply for any type of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risk while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates, and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threats from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele does understand that the Takaful is a complete system and not simply a product range in a conventional system.

### 3. STRATEGIC AND REPUTATIONAL RISK

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organizations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets becomes critical to the organisation. Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure the achievement of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

### 4. OPERATIONAL RISKS

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

| Risk                                                                                      | Control                                                                                                                  |
|-------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| Process failures – Standard Operating Procedures (SOPs) do not capture important controls | The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.        |
| Potential fraud and errors                                                                | Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls. |
| Liquidity crunch                                                                          | The Treasury team prepares a cash forecast on a monthly basis prior to making investment decisions.                      |
| Technology failure                                                                        | The Disaster Recovery Plan covers such risks.                                                                            |
| Non-implementation of key projects                                                        | The Operations Management Committee (OMC) meet monthly and review projects under implementation.                         |
| Utilities                                                                                 | Electricity – A back-up generator is fully active.                                                                       |

### 5. COMPLIANCE RISK

The key compliance risks and the control measures are listed below:

| Risk                                                         | Control                                                                                                                                                                                                                                                                                              |
|--------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Unable to comply with the applicable regulatory requirements | The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritize the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board.<br><br>The Head of Finance & Compliance overlooks the compliance function. |

| Risk | Control                                                                                                                                                           |
|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|      | All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. |
|      | A monthly sign-off is obtained on a compliance checklist covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings.  |
|      | A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.                              |

## 6. CREDIT RISK

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

| Risk                                                         | Control                                                                                                                                                           |
|--------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Unable to comply with the applicable regulatory requirements | SOP on credit approval which covers authorization and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme.<br>Weekly credit review. |
| Risk in recovering Retakaful                                 | Rated Retakaful companies.                                                                                                                                        |
| Unable to recover capital value of investments               | Guided by the IRCSL Investment Guidelines.<br>Close monitoring by the Board Investment Committee.                                                                 |

## 7. CURRENCY RISK

| Risk                                                                                             | Control                                                                                                       |
|--------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Currency risk refers to the risk of losing money due to the movement in relevant exchange rates. | Frequent monitoring of the exchange rate with views from the research institutes is taken into consideration. |

## ATPLC RISK MANAGEMENT GRID

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

|             |     | Likelihood |          |          |        |                |
|-------------|-----|------------|----------|----------|--------|----------------|
|             |     | Rare       | Unlikely | Possible | Likely | Almost Certain |
| Consequence |     | E          | D        | C        | B      | A              |
| Severe      | V   | H          | H        | H        | VH     | VH             |
| Major       | IV  | M          | M        | H        | H      | VH             |
| Moderate    | III | M          | M        | H        | H      | H              |
| Minor       | II  | L          | L        | M        | M      | H              |
| Negligible  | I   | L          | L        | L        | M      | M              |

**L - Low M - Medium H - High VH - Very High**

Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

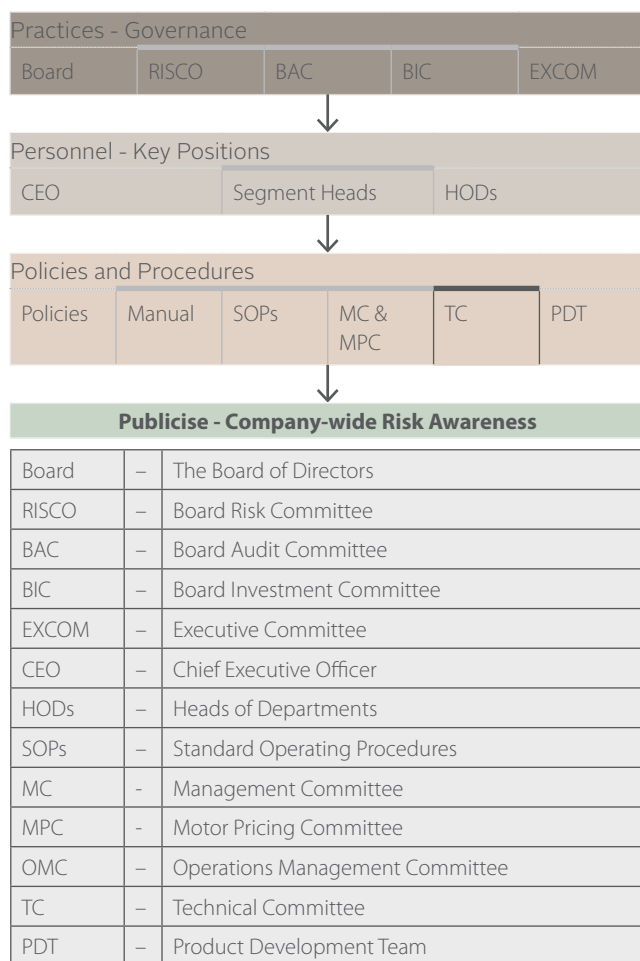
The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

| Impact/Likelihood                                                      | Risk      | Option                          | Strategy                                                                                                                               |
|------------------------------------------------------------------------|-----------|---------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| (I,E), (I,D), (I,C), (II,E), (II,D)                                    | Low       | Accept                          | Keep monitoring of the Likelihood.                                                                                                     |
| (I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)         | Medium    | Reduce Likelihood and/or Impact | Have measures to manage Likelihood and/or Impact.                                                                                      |
| (II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C) | High      | Spread and/or Transfer          | Spread the risk to a third party or involve risk owner sharing the risk.<br>Have contingency arrangements.<br>Have plans for recovery. |
| (IV,A), (V,B), (V,A)                                                   | Very High | Avoid                           | Do not participate in the activity.                                                                                                    |

## ENTERPRISE RISK MANAGEMENT

### ATPLC ENTERPRISE RISK MANAGEMENT FRAMEWORK

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

### 1. FIRST LINE OF DEFENCE

The frontline staff and operational teams directly manage and control risks on a day-to-day basis within their respective roles and responsibilities.

### 2. SECOND LINE OF DEFENCE

The Risk and Compliance team provides oversight, guidance and support to ensure effective risk identification, assessment and mitigation across the organization.

### 3. THIRD LINE OF DEFENCE

The Internal audit reviews the effectiveness of controls to manage/mitigate risks, reports deviations, recommends necessary improvements and corrective actions, and ensures continuous follow-up on the implementation of risk management strategies.

The Company has adopted a three-stage line of defence to manage risks, ensuring all categories and types of risks are considered for operating in an effectively risk-managed environment. The Company's risk and compliance units oversee the entire risk management process while business units and operational teams provide input regarding the various risks faced in the course of doing business. The internal audit team performs regular planned checks of the entire risk management process and verifies that all controls and mitigation measures are in place.

### RISK MANAGEMENT PROCESS

In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at BOM, GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

| Risk Area                       | Key Risk Indicator                                                                                                                                                                                                    |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Insurance Risk                  | Average Rates by Subclasses<br>Claims Ratios by Sales Teams and Subclasses<br>Product Profitability<br>RI Covers Vs Risk Accumulation                                                                                 |
| Strategic and Reputational Risk | Overall Target Achievements at Firm Level and Departmental Level<br>Variance Analysis<br>Market Positioning<br>Client Satisfaction Index                                                                              |
| Market Risk                     | Interest Rate Movement<br>Bullion Market Movement<br>Equity Market Movement<br>Economic Indicators<br>Changes in Tax Regulations<br>Changes in Government Policies                                                    |
| Operational Risk                | Staff Turnover Ratio<br>Staff Satisfaction Index<br>Internal/External Audit Findings<br>Deviations from ISO Standards on Safety Measures<br>Current and Liquidity Ratios<br>Implementation of Industry Best Practises |
| Credit Risk                     | Debtors Turnover Ratio (Days)                                                                                                                                                                                         |
| Compliance Risk                 | Queries Raised by Regulator/Ombudsman<br>Pending Legal Matters<br>Unresolved Audit Queries<br>Items in the Management Letter<br>Investment Portfolio Mix                                                              |
| Currency Risk                   | Frequent monitoring of the exchange rate with views from the research institutes is taken into consideration.                                                                                                         |

#### Key Areas Reviewed by the Board Risk Committee during 2023

Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.

Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.

Review of the Deferred Tax Asset

Review of large losses

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

| Member                                                                                                                                          | Number of Meetings Attended |
|-------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| Mr. P.S. Weerasekera - Independent Non-Executive Director (Appointed as the new chairmen of RISCO at the 54th RISCO meeting dated – 18.12.2023) | 1 out of 1                  |
| Mr. Zulficar Ghouse – Ceased to be the Chairman the RISCO (w.e.f. 18.12.2023) and will continue as a member                                     | 4 out of 4                  |
| Mr. Syed Rizwan Hussain - Independent Non-Executive Director                                                                                    | 3 out of 4                  |
| Mr. Abdullah Osman Kassim - Independent Non-Executive Director                                                                                  | 3 out of 4                  |

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, and Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Audit also attended all meetings in the capacity of Secretary to the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

# ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2023, to be presented at the 25th Annual General Meeting of the Company.

## REVIEW OF THE YEAR

The Chairman's Review on pages 14 to 15 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Operational Review on page 28 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

## PRINCIPAL ACTIVITIES

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amana Takaful Life PLC, a subsidiary of Amana Takaful PLC.

## FINANCIAL STATEMENTS

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 63 to 147 of this Annual Report.

## INDEPENDENT AUDITORS' REPORT

The Auditors' Report on the Financial Statements is given on pages 59 to 62 of this Annual Report.

## ACCOUNTING POLICIES

The accounting policies adopted in preparation of the Financial Statements are given on pages 74 to 89.

## FINANCIAL RESULTS AND APPROPRIATIONS

The Loss After Taxation of the Company for the year was Rs. 13.88 Mn (2022 – Profit Rs. 294.55Mn) and the Profit After Taxation of the Group for the year was Rs. 151.43 Mn (2022 – Profit Rs. 487.60 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs. 3.2 Bn in 2023. (2022 – Rs. 2.8Bn)

## PROPERTY, PLANT AND EQUIPMENT

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs. 75.6 Mn (2022 – Rs. 23.4Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

## FINANCIAL ASSETS

Details of financial assets held by the Company are given in Note 9 and 12 to the Financial Statements.

## RESERVES

Accumulated profit as at 31st December 2023 for the Company and Group amounted to Rs. 1,258 Mn (2022 – 854.5Mn) and profit of Rs. 658.4 Mn (2022 – 50.1Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

## STATED CAPITAL

The stated capital of the Company as at 31st December 2023 was Rs. 1,966,338,648 represented by 203,630,643 ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 106.

## CONTINGENT LIABILITIES

There were no material contingent liabilities outstanding as at 31st December 2023 other than those reported in Note 37 to the Financial Statements.

## MATERIAL ISSUES PERTAINING TO EMPLOYEES AND INDUSTRIAL RELATIONS OF THE COMPANY

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

## POST-BALANCE SHEET EVENTS

There were no material events occurred after the reporting date that require adjustments or disclosure in the Financial Statements.

## DIRECTORS' RESPONSIBILITIES

The Statement of the Directors' Responsibilities is given on page 56 of this Annual Report.

## CORPORATE GOVERNANCE

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on Corporate Governance is given on pages 33 to 38 of this Annual Report.

Board of Directors of the company confirm that the Company is compliant with section 9 of the Listing Rules of the Colombo Stock Exchange and SL Accounting Standards Act No. 15 of 1995.

## STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

## INTERESTS REGISTER

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 35 in the related party disclosures to the Financial Statements.
- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 151.

## BOARD COMMITTEES

Audit and Compliance Committee  
Following are the names of the Directors comprising the Audit and Compliance Committee of the Company:

Deepthi Wickramasuriya – Chairperson  
Syed Rizwan Hussain  
P. S. Weerasekera

The Report of the Audit and Compliance Committee on pages 49 and 50 set out the manner of compliance by the Company in accordance with the requirements of Rule 9.13 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

## REMUNERATION COMMITTEE

Following are the names of the Directors comprising the Remuneration Committee of the Company:

Abdullah Osman Kassim - Chairperson  
Syed Rizwan Hussain  
Zulficar Ghouse

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 51 in accordance with the requirements of Rule 9.12 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 31 to the Financial Statements.

## RELATED PARTY TRANSACTION REVIEW COMMITTEE

Following are the names of the Directors comprising the Related Party Transaction Review Committee of the Company in accordance with the requirements of Rule 9.14 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

P. S. Weerasekera – Chairperson  
Deepthi Wickramasuriya  
Zulficar Ghouse

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 52.

## BOARD NOMINATIONS AND GOVERNANCE COMMITTEE

Following are the names of the Directors comprising Board Nominations and Governance Committee of the Company in accordance with the requirements of Rule 9.11 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Abdullah Kassim – Chairperson  
Deepthi Wickramasuriya  
Zulficar Ghouse

The particulars of the Nominations and Governance Committee are mentioned under Corporate Governance on page 33.

## BOARD RISK COMMITTEE

Following are the names of the Directors comprising the Board Risk Committee of the Company:

P. S. Weerasekera – Chairperson  
Zulficar Ghouse  
Syed Rizwan Hussain  
Abdullah Osman Kassim

## SHARE INFORMATION AND SUBSTANTIAL SHAREHOLDINGS

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 151 and 152.

The earnings per share, dividends per share, net assets per share are given on page 153.

## DIRECTORS

The Directors of the Company during the year were as follows:

| Name of Director     | Date of Appointment |
|----------------------|---------------------|
| M. Z. M. Ghouse      | 3rd June 2020       |
| T. M. Wijesinghe     | 21st October 2021   |
| P. S. Weerasekera    | 15th December 2021  |
| A. O. Kassim         | 15th December 2021  |
| E. D. Wickramasuriya | 22nd December 2020  |
| M. H. S. Kassim      | 7th March 2016      |
| S. R. Hussain        | 3rd May 2019        |

A brief profile of the Directors are given on pages 20 and 22 of this Annual Report.

In terms of Section 82 of the Articles of Association of the Company, Mr. Thilan Manjith Wijesinghe and Mr. Syed Rizwan Hussain due for retirement by rotation being eligible are re-elected as Directors of the Company.

During the year under review the Board met on four occasions. The attendance at these meetings are mentioned on page 38.

## ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY

### CEO / DIRECTORS' SHAREHOLDINGS

The interest of the CEO/Directors in the shares of the Company as at 31st December were as follows:

| Name of Director/CEO                          | No. of Ordinary Shares   |                          |
|-----------------------------------------------|--------------------------|--------------------------|
|                                               | As at 31st December 2023 | As at 31st December 2022 |
| Syed Rizwan Hussain                           | -                        | -                        |
| M. H. S. Kassim                               | 10,780                   | 10,780                   |
| M. Z. M. Ghouse                               | -                        | -                        |
| E. D. Wickramasriya                           | -                        | -                        |
| T. M. Wijesinghe                              | -                        | -                        |
| P. S. Weerasekera                             | -                        | -                        |
| A. O. Kassim                                  | -                        | -                        |
| Shehan Feisal<br>(Resigned w.e.f. 31.03.2024) | -                        | -                        |
| S. Karthigun<br>(Appointed w.e.f. 01.04.2024) | -                        | -                        |

### INDEPENDENCE OF DIRECTORS

Particulars of Independent Directors are mentioned under Corporate Governance Report on pages 33 to 38.

### RELATED PARTY TRANSACTIONS

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka

Accounting Standard LKAS 24 – "Related Party Disclosures", in Note 35 to the Financial Statements.

The Board of Directors of the Company declare that the Company entered into related party transaction during the financial year in compliance with the regulations pertaining to the related party transactions. Details which are given in Note 35 of the Financial Statements.

### GOING CONCERN

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

### AUDITORS

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 31 on page 119 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship on interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

### NOTICE OF ANNUAL GENERAL MEETING

The Annual General Meeting will be held on the 25 June 2024 at 10.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 163 of this Annual Report.

For and on behalf of the Board,



**Zulficar Ghouse**  
Chairman  
15 May 2024  
Colombo



**Managers & Secretaries (Pvt) Ltd.**  
Secretaries  
Amana Takaful PLC

15 May 2024  
Colombo

# REPORT OF THE BOARD AUDIT COMMITTEE

The Board Audit Committee (BAC) is a formal subcommittee that is appointed by the Board of Directors. The BAC is charged with assisting the board to fulfill its obligations and responsibilities in overseeing areas such as the company's financial reporting, internal control systems, internal audit and external audit functions.

The Charter of the Audit Committee approved by the Board clearly defines the Terms of Reference of the Committee. This is reviewed annually to ensure that new developments relating to the Committee's functions are addressed and the most recent review was approved by the Board.

## COMPOSITION

The BAC comprises three members, all of whom are independent Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year, usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process and adequacy of internal controls. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The Board Audit Committee of Amāna Takaful PLC, the Parent Company functions as the Board Audit Committee in terms of Section 9.13.3 (4) of the Listing Rules of the Colombo Stock Exchange. The Audit Committee held four meetings during the year 2023. The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

| Member                                                                   | Number of Meetings Attended |
|--------------------------------------------------------------------------|-----------------------------|
| Deepthie Wickramasuriya - Chairperson/Independent Non-Executive Director | 4 out of 4                  |
| Syed Rizwan Hussain - Independent Non-Executive Director                 | 3 out of 4                  |
| P. S. Weerasekara - Independent Non-Executive Director                   | 4 out of 4                  |

The Senior Manager - Internal Audit functions as the Secretary to BAC. The agenda and the papers for the meetings are circulated among the members with sufficient notice.

The Chief Executive Officer and the Managing Director were invited to be present at all meetings of the Committee during the period under review. The Senior Manager - Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments - Finance, Underwriting, Claims and Reinsurance/ Retakaful. External Auditors, Internal Auditors who carried out outsourced assignments and other members of the Management were also invited to attend the meeting when required.

## OBJECTIVES, DUTIES AND RESPONSIBILITIES

The "Terms of Reference" (TOR) of the BAC clearly defines the role, responsibilities and scope of the Committee.

The key objectives of the Audit Committee are:

To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with the Sri Lanka Accounting Standards and other relevant laws and regulations.

To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.

To review the design and implementation of the internal control system and take steps to strengthen them as necessary.

To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.

To assess the independence of the External Auditors and monitor the performance of Internal and External Auditors.

To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and responsibilities of the Committee are as follows:

1. Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management on deficiencies in controls, processes and procedures.
2. Assessment of the independence and performance of the Company's External Auditors.
3. Review the Management Letter of the External Auditors and follow-up on its recommendations.
4. Ensure the preparation and presentation of financial reports in line with the accounting standards and ensure the adequacy of disclosure in such reports.
5. Review the effectiveness of internal controls.

## INTERNAL AUDIT

At the commencement of 2021, Messrs. KPMG Chartered Accountants were appointed as the primary internal auditor of the company in order to strengthen the Company's internal audit function. The company's Internal Audit department worked closely with KPMG to ensure that the audits were conducted and completed efficiently as mandated by the Board Audit Committee. Audit Reports are periodically presented to the BAC on a quarterly basis for review. The Internal Audit department coordinates and ensures that recommendations are implemented conscientiously and additionally carries out various other audits and special assignments.

## REPORT OF THE BOARD AUDIT COMMITTEE

The Internal Audit Department is charged with the overall internal audit functions of the Company. The Department presents to the BAC the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented, a process of follow-up programmes had been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

### SUMMARY OF INTERNAL AUDIT FUNCTION

- Obtain a detailed understanding of the process by reviewing relevant documentation, conducting interviews with the process owners/client staff.
- Identify the risk associated with the process and controls in place to mitigate each risk.
- Perform a process walkthrough to determine if the execution of the process follows the design, whether the process is adequate by design and identify the gaps that exist.
- Perform control testing and evaluate the operating effectiveness of the process level controls.
- Measure and analyze results to formulate business focused recommendations that are aligned to the Company's process, strategy and goals.
- Confirm findings with key project stakeholders.

- Develop a business focused report that provides risk based, effective recommendations for the findings together with the responses provided by the Management.
- Follow up Audit recommendations and make sure those are implemented by the management.

### EXTERNAL AUDIT

The BAC reviewed the External Audit Plan including the scope and fee for the annual audit. The Committee held a discussion with the External Auditors, Messrs. Ernst & Young, prior to the year-end audit to discuss their audit approach and procedures, including matters relating to the scope of the audit.

The BAC reviewed the results of the external audit and the recommendations contained in the Management Letter arising from the audits of the quarterly/ annual financial statements, thus ensuring appropriate follow-up actions are taken. The independence and objectivity of the external auditors were reviewed by the BAC.

The BAC recommended to the Board the reappointment of Messrs. Ernst & Young, Chartered Accountants as the External Auditors of the Company for the ensuing financial year, subject to approval of the shareholders at the forthcoming Annual General Meeting.

### PROVISION OF NON-AUDIT SERVICE

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

### CONCLUSION

The BAC is satisfied that the company's accounting policies, internal controls, and risk management processes are adequate to provide reasonable assurance that the financial affairs of the company are managed in accordance with company policies and accepted accounting standards.

Further, the Company has complied with the latest listing rule requirements as follows;

- 9.13.1 - The Board has appointed a separate Risk Committee and the Enterprise Risk Management Report includes same.
- 9.13.2 - The Committee operates under a set of written Terms of Reference outlining scope, authority and duties.
- 9.13.3 - The composition of the Audit Committee comprises of 3 Independent non - executive Directors and distinguished invitees
- 9.13.4 - Functions of the Committee

Pls refer Audit Committee Report for the required disclosures;

- Details of Chairperson and members
- Compliance opinion on financial reporting
- Confirmation of Audit Charter existence
- Summary of Internal Audit Method/ Scope
- Details of functions discharged for the financial year

On behalf of the Board Audit Committee.



Deepthie Wickramasuriya  
Chairperson - Board Audit Committee

15 May 2024  
Colombo

# REPORT OF THE BOARD REMUNERATION COMMITTEE

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amana Takaful Group of Companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.

Making recommendation to the Board on annual increments, key promotions and scale-ups.

Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.

Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amana Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 9.12.6 (2) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of three (3) Non-Executive Directors. The Committee met twice during the year under review.

| Members                                                                                                      | Meeting Attendance |
|--------------------------------------------------------------------------------------------------------------|--------------------|
| 1. Zulficar Ghouse - Chairman (until 11th December 2023) Independent Non-Executive Director                  | 2 out of 2         |
| 2. Abdullah Osman Kassim - Chairman (Appointed w.e.f. 11th December 2023) Independent Non-Executive Director | 1 out of 2         |
| 3. Rizwan Hussain - Independent Non-Executive Director                                                       | 2 out of 2         |
| 4. Farhan Jabir - Secretary                                                                                  | 2 out of 2         |

Further, the Company has complied with the latest listing rule requirements as follows;

- 9.12.1 – 9.12.5 – The Company Possesses a Remuneration Committee and maintains a formal and transparent procedure for developing policy on Executive Directors 'remuneration and for fixing the remuneration packages of individual Directors. No Directors shall be involved in fixing his/her remuneration.
- The Committee operates under a set of written terms of reference that clearly that clearly outline its scope, authority, duties and requirements for meeting quorum.
- 9.12.7 – Functions of the Committee includes recommending and assessing the relevance of the remuneration payable to the Executive Directors of the Company.
- 9.12.8 – Disclosures

During the year, the Company has demonstrated compliance with the necessary disclosure requirements as follows"

- (1) Chairperson and members of the Remuneration Committee
- (2) Statement on remuneration policy
- (3) Aggregate remuneration of Executive and Non-Executive Directors (Refer Financial statement Disclosures)



Abdullah Kassim  
Chairman – Remuneration Committee

15 May 2024  
Colombo

# REPORT OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

## OBJECTIVE OF THE COMMITTEE

The Committee reviews all related party transactions of Amana Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

## COMPOSITION OF COMMITTEE

The Related Party Transaction Review Committee (the Committee) comprises three Independent Non-Executive Directors as of date.

## MEETINGS OF THE COMMITTEE

Four (4) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

| Members                                                                                                                  | Meeting Attendance |
|--------------------------------------------------------------------------------------------------------------------------|--------------------|
| 1. P. S. Weerasekera – Chairman (Appointed w.e.f. 11th December 2023) Independent Non-Executive Director                 | 4 out of 4         |
| 2. M. Z. M. Ghouse - Chairman (until 11th December 2023 and continues to be a member) Independent Non-Executive Director | 4 out of 4         |
| 3. E. D. Wickramasiruya - Independent Non-Executive Director                                                             | 4 out of 4         |
| 4. M.F.H. - Secretary                                                                                                    | 4 out of 4         |

In addition, the Chief Executive Officer of the Company, Chief Executive Officer of Amana Takaful Life PLC, Head of Finance & Compliance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

## REVIEW OF RELATED PARTY TRANSACTIONS

The Committee reviewed all related party transactions of the Company for the year 2023 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 35 to the Financial Statements on page 124 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

## POLICIES AND PROCEDURES

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

## CONCLUSION

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.

Further, the Company has complied with the latest listing rule requirements as follows;

- 9.14.1 – The Related Party Review Committee operates under a set of written terms of references and conforms to the requirements set out in Rule 9.14 of these rules
- 9.14.2 – The composition of the RPT Committee comprises of 3 Independent non - executive Directors and distinguished invitees
- 9.14.3 – Functions of the Committee includes Safeguarding Shareholders interest, preventing abuse by Directors, CEOs, or substantial shareholders prioritizing the economic and commercial substance of transactions over legal form.
- 9.14.4 – The Committee convenes quarterly, ensuring thorough completion of meeting minutes for the BOD. The Member of the Committee have access to adequate expertise to evaluate proposed transactions, seeking professional advice when necessary. Directors with personal interest in such matters will abstain from participation and voting during relevant board meetings
- 9.14.5/6 – RPT Committee reviews all related party transactions while also considering any material changes to previously reviewed transactions under rule 9.14.5. The Company has not entered with any related party transaction which is required to get the shareholder's approval.



Padmesh Weerasekera  
Chairman – Related Party Transactions  
Review Committee

15 May 2024  
Colombo

# REPORT ON THE SHARI'AH ADVISORY COUNCIL



بسم الله الرحمن الرحيم

## SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful (PLC) (the “Company”) for the year ending 31<sup>st</sup> December 2023. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari’ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari’ah Advisory Council.

### Responsibilities

It is our responsibility, as Shari’ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari’ah rules and principles. It is the responsibility of the Company’s Management to ensure that all rules, principles and guidelines set by the Shari’ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari’ah Advisory Council.

### Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company’s compliance with the Shari’ah Regulations and Guidelines. Our review also includes examining, on a test basis of each type of product in relation to issuance & claims.

### Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2023, were generally in accordance with the guidelines prescribed by the Shari’ah Advisory Council.
- All non-permissible income received are applied in accordance with the guidelines issued by the Shari’ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe  
Chairman-Shari’ah Advisory Council

Ash-Sheikh Murshid Mulaffar  
Secretary-Shari’ah Advisory Council

Mufti Shafique A Jakhura  
Member-Shari’ah Advisory Council

Ash-Sheikh Huzaifah Hussain  
Member-Shari’ah Advisory Council



# FINANCIAL REPORT



# STATEMENT OF DIRECTORS' RESPONSIBILITIES

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2023 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



**Zulficar Ghouse**  
Chairman

15 May 2024  
Colombo, Sri Lanka

# CERTIFICATE OF THE ACTUARY - FAMILY TAKAFUL (LIFE)

## AMANA TAKAFUL LIFE PLC

### FINANCIAL YEAR ENDED 31 DECEMBER 2023

This report has been completed in compliance with IFRS 4 on Valuation for Liabilities of Long Term Insurance Business. The company, Amana Takaful Life PLC, is a Takaful Operator, but in the absence of takaful specific regulations in Sri Lanka, is governed under the same regulations as conventional insurers.



Zainal Abidin Mohd Kassim  
Fellow of the Institute of Actuaries  
Actuary  
Kuala Lumpur  
Malaysia

17 April 2024

# CERTIFICATION OF IBNR



## Certification by the Actuary

To the shareholders of Amana Takaful PLC

### Amana Takaful PLC 31 December 2023 IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate of IBNR (inclusive of CHE) provision of LKR175,019,724 is adequate in relation to the Claim Liability of Amana Takaful PLC as at 31<sup>st</sup> December 2023. This IBNR provision, together with the Claims Outstanding Reserves held by the Company is expected to be adequate to meet the future liabilities in respect of the Company's incurred claims obligations as at 31<sup>st</sup> December 2023.

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the UCR provision net of Wakalah fee of LKR 1,092,546,953 set by the Company, net of Retakaful, is higher than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 769,159,066. This implies the carrying amount of UCR is adequate at a 50<sup>th</sup> percentile in relation to the unexpired risks of Amana Takaful PLC as at 31<sup>st</sup> December 2023 in many, but not all, scenarios of future experience. As such, there is no contribution deficiency to be recognized by the Company.

The results have been determined in accordance with internationally accepted actuarial principles.

I have relied upon information and data provided by the management of the Company, and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

Saket Singhal, FIAI  
COP No: 175/058  
ActsSure Lab (Pvt) Limited

Name of the Appointed Actuary of the report: Saket Singhal, FIAI  
Qualification of Actuary: Fellow Member of The Institute of Actuaries, India  
Contact Details of Actuary: Tel: +91 9987050647 | Email: [saketsinghal@actsurelab.com](mailto:saketsinghal@actsurelab.com),  
[saketsinghal@transvalueconsultants.com](mailto:saketsinghal@transvalueconsultants.com)  
Company Name and Address: ActsSure Lab (Pvt) Ltd.  
11/2, 1st Lane, Pagoda Road, Nugegoda, Sri Lanka  
Date: 07-05-2023

# INDEPENDENT AUDITOR'S REPORT



Ernst & Young  
Chartered Accountants  
201 De Saram Place  
P.O. Box 101  
Colombo 10  
Sri Lanka

Tel : +94 11 2463500  
Fax Gen : +94 11 2697369  
Tax : +94 11 5578180  
eysl@lk.ey.com  
ey.com

## TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

### REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

#### OPINION

We have audited the financial statements of Amana Takaful PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31 December 2023, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2023, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

#### BASIS FOR OPINION

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics for professional accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA, B E Wijesuriya FCA FCMA, R N de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman ACA ACMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shalithivel D.Com (Sp)

A member firm of Ernst & Young Global Limited

## INDEPENDENT AUDITOR'S REPORT

| Key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | How our audit addressed the key audit matter                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>1. LIFE INSURANCE CONTRACT LIABILITIES</b></p> <p>Life Insurance Contract Liabilities amounting to Rs. 3,275 Mn represent 31% of total liabilities of the Group as at 31 December 2023 and are determined based on an actuarial valuation as described in Note 2.4.1.2 (ii) to the financial statements.</p> <p>This was a key audit matter due to:</p> <ul style="list-style-type: none"> <li>Materiality of the reported Life Insurance Contract Liabilities;</li> <li>The degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Life Insurance Contract Liabilities and liability adequacy test carried out to determine the adequacy of the carrying value of Life Insurance Contract Liabilities.</li> </ul> <p>Key assumptions used in the valuation of the Life Insurance Contract Liabilities included the following:</p> <ul style="list-style-type: none"> <li>Mortality rate, morbidity rate, lapses ratio and surrenders ratio, loss ratios, bonus, interest rates, discount rates and related claim handling expenses, as disclosed in Note 2.4.1.2 (ii) to the financial statements.</li> </ul>                                                                                                                                                                                                                                                                                                                                                | <p>To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included the following;</p> <ul style="list-style-type: none"> <li>Assessed the competency, capability and objectivity of the management specialist engaged by the Group.</li> <li>Obtained an understanding of the liability valuation process.</li> <li>Checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing key Information to source documents and accounting records.</li> <li>Engaged expert resources to assess the reasonableness of the assumptions and appropriateness of the methods used in the actuarial valuations of Life Insurance Contract Liability and Liability Adequacy Test with reference to market data and policyholders experience.</li> </ul> <p>We assessed the adequacy of the disclosures in Note 18 and 42.5 to the financial statements.</p>                                                                                                   |
| <p><b>1. NON-LIFE INSURANCE CONTRACT LIABILITIES</b></p> <p>Non-Life Insurance Contract liabilities amounting to Rs. 3,831 Mn (Note 17) represent 36% of total liabilities of the Group as at 31 December 2023. Non-Life Insurance Contract Liabilities consist of provision for reported claims, provision for Incurred But Not Reported &amp; Incurred But Not Enough Reported ( IBNR &amp; IBNER ) and provision for unearned premiums which are determined based on an actuarial valuation as described in Note 2.4.1.2 (i).</p> <p>This was a key audit matter due to:</p> <ul style="list-style-type: none"> <li>materiality of the reported Non-Life Insurance Contract Liabilities.</li> <li>the degree of assumptions, judgements and estimation uncertainty associated with the actuarial valuation of Non-Life Insurance Contract Liabilities and Liability Adequacy Test carried out to determine the adequacy of the carrying value of Non -Life Insurance Contract Liabilities.</li> </ul> <p>Key areas of significant judgments, estimates and assumptions used in the valuation of the Non-Life Insurance Contract Liabilities included the following:</p> <ul style="list-style-type: none"> <li>the determination of historical experience and business expectations such as previous claim experience, existing knowledge of risk events, industry ultimate loss ratio, claims handling expenses and management expenses as disclosed in Note 2.4.1.2 (i) to the financial statements.</li> </ul> | <p>To assess the reasonableness of the Non-Life Insurance Contract Liabilities, our audit procedures included the following:</p> <ul style="list-style-type: none"> <li>Assessed the competency, capability and objectivity of the management specialist engaged by the Group.</li> <li>Obtained an understanding of the liability valuation process.</li> <li>Checked the completeness and accuracy of the data used in the valuation of Non-Life Insurance Contract Liabilities by agreeing key information to source documents and accounting records.</li> <li>Engaged expert resources to assess the reasonableness of the assumptions used in the actuarial valuations of the non-life insurance contract liability and Liability Adequacy Test with reference to the industry data and considering both historical experience and business expectations.</li> <li>Checked the unearned premium and reported claim calculations.</li> </ul> <p>We assessed the adequacy of the disclosures in Note 17 and 42.5 to the financial statements.</p> |

## OTHER INFORMATION INCLUDED IN THE 2023 ANNUAL REPORT

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

## RESPONSIBILITIES OF THE MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL STATEMENTS.

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

## AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

## INDEPENDENT AUDITOR'S REPORT

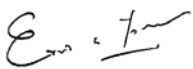
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

### REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 4169.

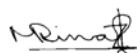


15 May 2024  
Colombo

# STATEMENT OF FINANCIAL POSITION

| As at 31 December 2023                                     | Notes | Group                 |                       | Company              |                      |
|------------------------------------------------------------|-------|-----------------------|-----------------------|----------------------|----------------------|
|                                                            |       | 2023                  | 2022                  | 2023                 | 2022                 |
|                                                            |       | Rs.                   | Rs.                   | Rs.                  | Rs.                  |
| <b>Assets</b>                                              |       |                       |                       |                      |                      |
| Intangible Assets                                          | 5     | 188,679,718           | 174,990,104           | 29,802,942           | 29,011,509           |
| Property, Plant and Equipment                              | 6     | 133,643,115           | 90,585,828            | 45,821,268           | 41,203,417           |
| Right of Use Assets                                        | 23    | 475,855,804           | 412,671,693           | 169,820,295          | 41,162,369           |
| Deferred Tax Assets                                        | 33.2  | -                     | 15,874,369            | -                    | -                    |
| Investment Property                                        | 7     | 151,000,000           | 150,550,000           | -                    | -                    |
| Investments in Subsidiaries                                | 8     | -                     | -                     | 2,726,560,589        | 2,156,026,697        |
| Financial Assets                                           | 9     | 8,844,858,297         | 7,056,732,879         | 1,493,324,391        | 1,377,904,670        |
| Retakaful (Reinsurance) Receivables                        |       | 603,709,479           | 368,471,084           | 410,989,643          | 197,567,498          |
| Contribution (Premium) Receivables                         | 10    | 1,548,100,182         | 1,356,628,068         | 1,268,552,570        | 1,021,764,011        |
| Other Assets                                               | 11    | 347,045,073           | 395,043,400           | 140,492,683          | 127,418,263          |
| Financial Assets - Unit Linked                             | 12    | 3,037,272,024         | 2,425,246,987         | -                    | -                    |
| Cash and Bank Balances                                     | 13    | 343,492,613           | 244,776,076           | 103,452,208          | 61,439,739           |
| Cash and Bank Balances - Unit Linked                       | 13    | 11,338,181            | 15,841,002            | -                    | -                    |
| <b>Total Assets</b>                                        |       | <b>15,684,994,485</b> | <b>12,707,411,490</b> | <b>6,388,816,589</b> | <b>5,053,498,173</b> |
| <b>Liabilities</b>                                         |       |                       |                       |                      |                      |
| Insurance Contract Liabilities - Non Life                  | 17    | 3,831,303,232         | 2,555,353,272         | 1,600,280,056        | 1,068,902,980        |
| Insurance Contract Liabilities - Family Takaful Fund       | 18.1  | 304,351,488           | 356,693,216           | -                    | -                    |
| Insurance Contract Liabilities- Unit Linked                | 18.2  | 2,970,343,620         | 2,473,579,681         | -                    | -                    |
| Employee Benefits                                          | 19    | 173,627,119           | 156,208,096           | 59,440,598           | 51,898,474           |
| Deferred Tax Liability                                     | 33.2  | 195,520,715           | -                     | -                    | -                    |
| Other Liabilities - Unit Linked                            | 20    | 186,253,738           | 118,930,337           | -                    | -                    |
| Other Liabilities                                          | 21    | 2,253,864,183         | 2,196,810,134         | 960,737,510          | 676,632,168          |
| Subordinated Debt                                          | 22    | 286,000,089           | 413,764,648           | 339,453,478          | 464,704,354          |
| Lease Liability                                            | 23.1  | 310,531,723           | 206,129,829           | 170,949,883          | 43,266,252           |
| <b>Total Liabilities</b>                                   |       | <b>10,511,795,908</b> | <b>8,477,469,213</b>  | <b>3,130,861,525</b> | <b>2,305,404,228</b> |
| <b>Shareholders' Equity</b>                                |       |                       |                       |                      |                      |
| <b>Equity Attributable to Equity Holders of the Parent</b> |       |                       |                       |                      |                      |
| Stated Capital                                             | 14    | 1,966,338,648         | 1,860,001,339         | 1,966,338,648        | 1,860,001,339        |
| Other Reserves                                             | 15    | 681,971,269           | 882,593,581           | 33,541,361           | 33,541,361           |
| Revenue Reserves                                           | 16    | 658,415,354           | 50,079,630            | 1,258,075,056        | 854,551,245          |
|                                                            |       | 3,306,725,271         | 2,792,674,550         | 3,257,955,065        | 2,748,093,945        |
| Non Controlling Interest                                   |       | 1,866,473,306         | 1,437,267,727         | -                    | -                    |
| <b>Total Equity</b>                                        |       | <b>5,173,198,577</b>  | <b>4,229,942,277</b>  | <b>3,257,955,065</b> | <b>2,748,093,945</b> |
| <b>Total Equity and Liabilities</b>                        |       | <b>15,684,994,485</b> | <b>12,707,411,490</b> | <b>6,388,816,589</b> | <b>5,053,498,173</b> |

These Financial Statements are in compliance with the requirements of the Companies Act, No. 07 of 2007.



**M. Rinaz Niyas**  
Head of Finance



**S. Karthigun**  
Chief Executive Officer

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by,



**M. Zulficar Ghouse**  
Chairman



**M.H.S. Kassim**  
Managing Director

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# STATEMENT OF COMPREHENSIVE INCOME

| Year ended 31 December 2023                                                     | Notes | Group           |                 | Company         |                 |
|---------------------------------------------------------------------------------|-------|-----------------|-----------------|-----------------|-----------------|
|                                                                                 |       | 2023            | 2022            | 2023            | 2022            |
|                                                                                 |       | Rs.             | Rs.             | Rs.             | Rs.             |
| Gross Written Contribution (Premium)                                            | 24    | 10,208,347,640  | 8,250,959,678   | 4,298,057,697   | 3,358,935,166   |
| Less: Contribution (Premium) Ceded to Retakaful                                 |       |                 |                 |                 |                 |
| Companies (Reinsurers)                                                          |       | (2,022,852,582) | (2,080,270,933) | (1,353,303,572) | (1,138,720,258) |
| Net Written Contribution (Premium)                                              |       | 8,185,495,058   | 6,170,688,745   | 2,944,754,125   | 2,220,214,908   |
| Net Change in Reserve for                                                       |       |                 |                 |                 |                 |
| Un-Earned Contribution (Premium)                                                |       | (841,895,839)   | (386,558,042)   | (326,374,403)   | (155,149,231)   |
| Net Earned Contribution (Premium)                                               |       | 7,343,599,218   | 5,784,130,703   | 2,618,379,722   | 2,065,065,677   |
| <b>Other Revenue</b>                                                            |       |                 |                 |                 |                 |
| Income from Investments                                                         | 25    | 1,084,519,536   | 716,097,623     | 279,605,616     | 155,372,577     |
| Changes in Share of Profit of Equity Accounted Subsidiaries                     | 8     | -               | -               | 164,233,322     | 205,025,472     |
| Other Income                                                                    | 26    | 471,935,033     | 442,445,259     | 155,658,050     | 222,509,754     |
| <b>Total Revenue</b>                                                            | 27    | 8,900,053,788   | 6,942,673,585   | 3,217,876,711   | 2,647,973,480   |
| <b>Benefits, Losses and Expenses</b>                                            |       |                 |                 |                 |                 |
| Takaful (Insurance) Claims and Benefits (Net)                                   | 28    | (5,321,423,912) | (3,683,487,918) | (1,984,987,390) | (1,330,786,092) |
| Acquisition Cost (Net of Reinsurance Commission)                                |       | (559,123,793)   | (468,687,952)   | (170,628,492)   | (164,681,155)   |
| Change in Family Takaful Contract Liability                                     |       | (445,854,249)   | (285,948,395)   | -               | -               |
| Other Operating and Administration Expenses                                     | 29    | (2,285,368,753) | (1,861,670,768) | (1,028,813,022) | (795,844,444)   |
| Amortisation                                                                    | 30    | (14,734,750)    | (14,242,702)    | (2,284,254)     | (2,203,920)     |
| <b>Total Claims, Benefits and Expenses</b>                                      |       | (8,626,505,457) | (6,314,037,736) | (3,186,713,158) | (2,293,515,611) |
| <b>Profit from Operations</b>                                                   | 31    | 273,548,331     | 628,635,849     | 31,163,553      | 354,457,870     |
| Finance Cost                                                                    | 32    | (52,893,667)    | (70,980,377)    | (45,051,449)    | (59,899,180)    |
| <b>Profit Before Taxation</b>                                                   |       | 220,654,664     | 557,655,472     | (13,887,897)    | 294,558,690     |
| Income Tax                                                                      | 33    | (69,218,991)    | (70,047,250)    | -               | -               |
| <b>Profit for the Year</b>                                                      |       | 151,435,672     | 487,608,222     | (13,887,897)    | 294,558,690     |
| <b>Profit attributable to:</b>                                                  |       |                 |                 |                 |                 |
| Equity Holders of the Parent                                                    |       | (9,988,087)     | 298,939,896     | (13,887,897)    | 294,558,690     |
| Non Controlling Interest                                                        |       | 161,423,759     | 188,668,327     | -               | -               |
|                                                                                 |       | 151,435,672     | 487,608,222     | (13,887,897)    | 294,558,690     |
| <b>Earnings Per Share</b>                                                       |       |                 |                 |                 |                 |
| Weighted Average Earnings Per Share                                             | 34    | (0.05)          | 1.66            | (0.07)          | 1.64            |
| Diluted Earnings Per Share                                                      | 34    | (0.04)          | 1.21            | (0.06)          | 1.19            |
| <b>Other Comprehensive Income</b>                                               |       |                 |                 |                 |                 |
| <b>Items that will never be reclassified to profit or loss</b>                  |       |                 |                 |                 |                 |
| Defined Benefit Plan Actuarial Losses                                           | 19    | 667,929         | 11,606,620      | (150,687)       | 10,730,143      |
| Net Change from Revaluation of Property Plant and Equipment                     |       | 667,929         | 11,606,620      | (150,687)       | 10,730,143      |
| <b>Items that are or may be reclassified to profit or loss</b>                  |       |                 |                 |                 |                 |
| <b>Net Change in Fair Value of Available-for-Sale Financial Assets</b>          |       | 1,090,258,743   | 172,048,453     | 11,261,824      | 4,879,463       |
| Net Change in Fair Value of Available-for-Sale Financial Assets                 |       |                 |                 |                 |                 |
| - transfer (to)/from policyholders reserve                                      |       | 15,553,895      | 5,091,579       | -               | -               |
| Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries | 8     | -               | -               | 406,300,570     | 764,484,039     |
| Foreign Currency Translation Differences for Foreign Operations                 |       | (364,767,840)   | 1,213,871,607   | -               | -               |
|                                                                                 |       | 741,044,799     | 1,391,011,639   | 417,562,394     | 769,363,502     |
| <b>Other Comprehensive Income, Net of tax</b>                                   |       | 741,712,728     | 1,402,618,259   | 417,411,707     | 780,093,644     |
| <b>Total Comprehensive Income for the year</b>                                  |       | 893,148,400     | 1,890,226,481   | 403,523,811     | 1,074,652,334   |
| <b>Total Comprehensive Income attributable to:</b>                              |       |                 |                 |                 |                 |
| Equity Holders of the Parent                                                    |       | 407,713,411     | 1,079,343,813   | 403,523,811     | 1,074,652,334   |
| Non Controlling Interest                                                        |       | 485,434,989     | 810,882,669     | -               | -               |
|                                                                                 |       | 893,148,400     | 1,890,226,481   | 403,523,811     | 1,074,652,334   |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# STATEMENT OF CHANGES IN EQUITY

| Year ended 31 December 2023                                                                                | Stated Capital | Other Reserves      |                     | Revenue Reserves       |                            |                  | Non-Controlling Interest | Total         |
|------------------------------------------------------------------------------------------------------------|----------------|---------------------|---------------------|------------------------|----------------------------|------------------|--------------------------|---------------|
|                                                                                                            |                | Revaluation Reserve | Translation Reserve | Policyholders' Reserve | Available For Sale Reserve | Accumulated Loss |                          |               |
|                                                                                                            | Rs.            | Rs.                 | Rs.                 | Rs.                    | Rs.                        | Rs.              | Rs.                      | Rs.           |
| <b>Group</b>                                                                                               |                |                     |                     |                        |                            |                  |                          |               |
| Balance as at 01st January 2022                                                                            | 1,860,001,339  | 45,424,314          | 169,539,884         | 11,059,608             | 67,981,761                 | (440,676,168)    | 677,318,647              | 2,390,649,385 |
| Net Profit for the year                                                                                    | -              | -                   | -                   | -                      | -                          | 298,939,896      | 188,668,327              | 487,608,222   |
| <b>Other Comprehensive Income</b>                                                                          |                |                     |                     |                        |                            |                  |                          |               |
| Net Change in Fair Value of Property, plant and equipment                                                  | -              | -                   | -                   | -                      | -                          | -                | -                        | -             |
| Net Change in Fair Value of Available-for-Sale Financial Assets                                            | -              | -                   | -                   | -                      | 96,822,408                 | -                | 75,226,046               | 172,048,453   |
| Foreign Currency Translation Differences for Foreign Operations                                            | -              | -                   | 667,629,384         | -                      | -                          | -                | 546,242,223              | 1,213,871,607 |
| Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve | -              | -                   | -                   | 4,190,369              | -                          | -                | 901,209                  | 5,091,579     |
| Defined Benefit Plan Actuarial Losses, Net of Deferred Tax                                                 | -              | -                   | -                   | -                      | -                          | 11,761,756       | (155,136)                | 11,606,620    |
| <b>Total Comprehensive Income</b>                                                                          | -              | -                   | 667,629,384         | 4,190,369              | 96,822,408                 | 310,701,652      | 810,882,669              | 1,890,226,481 |
| Transfer of revaluation surplus to retained earnings, at the disposal                                      | -              | -                   | -                   | -                      | -                          | -                | -                        | -             |
| Dividend Paid                                                                                              | -              | -                   | -                   | -                      | -                          | -                | (50,933,590)             | (50,933,590)  |
| <b>Changes in ownership interests</b>                                                                      | -              | -                   | -                   | -                      | -                          | -                | (50,933,590)             | (50,933,590)  |
| Balance as at 31st December 2022                                                                           | 1,860,001,339  | 45,424,314          | 837,169,268         | 15,249,977             | 164,804,169                | (129,974,516)    | 1,437,267,727            | 4,229,942,277 |
| Issue Of Shares (Note 14.1)                                                                                | 106,337,309    | -                   | -                   | -                      | -                          | -                | -                        | 106,337,309   |
| Net Profit for the period                                                                                  | -              | -                   | -                   | -                      | -                          | (9,988,087)      | 161,423,759              | 151,435,672   |
| <b>Other Comprehensive Income</b>                                                                          |                |                     |                     |                        |                            |                  |                          |               |
| Foreign Currency Translation Differences for Foreign Operations                                            | -              | -                   | (200,622,312)       | -                      | -                          | -                | (164,145,528)            | (364,767,840) |
| Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve | -              | -                   | -                   | 12,800,856             | -                          | -                | 2,753,039                | 15,553,895    |
| Net Change in Fair Value of Available for Sale Financial Assets                                            | -              | -                   | -                   | -                      | 604,710,130                | -                | 485,548,614              | 1,090,258,743 |
| Defined Benefit Plan Actuarial Losses, Net of Deferred Tax                                                 | -              | -                   | -                   | -                      | -                          | 812,824          | (144,895)                | 667,929       |
| <b>Total Comprehensive Income</b>                                                                          | -              | -                   | (200,622,312)       | 12,800,856             | 604,710,130                | (9,175,262)      | 485,434,989              | 893,148,400   |
| Dividend Paid                                                                                              | -              | -                   | -                   | -                      | -                          | -                | (56,229,409)             | (56,229,409)  |
| <b>Total changes in ownership interests</b>                                                                | -              | -                   | -                   | -                      | -                          | -                | (56,229,409)             | (56,229,409)  |
| Balance as at 31st December 2023                                                                           | 1,966,338,648  | 45,424,314          | 636,546,956         | 28,050,833             | 769,514,300                | (139,149,778)    | 1,866,473,306            | 5,173,198,577 |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

## STATEMENT OF CHANGES IN EQUITY

| Year ended 31 December 2023                                                     | Other Reserves       |                     | Revenue Reserves           |                           | Total                |
|---------------------------------------------------------------------------------|----------------------|---------------------|----------------------------|---------------------------|----------------------|
|                                                                                 | Stated Capital       | Revaluation Reserve | Available For Sale Reserve | Accumulated Profit/(Loss) |                      |
|                                                                                 | Rs.                  | Rs.                 | Rs.                        | Rs.                       | Rs.                  |
| <b>Company</b>                                                                  |                      |                     |                            |                           |                      |
| Balance as at 01st January 2022                                                 | 1,860,001,339        | 33,541,361          | 17,420,527                 | (237,521,616)             | 1,673,441,610        |
| <b>TOTAL COMPREHENSIVE INCOME</b>                                               |                      |                     |                            |                           |                      |
| Net Profit for the period                                                       | -                    | -                   | -                          | 294,558,690               | 294,558,690          |
| <b>Other Comprehensive Income</b>                                               |                      |                     |                            |                           |                      |
| Defined Benefit Plan Actuarial Losses, Net of Deferred Tax                      | -                    | -                   | -                          | 10,730,143                | 10,730,143           |
| Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries | -                    | -                   | -                          | 764,484,039               | 764,484,039          |
| Net Change in Revaluation of Property, plant and equipment                      | -                    | -                   | -                          | -                         | -                    |
| Net Change in Fair Value of Available-for-Sale Financial Assets                 | -                    | -                   | 4,879,463                  | -                         | 4,879,463            |
| Transfer from the Revaluation Reserve                                           | -                    | -                   | -                          | -                         | -                    |
| <b>Balance as at 31st December 2022</b>                                         | <b>1,860,001,339</b> | <b>33,541,361</b>   | <b>22,299,990</b>          | <b>832,251,255</b>        | <b>2,748,093,945</b> |
| Issue of Shares (Note 14.1)                                                     | 106,337,309          | -                   | -                          | -                         | 106,337,309          |
| <b>TOTAL COMPREHENSIVE INCOME</b>                                               |                      |                     |                            |                           |                      |
| Net Profit for the period                                                       | -                    | -                   | -                          | (13,887,897)              | (13,887,897)         |
| <b>Other Comprehensive Income</b>                                               |                      |                     |                            |                           |                      |
| Net Change in Fair Value of Available-for-Sale Financial Assets                 | -                    | -                   | 11,261,824                 | -                         | 11,261,824           |
| Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries | -                    | -                   | -                          | 406,300,570               | 406,300,570          |
| Defined Benefit Plan Actuarial Losses, Net of Deferred Tax                      | -                    | -                   | -                          | (150,687)                 | (150,687)            |
| <b>Total Comprehensive Income</b>                                               | <b>-</b>             | <b>-</b>            | <b>11,261,824</b>          | <b>392,261,987</b>        | <b>403,523,811</b>   |
| <b>Balance as at 31st December 2023</b>                                         | <b>1,966,338,648</b> | <b>33,541,361</b>   | <b>33,561,814</b>          | <b>1,224,513,242</b>      | <b>3,257,955,065</b> |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# STATEMENT OF CASH FLOWS

| Year ended 31 December 2023                                      | Notes | Group                |                      | Company             |                      |
|------------------------------------------------------------------|-------|----------------------|----------------------|---------------------|----------------------|
|                                                                  |       | 2023                 | 2022                 | 2023                | 2022                 |
|                                                                  |       | Rs.                  | Rs.                  | Rs.                 | Rs.                  |
| <b>Operating Activities</b>                                      |       |                      |                      |                     |                      |
| Contribution (Premium) Received from Participants                |       | 11,018,563,079       | 9,069,217,958        | 4,994,833,678       | 3,609,147,300        |
| Retakaful (Reinsurance) Premium Paid                             |       | (1,945,798,944)      | (1,859,781,904)      | (1,143,065,096)     | (909,461,892)        |
| Claims, Benefits and Expenses Paid                               |       | (4,942,021,942)      | (3,366,676,549)      | (2,128,213,945)     | (1,468,371,855)      |
| Retakaful (Reinsurance) Receipts in Respect of Claims            |       | 243,709,733          | 328,887,977          | 140,735,565         | 217,057,133          |
| Cash Paid to and on behalf of Employees                          |       | (1,826,970,049)      | (1,578,601,477)      | (987,907,151)       | (826,916,606)        |
| Profits Received from Investments and Other Income               |       | 943,187,702          | 635,157,686          | 213,025,908         | 155,643,305          |
| Dividends Received                                               |       | 98,486,759           | 111,275,286          | 70,675,509          | 64,552,619           |
| Finance Cost Paid                                                |       | (62,612,814)         | (78,215,777)         | (45,051,448)        | (59,899,180)         |
| Other Operating Cash Payments                                    |       | (2,162,160,973)      | (1,713,098,502)      | (893,705,810)       | (619,569,150)        |
| Cash Flow from/(used in) Operating Activities (Note A)           |       | 1,364,382,551        | 1,548,164,698        | 221,327,209         | 162,181,674          |
| Employee Benefit Paid                                            | 19    | (10,365,953)         | (7,501,089)          | (10,365,953)        | (4,828,097)          |
| Income Tax Paid                                                  |       | (68,601,333)         | (60,517,074)         | -                   | -                    |
| <b>Net Cash Flow from/(used in) Operating Activities</b>         |       | <b>1,285,415,264</b> | <b>1,480,146,536</b> | <b>210,961,255</b>  | <b>157,353,577</b>   |
| <b>Investing Activities</b>                                      |       |                      |                      |                     |                      |
| Purchase of Investment Securities                                |       | (3,323,481,450)      | (3,525,985,340)      | (1,534,078,232)     | (1,271,516,482)      |
| Sale of Investment Securities                                    |       | 3,331,419,345        | 2,961,284,124        | 1,660,443,403       | 1,095,268,956        |
| Purchase of Intangible Assets                                    | 5     | (44,934,112)         | (9,814,653)          | (3,075,687)         | (1,370,814)          |
| Purchase of Property, Plant and Equipment                        | 6     | (75,691,066)         | (23,449,474)         | (17,970,443)        | (10,987,114)         |
| Proceeds from Disposal of Property, Plant and Equipment          |       | 190,800              | 285,368              | 190,800             | 285,368              |
| Proceeds from Disposal of Investment Property                    | 7     | -                    | 48,600,000           | -                   | 48,600,000           |
| <b>Net Cash Flows used in Investing Activities</b>               |       | <b>(112,496,483)</b> | <b>(549,079,975)</b> | <b>105,509,841</b>  | <b>(139,720,086)</b> |
| <b>Financing Activities</b>                                      |       |                      |                      |                     |                      |
| Repayment of Lease Facility                                      | 23    | (70,903,295)         | (67,397,613)         | (45,116,604)        | (41,888,843)         |
| Repayments of Subordinated Debt                                  |       | -                    | (95,000,000)         | -                   | (75,000,000)         |
| Settlement of Debenture                                          |       | (106,337,309)        | -                    | (106,337,309)       | -                    |
| Issue of Shares (Note 14.1)                                      |       | 106,337,309          | -                    | 106,337,309         | -                    |
| Dividend Paid                                                    |       | (124,954,243)        | (113,185,755)        | -                   | -                    |
| <b>Net Cash Flows from Financing Activities</b>                  |       | <b>(195,857,538)</b> | <b>(275,583,368)</b> | <b>(45,116,604)</b> | <b>(116,888,843)</b> |
| <b>Increase/(Decrease) in Cash and Cash Equivalents (Note B)</b> |       | <b>977,061,243</b>   | <b>655,483,193</b>   | <b>271,354,493</b>  | <b>(99,255,353)</b>  |

## STATEMENT OF CASH FLOWS

| Year ended 31 December 2023 | Notes | Group |      | Company |      |
|-----------------------------|-------|-------|------|---------|------|
|                             |       | 2023  | 2022 | 2023    | 2022 |
|                             |       | Rs.   | Rs.  | Rs.     | Rs.  |

## NOTE A

## Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

|                                                             |    |                      |                      |                    |                    |
|-------------------------------------------------------------|----|----------------------|----------------------|--------------------|--------------------|
| Profit from Operations                                      | 31 | 273,548,331          | 628,635,849          | 31,163,553         | 354,457,870        |
| Depreciation                                                | 6  | 32,116,151           | 32,935,141           | 13,253,875         | 15,518,737         |
| Amortisation                                                | 5  | 14,734,750           | 14,242,702           | 2,284,254          | 2,203,920          |
| Depreciation of Right of use assets                         | 23 | 69,963,832           | 70,093,274           | 35,316,588         | 33,455,153         |
| Changes in Share of Profit of Equity Accounted Subsidiaries | 8  | -                    | -                    | (164,233,322)      | (205,025,472)      |
| Provision for Employee Benefit                              | 19 | 32,740,436           | 14,032,462           | 17,757,390         | 12,945,104         |
| (Increase)/Decrease in Debtors and Other Assets             |    | (378,712,182)        | (450,808,427)        | (473,285,124)      | (188,191,386)      |
| Increase in Family Takaful (Long Term Insurance) Fund       |    | (52,341,728)         | (40,687,638)         | -                  | -                  |
| Increase/(Decrease) in Net Unearned Contribution (Premium)  | 27 | 841,895,839          | 386,558,042          | 326,374,403        | 155,149,231        |
| Increase/(Decrease) in IBNR & General Reserve Provision     |    | 84,685,072           | 31,705,807           | 65,361,911         | 17,591,906         |
| Increase/(Decrease) in Claims Provision                     |    | 454,503,830          | 173,738,851          | 138,084,762        | (10,119,743)       |
| Increase/(Decrease) in Other Creditors                      |    | 57,054,049           | 906,110,493          | 284,105,342        | 176,566,175        |
| Profit on Sale of Property, Plant & Equipment               | 26 | (190,800)            | (285,368)            | (190,800)          | (285,368)          |
| Finance Cost                                                | 32 | (52,893,667)         | (70,980,377)         | (45,051,449)       | (59,899,180)       |
| (Gain)/Loss on Fair Value of Investment Property            | 7  | (450,000)            | (3,050,000)          | -                  | -                  |
| Exchange (Gain)/Loss                                        | 26 | (12,271,362)         | (144,076,112)        | (9,614,172)        | (142,185,273)      |
| <b>Cash Flows from/(used in) Operating Activities</b>       |    | <b>1,364,382,551</b> | <b>1,548,164,698</b> | <b>221,327,209</b> | <b>162,181,674</b> |

## Note B

## Increase/(Decrease) in Cash and Cash Equivalents

|                                                                 |    |                      |                      |                    |                     |
|-----------------------------------------------------------------|----|----------------------|----------------------|--------------------|---------------------|
| <b>Cash at bank and in Hand and Cash Equivalents</b>            | 13 | <b>2,361,238,132</b> | <b>1,384,176,889</b> | <b>507,132,818</b> | <b>235,778,325</b>  |
| Cash and Cash Equivalents at the end of the period              |    | 2,361,238,132        | 1,384,176,889        | 507,132,818        | 235,778,325         |
| Cash and Cash Equivalents at the beginning of the year          | 13 | 1,384,176,889        | 728,693,696          | 235,778,325        | 335,033,678         |
| Cash and Cash Equivalents transferred to Amana Takaful Life PLC |    | -                    | -                    | -                  | -                   |
| <b>Increase/( Decrease ) in Cash and Cash Equivalents</b>       |    | <b>977,061,243</b>   | <b>655,483,193</b>   | <b>271,354,493</b> | <b>(99,255,353)</b> |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION - 2023

| Year ended 31 December 2023                                 | Amana Takaful PLC<br>Rs. | Amana Takaful Life PLC<br>Rs. | Amana Takaful Maldives PLC<br>Rs. | Amana Global Ltd.<br>Rs. | Adjustments<br>Rs.     | Group<br>Rs.          |
|-------------------------------------------------------------|--------------------------|-------------------------------|-----------------------------------|--------------------------|------------------------|-----------------------|
| <b>Assets</b>                                               |                          |                               |                                   |                          |                        |                       |
| Intangible Assets                                           | 29,802,942               | 19,049,192                    | 139,827,584                       | -                        | -                      | 188,679,718           |
| Property, Plant and Equipment                               | 45,821,268               | 19,374,245                    | 68,447,602                        | -                        | -                      | 133,643,115           |
| Deferred Tax Asset                                          | -                        | -                             | -                                 | -                        | -                      | -                     |
| Investment Property                                         | -                        | 151,000,000                   | -                                 | -                        | -                      | 151,000,000           |
| Investment in Subsidiaries                                  | 2,726,560,589            | -                             | -                                 | -                        | (2,726,560,589)        | -                     |
| Financial Assets                                            | 1,493,324,391            | 924,185,198                   | 6,589,334,493                     | -                        | (161,985,785)          | 8,844,858,297         |
| Retakaful (Reinsurance) Receivables                         | 410,989,643              | 32,720,572                    | 159,999,264                       | -                        | -                      | 603,709,478           |
| Contribution (Premium) Receivables                          | 1,268,552,570            | 34,320,741                    | 245,226,872                       | -                        | -                      | 1,548,100,182         |
| Other Assets                                                | 134,315,858              | 59,495,778                    | 152,313,300                       | 1,604,076                | (683,939)              | 347,045,073           |
| Other Assets - Unit Linked                                  | -                        | -                             | -                                 | -                        | -                      | -                     |
| Financial Assets - Unit Linked                              | -                        | 3,037,272,024                 | -                                 | -                        | -                      | 3,037,272,024         |
| Right Of Use Asset                                          | 169,820,295              | 12,390,512                    | 293,644,997                       | -                        | -                      | 475,855,804           |
| Related Party Receivable                                    | 6,176,825                | -                             | 6,544,053                         | -                        | (12,720,878)           | -                     |
| Cash and Bank Balances                                      | 103,452,208              | 38,495,251                    | 196,364,264                       | 5,180,889                | -                      | 343,492,613           |
| Cash and Bank Balances - Unit Linked                        | -                        | 11,338,181                    | -                                 | -                        | -                      | 11,338,181            |
| <b>Total Assets</b>                                         | <b>6,388,816,589</b>     | <b>4,339,641,692</b>          | <b>7,851,702,428</b>              | <b>6,784,966</b>         | <b>(2,901,951,190)</b> | <b>15,684,994,485</b> |
| <b>Liabilities</b>                                          |                          |                               |                                   |                          |                        |                       |
| Insurance Contract Liabilities - Non Life                   | 1,600,280,056            | -                             | 2,231,023,176                     | -                        | -                      | 3,831,303,232         |
| Insurance Contract Liabilities - Family Takaful Fund        | -                        | 304,351,488                   | -                                 | -                        | -                      | 304,351,488           |
| Insurance Contract Liabilities - Family Takaful Unit Linked | -                        | 2,970,343,620                 | -                                 | -                        | -                      | 2,970,343,620         |
| Retakaful ( Reinsurance ) Payables                          | 691,271,052              | 30,869,728                    | 129,495,355                       | -                        | -                      | 851,636,135           |
| Employee Benefits                                           | 59,440,598               | 12,696,932                    | 101,489,589                       | -                        | -                      | 173,627,118           |
| Deferred Tax Liability                                      | -                        | -                             | 195,520,715                       | -                        | -                      | 195,520,715           |
| Other Liabilities - Unit Linked                             | -                        | 186,253,738                   | -                                 | -                        | -                      | 186,253,738           |
| Other Liabilities                                           | 263,074,815              | 102,399,477                   | 1,023,938,293                     | 12,815,460               | -                      | 1,402,228,047         |
| Related Party Payable                                       | 6,391,643                | -                             | 836,269                           | 6,176,825                | (13,404,737)           | -                     |
| Subordinated Debt                                           | 339,453,478              | 108,532,397                   | -                                 | -                        | (161,985,785)          | 286,000,089           |
| Lease Liability                                             | 170,949,883              | 13,687,013                    | 125,894,828                       | -                        | -                      | 310,531,723           |
| <b>Total Liabilities</b>                                    | <b>3,130,861,524</b>     | <b>3,729,134,393</b>          | <b>3,808,198,226</b>              | <b>18,992,285</b>        | <b>(175,390,522)</b>   | <b>10,511,795,908</b> |
| <b>Shareholders' Equity</b>                                 |                          |                               |                                   |                          |                        |                       |
| <b>Equity Attributable to Equity Holders of the Parent</b>  |                          |                               |                                   |                          |                        |                       |
| Stated Capital                                              | 1,966,338,648            | 500,000,000                   | 202,370,719                       | 37,125,000               | (739,495,719)          | 1,966,338,648         |
| Other Reserves                                              | 33,541,361               | 47,043,117                    | 1,053,130,987                     | -                        | (451,744,196)          | 681,971,269           |
| Revenue Reserves                                            | 1,258,075,056            | 63,464,181                    | 2,788,002,496                     | (49,332,320)             | (3,401,794,059)        | 658,415,354           |
|                                                             | 3,257,955,065            | 610,507,298                   | 4,043,504,202                     | (12,207,320)             | (4,593,033,974)        | 3,306,725,271         |
| Non Controlling Interest                                    | -                        | -                             | -                                 | -                        | 1,866,473,306          | 1,866,473,306         |
| <b>Total Equity</b>                                         | <b>3,257,955,065</b>     | <b>610,507,298</b>            | <b>4,043,504,202</b>              | <b>(12,207,320)</b>      | <b>(2,726,560,668)</b> | <b>5,173,198,577</b>  |
| <b>Total Equity and Liabilities</b>                         | <b>6,388,816,589</b>     | <b>4,339,641,692</b>          | <b>7,851,702,428</b>              | <b>6,784,966</b>         | <b>(2,901,951,190)</b> | <b>15,684,994,485</b> |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# SEGMENT ANALYSIS - STATEMENT OF PROFIT OR LOSS - 2023

| Year ended 31 December                                                 | Amana Takaful PLC<br>Rs. | Amana Takaful Life PLC<br>Rs. | Amana Takaful (Maldives) PLC<br>Rs. | Amana Global Ltd<br>Rs. | Adjustments<br>Rs. | Group<br>Rs.    |
|------------------------------------------------------------------------|--------------------------|-------------------------------|-------------------------------------|-------------------------|--------------------|-----------------|
| <b>Gross Written Contribution (Premium)</b>                            | 4,298,057,697            | 1,150,656,357                 | 4,760,501,368                       | -                       | (867,782)          | 10,208,347,640  |
| Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers) | (1,353,303,572)          | (56,457,232)                  | (613,091,779)                       | -                       | -                  | (2,022,852,582) |
| <b>Net Written Contribution (Premium)</b>                              | 2,944,754,125            | 1,094,199,124                 | 4,147,409,590                       | -                       | (867,782)          | 8,185,495,057   |
| <b>Net Change in Reserve for</b>                                       |                          |                               |                                     |                         |                    |                 |
| Un-Earned Contribution (Premium)                                       | (326,374,403)            | (511,865)                     | (515,009,572)                       | -                       | -                  | (841,895,839)   |
| <b>Net Earned Contribution (Premium)</b>                               | 2,618,379,722            | 1,093,687,260                 | 3,632,400,018                       | -                       | (867,782)          | 7,343,599,218   |
| <b>Other Income</b>                                                    |                          |                               |                                     |                         |                    |                 |
| Income from Investments                                                | 279,605,616              | 622,665,421                   | 260,692,480                         | -                       | (78,443,981)       | 1,084,519,536   |
| Changes in Share of Profit of Equity Accounted Subsidiaries            | 164,233,322              | -                             | -                                   | -                       | (164,233,322)      | -               |
| Other Operating Income                                                 | 155,658,050              | 48,093,063                    | 267,973,580                         | 2,817,572               | (2,607,232)        | 471,935,033     |
| <b>Total Revenue</b>                                                   | 3,217,876,711            | 1,764,445,744                 | 4,161,066,078                       | 2,817,572               | (246,152,317)      | 8,900,053,788   |
| <b>Benefits, Losses and Expenses</b>                                   |                          |                               |                                     |                         |                    |                 |
| Takaful (Insurance) Claims and Benefits-net                            | (1,984,987,390)          | (573,960,682)                 | (2,762,475,839)                     | -                       | -                  | (5,321,423,912) |
| Acquisition Cost (Net of Reinsurance Commission)                       | (170,628,492)            | (152,309,797)                 | (236,185,505)                       | -                       | -                  | (559,123,793)   |
| Increase in Family Takaful (Long Term Insurance) Fund                  | -                        | (445,854,249)                 | -                                   | -                       | -                  | (445,854,249)   |
| <b>Less : Indirect Expenses</b>                                        |                          |                               |                                     |                         |                    |                 |
| Other Operating and Administration Expenses                            | (980,242,559)            | (515,606,784)                 | (687,795,062)                       | (3,119,380)             | 3,475,014          | 2,183,288,771   |
| Amortisation                                                           | (2,284,254)              | (1,541,358)                   | (10,909,139)                        | -                       | -                  | (14,734,750)    |
| Depreciation                                                           | (48,570,463)             | (15,853,025)                  | (37,656,494)                        | -                       | -                  | (102,079,982)   |
| <b>Profit / (Loss) from Operations</b>                                 | 31,163,552               | 59,319,848                    | 426,044,039                         | (301,809)               | (242,677,303)      | 273,548,329     |
| Finance Cost                                                           | (45,051,449)             | (9,000,380)                   | (8,560,987)                         | -                       | 9,719,147          | (52,893,667)    |
| <b>Profit/(Loss) Before Taxation</b>                                   | (13,887,897)             | 50,319,468                    | 417,483,053                         | (301,809)               | (232,958,156)      | 220,654,663     |
| Income Tax                                                             | -                        | -                             | (69,218,991)                        | -                       | -                  | (69,218,991)    |
| <b>Profit/(Loss) for the period</b>                                    | (13,887,897)             | 50,319,468                    | 348,264,061                         | (301,809)               | (232,958,156)      | 151,435,672     |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# SEGMENT ANALYSIS - STATEMENT OF FINANCIAL POSITION - 2022

|                                                                | Amana Takaful<br>PLC | Amana Takaful<br>Life PLC | Amana Takaful<br>Maldives PLC | Amana Global<br>Ltd. | Adjustments            | Group                 |
|----------------------------------------------------------------|----------------------|---------------------------|-------------------------------|----------------------|------------------------|-----------------------|
| Year ended 31 December 2022                                    | Rs.                  | Rs.                       | Rs.                           | Rs.                  | Rs.                    | Rs.                   |
| <b>Assets</b>                                                  |                      |                           |                               |                      |                        |                       |
| Intangible Assets                                              | 29,011,509           | 20,455,549                | 125,523,046                   | -                    | -                      | 174,990,104           |
| Property, Plant and Equipment                                  | 41,203,417           | 21,318,102                | 28,064,309                    | -                    | -                      | 90,585,828            |
| Deferred Tax Asset                                             | -                    | -                         | 15,874,369                    | -                    | -                      | 15,874,369            |
| Investment Property                                            | -                    | 150,550,000               | -                             | -                    | -                      | 150,550,000           |
| Investment in Subsidiaries                                     | 2,156,026,697        | -                         | -                             | -                    | (2,156,026,697)        | -                     |
| Financial Assets                                               | 1,377,904,670        | 1,052,175,579             | 4,800,204,682                 | -                    | (173,552,052)          | 7,056,732,879         |
| Retakaful (Reinsurance) Receivables                            | 197,567,498          | -                         | 170,903,586                   | -                    | -                      | 368,471,084           |
| Contribution (Premium) Receivables                             | 1,021,764,011        | 37,975,617                | 296,888,440                   | -                    | -                      | 1,356,628,068         |
| Other Assets                                                   | 113,815,469          | 38,715,417                | 247,934,924                   | 3,313,160            | (8,735,570)            | 395,043,400           |
| Financial Assets - Unit Linked                                 | -                    | 2,425,246,987             | -                             | -                    | -                      | 2,425,246,987         |
| Right Of Use Asset                                             | 41,162,369           | 11,954,352                | 359,554,972                   | -                    | -                      | 412,671,693           |
| Related Party Receivable                                       | 13,602,794           | -                         | 4,825,317                     | -                    | (18,428,111)           | -                     |
| Cash and Bank Balances                                         | 61,439,739           | 46,507,026                | 136,669,731                   | 159,580              | -                      | 244,776,076           |
| Cash and Bank Balances - Unit Linked                           | -                    | 15,841,002                | -                             | -                    | -                      | 15,841,002            |
| <b>Total Assets</b>                                            | <b>5,053,498,173</b> | <b>3,820,739,630</b>      | <b>6,186,443,377</b>          | <b>3,472,741</b>     | <b>(2,356,742,430)</b> | <b>12,707,411,490</b> |
| <b>Liabilities</b>                                             |                      |                           |                               |                      |                        |                       |
| Insurance Contract Liabilities - Non Life                      | 1,068,902,980        | -                         | 1,486,450,292                 | -                    | -                      | 2,555,353,272         |
| Insurance Contract Liabilities - Family<br>Takaful Fund        | -                    | 356,693,216               | -                             | -                    | -                      | 356,693,216           |
| Insurance Contract Liabilities - Family<br>Takaful Unit Linked | -                    | 2,473,579,681             | -                             | -                    | -                      | 2,473,579,681         |
| Retakaful ( Reinsurance ) Payables                             | 447,797,190          | 49,831,071                | 276,954,235                   | -                    | -                      | 774,582,495           |
| Employee Benefits                                              | 51,898,474           | 10,820,935                | 93,488,687                    | -                    | -                      | 156,208,096           |
| Other Liabilities - Unit Linked                                | -                    | 118,930,337               | -                             | -                    | -                      | 118,930,337           |
| Other Liabilities                                              | 228,834,978          | 120,665,393               | 1,070,613,955                 | 2,113,311            | -                      | 1,422,227,637         |
| Related Party Payable                                          | -                    | 10,752,031                | 2,808,856                     | 13,602,794           | (27,163,681)           | -                     |
| Subordinated Debt                                              | 464,704,354          | 122,612,347               | -                             | -                    | (173,552,052)          | 413,764,648           |
| Lease Liability                                                | 43,266,252           | 13,039,309                | 149,824,268                   | -                    | -                      | 206,129,829           |
| <b>Total Liabilities</b>                                       | <b>2,305,404,228</b> | <b>3,276,924,320</b>      | <b>3,080,140,293</b>          | <b>15,716,105</b>    | <b>(200,715,733)</b>   | <b>8,477,469,213</b>  |
| <b>Shareholders' Equity</b>                                    |                      |                           |                               |                      |                        |                       |
| <b>Equity Attributable to Equity Holders<br/>of the Parent</b> |                      |                           |                               |                      |                        |                       |
| Stated Capital                                                 | 1,860,001,339        | 500,000,000               | 202,370,719                   | 37,125,000           | (739,495,719)          | 1,860,001,339         |
| Other Reserves                                                 | 33,541,361           | 31,489,221                | 1,417,811,547                 | -                    | (600,248,548)          | 882,593,581           |
| Revenue Reserves                                               | 854,551,245          | 12,326,088                | 1,486,120,818                 | (49,368,364)         | (2,253,550,157)        | 50,079,630            |
|                                                                | 2,748,093,945        | 543,815,310               | 3,106,303,083                 | (12,243,364)         | (3,593,294,423)        | 2,792,674,550         |
| Non Controlling Interest                                       | -                    | -                         | -                             | -                    | 1,437,267,727          | 1,437,267,727         |
| <b>Total Equity</b>                                            | <b>2,748,093,945</b> | <b>543,815,310</b>        | <b>3,106,303,083</b>          | <b>(12,243,364)</b>  | <b>(2,156,026,697)</b> | <b>4,229,942,277</b>  |
| <b>Total Equity and Liabilities</b>                            | <b>5,053,498,173</b> | <b>3,820,739,630</b>      | <b>6,186,443,377</b>          | <b>3,472,741</b>     | <b>(2,356,742,430)</b> | <b>12,707,411,490</b> |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# SEGMENT ANALYSIS - STATEMENT OF PROFIT OR LOSS - 2022

| Year ended 31 December 2022                                            | Amana Takaful PLC<br>Rs. | Amana Takaful Life PLC<br>Rs. | Amana Takaful (Maldives) PLC<br>Rs. | Amana Global Ltd<br>Rs. | Adjustments<br>Rs. | Group<br>Rs.    |
|------------------------------------------------------------------------|--------------------------|-------------------------------|-------------------------------------|-------------------------|--------------------|-----------------|
| <b>Gross Written Contribution (Premium)</b>                            | 3,358,935,166            | 1,060,777,579                 | 3,840,365,918                       | -                       | (9,118,986)        | 8,250,959,678   |
| Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers) | (1,138,720,258)          | (60,259,897)                  | (881,290,778)                       | -                       | -                  | (2,080,270,933) |
| <b>Net Written Contribution (Premium)</b>                              | 2,220,214,908            | 1,000,517,682                 | 2,959,075,140                       | -                       | (9,118,986)        | 6,170,688,745   |
| <b>Net Change in Reserve for</b>                                       |                          |                               |                                     |                         |                    |                 |
| Un-Earned Contribution (Premium)                                       | (155,149,231)            | 2,723,534                     | (234,132,344)                       | -                       | -                  | (386,558,042)   |
| <b>Net Earned Contribution (Premium)</b>                               | 2,065,065,677            | 1,003,241,216                 | 2,724,942,796                       | -                       | (9,118,986)        | 5,784,130,703   |
| <b>Other Income</b>                                                    |                          |                               |                                     |                         |                    |                 |
| Income from Investments                                                | 155,372,577              | 409,891,117                   | 220,321,494                         | -                       | (69,487,565)       | 716,097,623     |
| Changes in Share of Profit of Equity Accounted Subsidiaries            | 205,025,472              | -                             | -                                   | -                       | (205,025,472)      | -               |
| Other Operating Income                                                 | 222,509,754              | 40,387,299                    | 179,538,164                         | 4,745,800               | (4,735,759)        | 442,445,259     |
| <b>Total Revenue</b>                                                   | 2,647,973,480            | 1,453,519,632                 | 3,124,802,454                       | 4,745,800               | (288,367,782)      | 6,942,673,585   |
| <b>Benefits, Losses and Expenses</b>                                   |                          |                               |                                     |                         |                    |                 |
| Takaful (Insurance) Claims and Benefits-net                            | (1,330,786,092)          | (518,768,780)                 | (1,833,933,045)                     | -                       | -                  | (3,683,487,918) |
| Acquisition Cost (Net of Reinsurance Commission)                       | (164,681,155)            | (149,281,833)                 | (154,724,965)                       | -                       | -                  | (468,687,952)   |
| Increase in Family Takaful (Long Term Insurance) Fund                  | -                        | (285,948,395)                 | -                                   | -                       | -                  | (285,948,395)   |
| <b>Less : Indirect Expenses</b>                                        |                          |                               |                                     |                         |                    |                 |
| Other Operating and Administration Expenses                            | (746,870,554)            | (419,409,656)                 | (602,687,589)                       | (3,529,299)             | 13,854,745         | (1,758,642,353) |
| Amortisation                                                           | (2,203,920)              | (1,446,263)                   | (10,592,519)                        | -                       | -                  | (14,242,702)    |
| Depreciation                                                           | (48,973,890)             | (15,321,171)                  | (38,733,353)                        | -                       | -                  | (103,028,415)   |
| <b>Profit / (Loss) from Operations</b>                                 | 354,457,870              | 63,343,532                    | 484,130,983                         | 1,216,501               | (274,513,037)      | 628,635,849     |
| Finance Cost                                                           | (59,899,180)             | (9,252,801)                   | (9,063,796)                         | -                       | 7,235,400          | (70,980,377)    |
| <b>Profit/(Loss) Before Taxation</b>                                   | 294,558,690              | 54,090,731                    | 475,067,187                         | 1,216,501               | (267,277,637)      | 557,655,472     |
| Income Tax                                                             | -                        | -                             | (70,047,250)                        | -                       | -                  | (70,047,250)    |
| <b>Profit/(Loss) for the period</b>                                    | 294,558,690              | 54,090,731                    | 405,019,937                         | 1,216,501               | (267,277,637)      | 487,608,222     |

The notes on pages 74 to 147 are an integral part of these consolidated financial statements.

# STATEMENT OF FINANCIAL POSITION OF FAMILY TAKAFUL (LIFE INSURANCE) - SUPPLEMENTAL

| Year ended 31 December 2023                                 | 2023<br>Rs.          | 2022<br>Rs.          |
|-------------------------------------------------------------|----------------------|----------------------|
| <b>ASSETS</b>                                               |                      |                      |
| Intangible Assets                                           | 19,049,192           | 20,455,549           |
| Property, Plant and Equipment                               | 19,374,245           | 21,318,102           |
| Investment Property                                         | 151,000,000          | 150,550,000          |
| Financial Assets                                            | 924,185,198          | 1,052,175,579        |
| Right of use of Asset                                       | 12,390,512           | 11,954,352           |
| Retakaful (Reinsurance) Receivables                         | 32,720,572           | -                    |
| Contribution (Premium) Receivables                          | 34,320,741           | 37,975,617           |
| Other Assets                                                | 59,495,778           | 38,715,417           |
| Financial Assets - Unit Linked                              | 3,037,272,024        | 2,425,246,987        |
| Cash and Bank balances                                      | 38,495,251           | 46,507,026           |
| Cash and Bank balances - Unit Linked                        | 11,338,181           | 15,841,002           |
| <b>Total Assets</b>                                         | <b>4,339,641,692</b> | <b>3,820,739,630</b> |
| <b>LIABILITIES</b>                                          |                      |                      |
| Insurance Contract Liability - Family Takaful Fund          | 304,351,488          | 356,693,216          |
| Insurance Contract Liability - Family Takaful - Unit Linked | 2,970,343,620        | 2,473,579,681        |
| Employee Benefits                                           | 12,696,932           | 10,820,935           |
| Other Liabilities - Unit Linked                             | 186,253,738          | 118,930,337          |
| Subordinated Debt                                           | 108,532,397          | 122,612,347          |
| Other Liabilities                                           | 133,269,205          | 181,248,494          |
| Lease Liability                                             | 13,687,013           | 13,039,309           |
| <b>Total Liabilities</b>                                    | <b>3,729,134,393</b> | <b>3,276,924,319</b> |
| <b>Shareholders' Equity</b>                                 |                      |                      |
| Stated Capital                                              | 500,000,000          | 500,000,000          |
| Other Reserves                                              | 47,043,117           | 31,489,221           |
| Revenue Reserves                                            | 63,464,181           | 12,326,088           |
| <b>Total Equity</b>                                         | <b>610,507,298</b>   | <b>543,815,310</b>   |
| <b>Total Equity and Liabilities</b>                         | <b>4,339,641,692</b> | <b>3,820,739,630</b> |

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

# NOTES TO THE FINANCIAL STATEMENTS

## 1. CORPORATE INFORMATION

### 1.1 GENERAL

Amana Takaful PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the 'Group' and individually 'Group companies').

### 1.2 PRINCIPAL ACTIVITIES AND NATURE OF OPERATIONS

#### COMPANY

During the year, the principal activity of the Company was General Takaful Insurance Business.

#### SUBSIDIARY

The principal activity of Amana Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amana Takaful (Maldives) PLC, which is a subsidiary (55%) of Amana Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amana Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful insurance.

### 1.3 DATE OF AUTHORIZATION FOR ISSUE

The Consolidated and Separate Financial Statements of Amana Takaful PLC for the year ended 31 December 2023 was authorized for issue by the Board of Directors on 15 May 2024.

### 1.4 RESPONSIBILITY FOR FINANCIAL STATEMENTS

The Board of Directors is responsible for these financial statements.

## 2. BASIS OF PREPARATION

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amana Global Limited, Amana Takaful (Maldives) PLC and Amana Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amana Global Limited, Amana Takaful (Maldives) PLC and Amana Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously.

### 2.1 STATEMENT OF COMPLIANCE

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ("Financial Statements") as at and for the year then ended, have been prepared in accordance with Sri Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

## 2.2 BASIS OF MEASUREMENT

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognized at the present value
- Incurred by not reported / Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies
- Investment in subsidiaries, which are Equity accounted.

The Group presents its Statement of Financial Position broadly in the order of liquidity.

## 2.3 FUNCTIONAL AND PRESENTATION CURRENCY

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

## 2.4 USE OF ESTIMATES AND JUDGMENTS

In the process of applying the group accounting policies, management is required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognized in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The key items as such are discussed below.

### 2.4.1 ASSUMPTION AND ESTIMATION UNCERTAINTIES

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2023 is included in the following notes:

#### 2.4.1.1 Note 7 - Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P. P. T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

#### 2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provisions and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and Actsure Lab (Pvt) Ltd respectively.

#### (i) Note 17 - General Insurance Provision

Non-life insurance contract liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalization or catastrophe reserves is recognized. The liabilities are derecognized when the contract expires, is discharged or is cancelled.

## NOTES TO THE FINANCIAL STATEMENTS

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognized as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognized in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

### (ii) Note 18 - Long Term Insurance Provision- (Family Takaful Fund)

Life insurance liabilities are recognized when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognized life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

### 2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

### 2.4.1.4 Note 33.2 - Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

### 2.4.1.5 Note 8 – Investment in Subsidiaries

#### Fair value of Investment Transferred

The determination of fair value of investment transferred recorded on the Statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

### 2.4.1.6 Note 6.6.5 – Revaluation

The Motor Vehicles are measured at revalued amounts with changes in fair value being recognised in the Statement of Changes in Equity.

## 2.5 MEASUREMENT OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorized in different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

## 2.6 SEGMENT REPORTING

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund Management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

## 2.7 GOING CONCERN

These Financial Statements are presented on the assumption that the Group is a going concern. The Directors have neither the intention nor the necessity of liquidation or of curtailing materially the scale of its operations in all sectors of the Group. There are no going concern issues identified during the current financial year 2023.

### 2.7.1 COMPLIANCE WITH RISK BASED CAPITAL SOLVENCY MARGIN RULES

As per the RBC Solvency Margin Rule, an insurance company engaged in either long term insurance business or general insurance business is required to maintain a Total Available Capital (TAC) of Rs.500 million and capital adequacy ratio (CAR) of 120% minimum with supervisory buffer level of 160%.

The company was able to maintain the required TAC and the minimum CAR of 120% during the full financial year 2023.

The company also was able to maintain the required TAC and CAR level of 160% in all quarters till the authorization date.

## 3. SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements.

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

### 3.1 BASIS OF CONSOLIDATION

#### 3.1.1 BUSINESS COMBINATIONS

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognized in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognized in profit or loss.

#### 3.1.2 NON-CONTROLLING INTERESTS (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

## NOTES TO THE FINANCIAL STATEMENTS

### 3.1.3 SUBSIDIARIES

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial Statements from the date on which control commences until the date on which control ceases.

### 3.1.4 LOSS OF CONTROL

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognized in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

### 3.1.5 TRANSACTIONS ELIMINATED ON CONSOLIDATION

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated.

### 3.1.6 COMMON CONTROL TRANSACTIONS

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognized in Profit or Loss; instead, the result of the transaction is recognized in equity as arising from a transaction with shareholders.

### 3.1.7 COMMON CONTROL TRANSACTIONS IN SEPARATE FINANCIAL STATEMENTS

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

## 3.2 FOREIGN CURRENCY

### 3.2.1 FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognized in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognized in OCI, are reclassified to profit or loss); are recognized in OCI:

### 3.2.2 FOREIGN OPERATIONS

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognized in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form part of the net investment in the foreign operation. Accordingly, such differences are recognized in OCI and accumulated in the translation reserve.

### 3.3 INCOME TAX

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

#### 3.3.1 CURRENT TAXES

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

#### 3.3.2 DEFERRED TAXATION

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

### 3.4 INTANGIBLE ASSETS

#### 3.4.1 RESEARCH & DEVELOPMENT

Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortization and any accumulated impairment losses. Amortization is recognized in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognized.

Research and other development expenditure are recognized in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

#### 3.4.2 OTHER INTANGIBLE ASSETS

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

## NOTES TO THE FINANCIAL STATEMENTS

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortization methods of intangible assets with finite lives are as follows:

| Class             | Useful Life | Amortization method  |
|-------------------|-------------|----------------------|
| Computer Software | 08-20 years | Straight line method |

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

### 3.5 PREPAID EXPENDITURE

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

### 3.6 SALVAGE STOCK

Salvage Stocks are valued at since realized/realizable value.

### 3.7 RETAKAFUL (REINSURANCE) AND CONTRIBUTION (PREMIUM) RECEIVABLE

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognized as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognized when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognized when due and measured on initial recognition at the fair value of the consideration received or receivable. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

### 3.8 OTHER ASSETS & RECEIVABLES

Other assets & receivables are stated at their estimated realizable value.

### 3.9 PROPERTY, PLANT AND EQUIPMENT

#### 3.9.1 COST

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2021 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other Comprehensive Income in the year the asset is derecognised.

### 3.9.2 RESTORATION COST

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

### 3.9.3 DEPRECIATION

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

| Class                | Useful Life   |
|----------------------|---------------|
| Motor Vehicles       | 04 - 05 Years |
| Computer Equipment   | 03 - 05 Years |
| Other Equipment      | 04 - 05 Years |
| Furniture & Fittings | 05 - 10 Years |
| Leasehold vehicle    | 04 - 05 Years |

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

## 3.10 FINANCIAL ASSETS

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortized cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below.

| Financial Asset                     | Category                                                 |
|-------------------------------------|----------------------------------------------------------|
| Treasury Bonds                      | Available for Sale                                       |
| Treasury Bills                      | Loans and Receivables                                    |
| Equity Shares                       | Fair Value Through Profit or Loss and Available-for-Sale |
| Unit Trust                          | Available-for-Sale                                       |
| Gold                                | Fair Value Through Profit                                |
| Term Deposits / Mudharabah Deposits | Loans and Receivables                                    |
| Loans & Receivable                  | Loans and Receivables                                    |
| Financial Liability                 | Category                                                 |
| Murabaha Facility/Fixed Term        | Other Financial Liabilities                              |

## NOTES TO THE FINANCIAL STATEMENTS

### 3.11 RECOGNITION OF FINANCIAL ASSETS

The Group initially recognizes loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognized initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

#### 3.11.1 MEASUREMENT

##### (a) Financial assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognized in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realized gain and loss are recognized in the Statement of Profit or Loss and Other Comprehensive Income.

##### (b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are initially recognized at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortized cost, using the effective interest rate method. Gains and losses are recognized in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognized or impaired, as well as through the amortization process.

##### (c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

##### (d) Available-For-Sale financial assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognized or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are transferred to the Statement of Profit or Loss and Other Comprehensive Income.

### (e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognized at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortized cost using the effective interest method.

### 3.11.2 IMPAIRMENT OF FINANCIAL ASSETS

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

#### (a) Assets carried at amortized cost

If there is objective evidence that an impairment loss on assets carried at amortized cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment.

Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognized are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognized, the previously recognized impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognized in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

#### (b) Available-For-Sale financial investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortization) and its current fair value, less any impairment loss previously recognized in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognized in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified as available-for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognized in the Statement of Profit or Loss and Other Comprehensive Income.

#### (c) Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

## NOTES TO THE FINANCIAL STATEMENTS

### 3.12 DE-RECOGNITION OF FINANCIAL ASSETS

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
  - Has transferred substantially all the risks and rewards of the asset, or
  - Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognizes a financial liability when its contractual obligations are discharged or cancelled or expire.

### 3.13 INVESTMENT PROPERTIES

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

### 3.14 LEASES

#### RECOGNITION

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles.

#### MEASUREMENT

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

## ESTIMATING THE INCREMENTAL BORROWING RATE

As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments

## 3.15 LIABILITIES AND PROVISIONS (EXCLUDING INSURANCE CONTRACTS)

### LIABILITIES

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

### PROVISIONS (EXCLUDING INSURANCE CONTRACTS)

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognized as finance cost.

## 3.16 EMPLOYEE BENEFITS

### DEFINED BENEFIT PLAN – GRATUITY

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plan is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

### RECOGNITION OF ACTUARIAL GAINS AND LOSSES

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the period in which they arise.

### RECOGNITION OF PAST SERVICE COST

Past Service Costs are recognized as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

### FUNDING ARRANGEMENTS

The Gratuity liability is not externally funded.

### 3.16.1 DEFINED CONTRIBUTION PLANS – EMPLOYEES' PROVIDENT FUND & EMPLOYEES' TRUST FUND

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

### 3.16.2 SHORT-TERM EMPLOYEE BENEFITS

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

## NOTES TO THE FINANCIAL STATEMENTS

### 3.17 IMPAIRMENT OF NON-FINANCIAL ASSETS

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

### 3.18 GENERAL TAKAFUL BUSINESS (NON-LIFE INSURANCE BUSINESS)

#### 3.18.1 GROSS WRITTEN CONTRIBUTION (GROSS WRITTEN PREMIUM)

Contributions (Premiums) are recognized earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

#### 3.18.2 UNEARNED CONTRIBUTION (PREMIUM)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

#### 3.18.3 UNEXPIRED RISK

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December 2023.

#### 3.18.4 OUTWARD RETAKAFUL (REINSURANCE)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognized as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

#### 3.18.5 CLAIMS

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognized in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

### 3.18.6 DEFERRED ACQUISITION COST AND DEFERRED INCOME

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

## 3.19 FAMILY TAKAFUL BUSINESS (LONG-TERM INSURANCE BUSINESS)

### 3.19.1 TAKAFUL CONTRIBUTION (PREMIUM)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognized as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognize profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions (premiums) are recorded as income when received with any excess profit deferred and recognized in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

### 3.19.2 RETAKAFUL CONTRACTS (REINSURANCE CONTRACTS)

Outward Retakaful contributions (reinsurance premiums) are recognized when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

### 3.19.3 CLAIMS

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

### 3.19.4 TECHNICAL PROVISIONS – FAMILY TAKAFUL BUSINESS PROVISION AND PROVISION FOR LINKED LIABILITIES

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

## 3.20 REVENUE RECOGNITION

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

### 3.20.1 WAKALA FEE (AGENCY/ ALLOCATION FEE)

#### 3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

- General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

- Medical Takaful (Insurance) Policies 10% & 37.5%
- All other General Takaful (Insurance) Policies 20% - 50%

- Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

- Family Takaful Products - First Year 80%
- Second Year 45%
- Third Year & after 02%
- Mortgage Family Takaful (Insurance) Policies 20%
- Group Family Takaful (Insurance) Policies 30%

## NOTES TO THE FINANCIAL STATEMENTS

### 3.20.1.2 Wakala Fee (Agency/ Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

### 3.20.2 INVESTMENT INCOME

#### 3.20.2.1 Interest Income

Interest income is recognized in the Statement of Profit or Loss and Other Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument.

#### 3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

#### 3.20.2.3 Realised/Unrealised Gains and (Losses)

Realized gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction.

### 3.21 OTHERS

Other income is recognized on an accrual basis.

### 3.22 EXPENDITURE RECOGNITION

Expenses are recognized in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income.

All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

### 3.23 EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorized for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

### 3.24 CAPITAL COMMITMENTS AND CONTINGENCIES

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

### 3.25 STATED CAPITAL

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognized as a deduction from equity, net of any tax effects.

### 3.26 EARNINGS PER SHARE (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

### 3.27 STATEMENT OF CASH FLOWS

The Cash Flow Statement has been prepared using the direct Method of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

## 4. STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT REPORTING DATE

Impending Accounting Standards/ standards issued not yet effective

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2023 reporting periods. None of those have been early adopted by the Group.

### A) CLASSIFICATION OF LIABILITIES AS CURRENT OR NON-CURRENT - AMENDMENT TO LKAS 1

Amendments to LKAS 1 relate to classification of liabilities with covenants as current or non-current. The amendments clarify that if an entity's right to defer settlement of a liability is subject to the entity complying with the required covenants only at a date subsequent to the reporting period ("future covenants"), the entity has a right to defer settlement of the liability even if it does not comply with those covenants at the end of the reporting period. The requirements apply only to liabilities arising from loan arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024

### B) DISCLOSURES: SUPPLIER FINANCE ARRANGEMENTS - AMENDMENTS TO LKAS 7 AND SLFRS 7

The amendments clarify the characteristics of supplier finance arrangements and require an entity to provide information about the impact of supplier finance arrangements on liabilities and cash flows, including terms and conditions of those arrangements, quantitative information on liabilities related to those arrangements as at the beginning and end of the reporting period and the type and effect of non-cash changes in the carrying amounts of those arrangements.

The amendments are effective for annual periods beginning on or after 1 January 2024

### C) LEASE LIABILITY IN A SALE AND LEASEBACK - AMENDMENT TO SLFRS 16

The amendments to SLFRS 16 Leases specifies the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction, to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains. A seller-lessee applies the amendment retrospectively in accordance with LKAS 8 to sale and leaseback transactions entered into after the date of initial application.

The amendments are effective for annual periods beginning on or after 1 January 2024

### D) SLFRS 17 INSURANCE CONTRACTS

SLFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, SLFRS 17 will replace SLFRS 4 Insurance Contracts (SLFRS 4) that was issued in 2005. SLFRS 17 applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. The core of SLFRS 17 is the general model, supplemented by:

- A specific adaptation for contracts with direct participation features (the variable fee approach)
- A simplified approach (the premium allocation approach) mainly for short-duration contracts

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2026, with comparative figures required. Early application is permitted, provided the entity also applies SLFRS 9 and SLFRS 15 on or before the date it first applies SLFRS 17.

### E) INTERNATIONAL TAX REFORM—PILLAR TWO MODEL RULE - AMENDMENTS TO LKAS 12

The amendments to LKAS 12 introduce a mandatory exception in LKAS 12 from recognising and disclosing deferred tax assets and liabilities related to Pillar Two income taxes. An entity is required to disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The amendments are effective for annual periods beginning on or after 1 January 2024.

## NOTES TO THE FINANCIAL STATEMENTS

### 5. INTANGIBLE ASSETS

#### 5.1 GROUP

| Year ended 31 December 2023          | 2023<br>Rs.        | 2022<br>Rs.        |
|--------------------------------------|--------------------|--------------------|
| <b>Cost</b>                          |                    |                    |
| Balance at the beginning of the year | 316,262,252        | 207,972,772        |
| Additions during the year            | 44,934,112         | 9,814,653          |
| Exchange gain /(loss)                | (24,149,756)       | 98,474,827         |
| Balance at the end of the year       | 337,046,608        | 316,262,252        |
| <b>Amortisation</b>                  |                    |                    |
| Balance at the beginning of the year | 141,272,148        | 87,138,040         |
| Charges for the year                 | 14,734,750         | 14,242,702         |
| Exchange gain /(loss)                | (7,640,008)        | 39,891,406         |
| Balance at the end of the year       | 148,366,890        | 141,272,148        |
| <b>Carrying Amount</b>               | <b>188,679,718</b> | <b>174,990,104</b> |

#### 5.2 COMPANY

| Year ended 31 December 2023          | 2023<br>Rs.       | 2022<br>Rs.       |
|--------------------------------------|-------------------|-------------------|
| <b>Cost</b>                          |                   |                   |
| Balance at the beginning of the year | 61,700,282        | 60,329,469        |
| Additions during the year            | 3,075,687         | 1,370,814         |
| Balance at the end of the year       | 64,775,969        | 61,700,282        |
| <b>Amortisation</b>                  |                   |                   |
| Balance at the beginning of the year | 32,688,773        | 30,484,854        |
| Amortisation charge for the year     | 2,284,254         | 2,203,920         |
| Balance at the end of the year       | 34,973,027        | 32,688,773        |
| <b>Carrying value</b>                | <b>29,802,942</b> | <b>29,011,509</b> |

#### 5.3 ACQUISITION OF INTANGIBLE ASSETS DURING THE YEAR

During the financial year, the Group has acquired/ capitalized Intangible Assets (Computer Software) to the aggregate value of Rs. 44,934,112/- (2022 - 9,814,653/-).

#### 5.4 FULLY AMORTISED INTANGIBLE ASSETS IN USE

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs.17,582,631/- (2022 - Rs.17,582,631/-).

#### 5.5 TITLE RESTRICTION ON INTANGIBLE ASSETS

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2023.

#### 5.6 ASSESSMENT OF IMPAIRMENT OF INTANGIBLE ASSETS

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2023. Based on the assessment, no impairment indicators were identified.

## 6. PROPERTY, PLANT AND EQUIPMENT

### 6.1 COST/VALUATION

| Group            | Balance as at<br>01.01.2023<br>Rs. | Additions/<br>Transfers<br>Rs. | Disposals/<br>Transfers<br>Rs. | Exchange<br>Movement<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|------------------|------------------------------------|--------------------------------|--------------------------------|-----------------------------|----------------------------------|
| Freehold (6.1.1) | 454,609,328                        | 75,691,066                     | (9,069,068)                    | (9,403,153)                 | 511,828,173                      |
|                  | 454,609,328                        | 75,691,066                     | (9,069,068)                    | (9,403,153)                 | 511,828,173                      |

#### 6.1.1 FREEHOLD PROPERTY, PLANT AND EQUIPMENT

| Group<br>Cost/Valuation                  | Balance as at<br>01.01.2023<br>Rs. | Additions/<br>Transfers<br>Rs. | Disposals/<br>Transfers<br>Rs. | Exchange<br>Movement<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|------------------------------------------|------------------------------------|--------------------------------|--------------------------------|-----------------------------|----------------------------------|
| Motor Vehicles                           | 22,391,314                         | -                              | (816,937)                      | (255,710)                   | 21,318,667                       |
| Computer Equipment                       | 129,977,720                        | 60,397,475                     | (6,724,443)                    | (3,896,315)                 | 179,754,438                      |
| Other Equipment                          | 134,172,698                        | 6,582,528                      | (1,070,788)                    | (1,354,828)                 | 138,329,610                      |
| Furniture and Fittings                   | 168,067,595                        | 8,711,062                      | (456,900)                      | (3,896,299)                 | 172,425,458                      |
| <b>Total Value of Depreciable Assets</b> | 454,609,328                        | 75,691,066                     | (9,069,068)                    | (9,403,153)                 | 511,828,173                      |

| Depreciation              | Balance as at<br>01.01.2023<br>Rs. | Charge<br>for the Year<br>Rs. | Disposals<br>Rs. | Exchange<br>Movement<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|---------------------------|------------------------------------|-------------------------------|------------------|-----------------------------|----------------------------------|
| Motor Vehicles            | 7,198,580                          | 3,904,880                     | (531,283)        | (255,711)                   | 10,316,466                       |
| Computer Equipment        | 104,208,690                        | 12,150,908                    | (9,523,377)      | (2,775,147)                 | 104,061,075                      |
| Other Equipment           | 121,919,090                        | 6,041,045                     | (1,070,788)      | (1,236,664)                 | 125,652,684                      |
| Furniture and Fittings    | 130,697,139                        | 10,019,318                    | (454,787)        | (2,106,837)                 | 138,154,833                      |
| <b>Total Depreciation</b> | 364,023,500                        | 32,116,151                    | (11,580,234)     | (6,374,359)                 | 378,185,058                      |
| Carrying Amount           | 90,585,828                         |                               |                  |                             | 133,643,115                      |

#### 6.1.2 NET BOOK VALUES

|                                                               | 2023<br>Rs. | 2022<br>Rs. |
|---------------------------------------------------------------|-------------|-------------|
| Freehold                                                      | 133,643,115 | 90,585,828  |
| <b>Total Carrying Amount of Property, Plant and Equipment</b> | 133,643,115 | 90,585,828  |

#### 6.1.3 ACQUISITION OF PROPERTY, PLANT AND EQUIPMENT DURING THE YEAR - GROUP

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.75,691,066/- (2022 - Rs. 23,449,474/-) for cash considerations.

#### 6.1.4 FULLY DEPRECIATED PROPERTY, PLANT AND EQUIPMENT IN USE - GROUP

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.266,105,326/- (2022 - Rs. 266,105,326/-).

## NOTES TO THE FINANCIAL STATEMENTS

### 6.2 TITLE RESTRICTION ON PROPERTY, PLANT AND EQUIPMENT

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

### 6.3 ASSESSMENT OF IMPAIRMENT

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2023. Based on the assessment, no impairment indicators were identified.

### 6.4 CAPITALISATION OF BORROWING COSTS

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

### 6.5 TEMPORARILY IDLE PROPERTY, PLANT AND EQUIPMENT

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2023.

### 6.6 COMPANY

| Cost/Valuation   | Balance<br>as at<br>01.01.2023<br>Rs. | Additions<br>Rs. | Disposals<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|------------------|---------------------------------------|------------------|------------------|----------------------------------|
| Freehold (6.6.1) | 304,157,129                           | 17,970,443       | (630,000)        | 321,497,572                      |
|                  | 304,157,129                           | 17,970,443       | (630,000)        | 321,497,572                      |

#### 6.6.1 FREEHOLD PROPERTY, PLANT AND EQUIPMENT

| Cost/Valuation                    | Balance<br>as at<br>01.01.2023<br>Rs. | Additions<br>Rs. | Disposals<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|-----------------------------------|---------------------------------------|------------------|------------------|----------------------------------|
| Motor Vehicles                    | 7,335,000                             | -                | (630,000)        | 6,705,000                        |
| Computer Equipment                | 80,401,196                            | 7,828,982        |                  | 88,230,178                       |
| Other Equipment                   | 102,681,190                           | 4,061,644        |                  | 106,742,833                      |
| Furniture and Fittings            | 113,739,744                           | 6,079,817        |                  | 119,819,561                      |
| Total Value of Depreciable Assets | 304,157,129                           | 17,970,443       | (630,000)        | 321,497,572                      |

| Depreciation           | Balance<br>as at<br>01.01.2023<br>Rs. | Charge for the<br>Year<br>Rs. | Disposals<br>Rs. | Total as at<br>31.12.2023<br>Rs. |
|------------------------|---------------------------------------|-------------------------------|------------------|----------------------------------|
| Motor Vehicles         | 1,990,598                             | 1,426,786                     | (531,283)        | 2,886,101                        |
| Computer Equipment     | 69,399,805                            | 3,696,648                     |                  | 73,096,453                       |
| Other Equipment        | 95,236,757                            | 3,172,391                     |                  | 98,409,148                       |
| Furniture and Fittings | 96,326,553                            | 4,958,050                     |                  | 101,284,602                      |
| Total Depreciation     | 262,953,712                           | 13,253,875                    | (531,283)        | 275,676,304                      |
| Carrying Amount        | 41,203,417                            |                               |                  | 45,821,268                       |

### 6.6.2 NET BOOK VALUES

|                                                        | 2023<br>Rs. | 2022<br>Rs. |
|--------------------------------------------------------|-------------|-------------|
| Freehold                                               | 45,821,268  | 41,203,417  |
| Total Carrying Amount of Property, Plant and Equipment | 45,821,268  | 41,203,417  |

### 6.6.3 ACQUISITION OF PROPERTY, PLANT AND EQUIPMENT DURING THE YEAR - COMPANY

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.17,970,443/- (2022 Rs.10,987,114/-) for cash considerations.

### 6.6.4 FULLY DEPRECIATED PROPERTY, PLANT AND EQUIPMENT IN USE - COMPANY

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.208,666,759/- (2022 - Rs.208,666,759/-).

### 6.6.5 REVALUATION

#### Company

In 2021, the Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve as at 31.12.2021. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

| Year ended 31 December 2023 | 2023<br>Rs. | 2022<br>Rs. |
|-----------------------------|-------------|-------------|
| Cost                        | 5,320,000   | 5,320,000   |
| Accumulated depreciation    | (4,364,922) | (3,469,419) |
| Carrying Value              | 955,078     | 1,850,581   |

### OTHER GROUP COMPANIES

#### Amana Takaful Life PLC

In 2021, Amana Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve as at 31.12.2021. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows;

| Year ended 31 December 2023 | 2023<br>Rs. | 2022<br>Rs. |
|-----------------------------|-------------|-------------|
| Cost                        | 3,849,377   | 3,849,377   |
| Accumulated depreciation    | (3,312,336) | (2,416,832) |
| Carrying Value              | 537,041     | 1,432,545   |

## NOTES TO THE FINANCIAL STATEMENTS

### 6.7 TITLE RESTRICTION ON PROPERTY, PLANT AND EQUIPMENT

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

### 6.8 ASSESSMENT OF IMPAIRMENT

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2023. Based on the assessment, no impairment indicators were identified.

### 6.9 CAPITALISATION OF BORROWING COSTS

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

### 6.10 TEMPORARILY IDLE PROPERTY, PLANT AND EQUIPMENT

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2023.

## 7. INVESTMENT PROPERTY

|                                           | Group       |              | Company |              |
|-------------------------------------------|-------------|--------------|---------|--------------|
|                                           | 2023        | 2022         | 2023    | 2022         |
|                                           | Rs.         | Rs.          | Rs.     | Rs.          |
| Balance as at 1st January                 | 150,550,000 | 196,100,000  | -       | 48,600,000   |
| Disposals during the year                 | -           | (48,600,000) | -       | (48,600,000) |
| Net Gain/ Loss from Fair Value Adjustment | 450,000     | 3,050,000    | -       | -            |
| Balance as at 31st December               | 151,000,000 | 150,550,000  | -       | -            |

**7.1** Amana Takaful Life PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs. 195,426/- (2022 - Rs.109,340/-) and includes a provision of Rs. 2,000,000/- for Renovation expenses for the year 2023 (2022 - Rs.2,000,000).

### 7.2 FAIR VALUE HIERARCHY

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2023.

The Group fair value measurement for investment property of Rs.151,000,000/- (2022- Rs.150,550,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

### 7.3 VALUATION TECHNIQUE

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market approach of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

| No.                           | Address                              | Extent     | Fair Value<br>2023<br>Rs. | Per Perch/<br>Sq. ft. Value<br>Rs. | Fair Value<br>2022<br>Rs. | Per Perch/<br>Sq. ft. Value<br>Rs. |
|-------------------------------|--------------------------------------|------------|---------------------------|------------------------------------|---------------------------|------------------------------------|
| <b>Amana Takaful Life PLC</b> |                                      |            |                           |                                    |                           |                                    |
| 01)                           | 451, Old Moor Street,<br>Colombo 12. | - Land     | 137,500,000               | 25,000,000<br>per Perch            | 137,500,000               | 25,000,000<br>per Perch            |
|                               |                                      | - Building | 13,500,000                | 5,172 per sq. ft                   | 13,050,000                | 5,000 per sq. ft                   |

### 7.4 SENSITIVITY

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

|                                       | 31 December 2023 |             | 31 December 2022 |             |
|---------------------------------------|------------------|-------------|------------------|-------------|
|                                       | Increase         | Decrease    | Increase         | Decrease    |
| <b>Amana Takaful Life PLC</b>         |                  |             |                  |             |
| Per Perch Value (Rs.100,000 movement) | 550,000          | (550,000)   | 550,000          | (550,000)   |
| Per square Feet (Rs.1000 movement)    | 2,610,000        | (2,610,000) | 2,610,000        | (2,610,000) |

## 8. INVESTMENTS IN SUBSIDIARIES

| Company                         | % Holding |       | Number of Shares |            | Equity Accounted     |                      |
|---------------------------------|-----------|-------|------------------|------------|----------------------|----------------------|
|                                 | 2023      | 2022  | 2023             | 2022       | 2023<br>Rs.          | 2022<br>Rs.          |
| Amana Global Ltd.               | 100%      | 100%  | 33,333           | 33,333     | 37,125,000           | 37,125,000           |
| Amana Takaful Life PLC          | 82.3%     | 82.3% | 41,150,000       | 41,150,000 | 502,447,500          | 447,560,001          |
| Amana Takaful Maldives PLC      | 55%       | 55%   | 11,166,500       | 11,166,500 | 2,224,113,089        | 1,708,466,696        |
| Provision for Amana Global Ltd. | -         | -     | -                | -          | (37,125,000)         | (37,125,000)         |
|                                 |           |       |                  |            | <b>2,726,560,589</b> | <b>2,156,026,697</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### 8.1 SUBSIDIARY MOVEMENT

|                            | Balance<br>31.12.2022 | Change in<br>Share of<br>investee's Profit | Change in<br>Share of<br>investee's OCI | Balance as at<br>31.12.2023 |
|----------------------------|-----------------------|--------------------------------------------|-----------------------------------------|-----------------------------|
|                            | Rs.                   | Rs.                                        | Rs.                                     | Rs.                         |
| Amana Takaful Maldives PLC | 1,708,466,696         | 122,820,400                                | 392,825,993                             | 2,224,113,089               |
| Amana Takaful Life PLC     | 447,560,001           | 41,412,922                                 | 13,474,577                              | 502,447,500                 |
| Net                        | 2,156,026,697         | 164,233,322                                | 406,300,570                             | 2,726,560,589               |

### 8.2 SENSITIVITY

The Investment in subsidiaries held at Maldives would have an affected by foreign currency translation by the amounts shown below.

| Amana Takaful Maldives PLC                              | 31 December 2023 |          | 31 December 2022 |          |
|---------------------------------------------------------|------------------|----------|------------------|----------|
|                                                         | Increase         | Decrease | Increase         | Decrease |
| Per 10 rupee change (For every 1000 net asset movement) | 10,000           | (10,000) | 10,000           | (10,000) |

**8.3** Principal place of business of Subsidiary company Amana Takaful Life PLC and Amana Global Ltd is in Sri Lanka. The principal place of business of Amana Takaful Maldives PLC is in Maldives.

## 9. FINANCIAL ASSETS

| Year ended 31 December                                       | Group         |               | Company       |               |
|--------------------------------------------------------------|---------------|---------------|---------------|---------------|
|                                                              | 2023<br>Rs.   | 2022<br>Rs.   | 2023<br>Rs.   | 2022<br>Rs.   |
| Financial Assets at Fair Value Through Profit & Loss (9.2.1) | 424,354,173   | 392,862,659   | 71,295,112    | 46,239,733    |
| Available For Sale Financial Assets (9.2.2)                  | 2,975,522,915 | 1,795,831,125 | 108,008,229   | 41,746,407    |
| Loans and Receivable (9.2.3)                                 | 5,444,981,209 | 4,868,039,094 | 1,314,021,050 | 1,289,918,530 |
|                                                              | 8,844,858,297 | 7,056,732,879 | 1,493,324,391 | 1,377,904,670 |

**9.1** Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost.

### 9.2 CLASSIFICATION OF FINANCIAL ASSETS

#### 9.2.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT & LOSS

| As at 31 December                        | Group       |             | Company     |             |
|------------------------------------------|-------------|-------------|-------------|-------------|
|                                          | 2023<br>Rs. | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Investments in Equity Securities (9.3.1) | 277,725,423 | 221,862,659 | 49,792,612  | 34,989,733  |
| Investments in Gold                      | 146,628,750 | 171,000,000 | 21,502,500  | 11,250,000  |
|                                          | 424,354,173 | 392,862,659 | 71,295,112  | 46,239,733  |

## 9.2.2 AVAILABLE FOR SALE FINANCIAL ASSETS

| As at 31 December                                        | Group         |               | Company     |            |
|----------------------------------------------------------|---------------|---------------|-------------|------------|
|                                                          | 2023          | 2022          | 2023        | 2022       |
|                                                          | Rs.           | Rs.           | Rs.         | Rs.        |
| Investments in Equity Securities - Quoted (9.3.2)        | 2,787,829,229 | 1,691,071,200 | -           | -          |
| Unit Trust                                               |               |               | -           | -          |
| - Candor Balance Fund                                    | 15,886,294    | 17,889,963    | -           | -          |
| - Candor Income Fund                                     | 27,743,757    | 14,074,263    | -           | -          |
| - Wealth Management NDB                                  | 143,538,635   | 72,270,698    | 107,483,229 | 41,221,407 |
| Investments in Equity Securities - Unquoted (9.3.3) (**) | 525,000       | 525,000       | 525,000     | 525,000    |
|                                                          | 2,975,522,915 | 1,795,831,125 | 108,008,229 | 41,746,407 |

**\*\*The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.**

## 9.2.3 LOANS AND RECEIVABLE

| As at 31 December                    | Group         |               | Company       |               |
|--------------------------------------|---------------|---------------|---------------|---------------|
|                                      | 2023          | 2022          | 2023          | 2022          |
|                                      | Rs.           | Rs.           | Rs.           | Rs.           |
| Repurchase Agreements                | 2,039,187,999 | 1,597,745,775 | 531,453,134   | 465,438,580   |
| Fixed Term Investments               | 3,388,070,089 | 3,251,868,068 | 767,387,331   | 808,597,234   |
| Advances to Company Officers (9.2.4) | 17,723,121    | 18,425,250    | 15,180,585    | 15,882,715    |
|                                      | 5,444,981,209 | 4,868,039,094 | 1,314,021,050 | 1,289,918,530 |

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000.

**\*\*The Group Loans and Receivables includes a provision of Rs. 75,658,959/- (2022 - 75,658,959/-). The said provision will be revised upon recovery.**

## 9.2.4 ADVANCES TO COMPANY OFFICERS

| As at 31 December                    | Group        |              | Company      |              |
|--------------------------------------|--------------|--------------|--------------|--------------|
|                                      | 2023         | 2022         | 2023         | 2022         |
|                                      | Rs.          | Rs.          | Rs.          | Rs.          |
| Balance at the beginning of the year | 18,425,250   | 12,178,866   | 15,882,715   | 10,634,094   |
| Loans granted during the year        | 30,102,188   | 19,145,923   | 27,534,522   | 16,578,257   |
| Less : Repayments during the year    | (30,804,317) | (12,899,538) | (28,236,652) | (11,329,636) |
| Balance at the end of the year       | 17,723,121   | 18,425,250   | 15,180,585   | 15,882,715   |

## NOTES TO THE FINANCIAL STATEMENTS

### 9.3 INVESTMENTS IN EQUITY SECURITIES

#### 9.3.1 QUOTED

| Year ended 31 December | Group            |                  |                  |                  | Company          |                  |                  |                  |
|------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                        | 2023             |                  | 2022             |                  | 2023             |                  | 2022             |                  |
|                        | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. |

#### 9.3.1.1 Financial Investments at Fair Value Through Profit or Loss

|                                      |           |             |           |             |         |            |         |            |
|--------------------------------------|-----------|-------------|-----------|-------------|---------|------------|---------|------------|
| ACL Cables PLC                       | 52,481    | 3,610,693   | -         | -           | 52,481  | 3,610,693  | -       | -          |
| Amana Bank PLC                       | 7,992,740 | 18,383,302  | 3,641,124 | 10,558,790  | 401,000 | 922,300    | -       | -          |
| Chevron Lubricants Lanka PLC         | 30,000    | 2,709,000   | -         | -           | 30,000  | 2,709,000  | -       | -          |
| Dhivehi Raajjeyge Gulhun PLC         | 2,270     | 6,458,882   | 2,270     | 5,918,045   | -       | -          | -       | -          |
| Kelani Valley Plantations PLC        | 18,116    | 1,315,222   | -         | -           | 18,116  | 1,315,222  | -       | -          |
| Ooredoo Maldives PLC                 | 100,000   | 194,144,012 | 100,000   | 164,409,700 | -       | -          | -       | -          |
| Maldives Islamic Bank PLC            | 6,372     | 9,868,915   | 6,372     | 5,986,392   | -       | -          | -       | -          |
| Hayleys Fabric PLC                   | -         | -           | 219,918   | 4,970,147   | -       | -          | 219,918 | 4,970,147  |
| Dialog Axiata PLC                    | 692,977   | 6,236,793   | 367,977   | 3,127,805   | 692,977 | 6,236,793  | 367,977 | 3,127,805  |
| Hemas Holdings PLC                   | 75,000    | 5,002,500   | 50,000    | 2,820,000   | 75,000  | 5,002,500  | 50,000  | 2,820,000  |
| Lanka Tiles PLC                      | 94,773    | 3,999,421   | 94,473    | 4,369,035   | 94,773  | 3,999,421  | 94,473  | 4,369,035  |
| Ceylon Grain Elevators PLC           | 22,136    | 3,508,556   | 18,136    | 1,459,948   | 22,136  | 3,508,556  | 18,136  | 1,459,948  |
| Tokyo Cement Company (Lanka) PLC     | 196,074   | 7,450,812   | 101,220   | 2,631,720   | 196,074 | 7,450,812  | 101,220 | 2,631,720  |
| Lanka Milk Foods PLC                 | -         | -           | 20,000    | 2,475,000   | -       | -          | 20,000  | 2,475,000  |
| Teejay Lanka PLC                     | 183,745   | 6,669,944   | 148,745   | 4,715,217   | 183,745 | 6,669,944  | 148,745 | 4,715,217  |
| Expolanka Holdings PLC               | 24,205    | 3,467,366   | 46,205    | 8,420,861   | 24,205  | 3,467,366  | 46,205  | 8,420,861  |
| Bairaha Farms PLC                    | 18,903    | 3,506,507   | -         | -           | 18,903  | 3,506,507  | -       | -          |
| Sri Lanka Telecom PLC                | 15,000    | 1,393,500   | -         | -           | 15,000  | 1,393,500  | -       | -          |
| At Fair Value Through Profit or Loss |           | 277,725,423 |           | 221,862,659 |         | 49,792,612 |         | 34,989,733 |

### 9.3.2 QUOTED

| Year ended 31 December    | Group            |                  |                  |                  | Company          |                  |                  |                  |
|---------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
|                           | 2023             |                  | 2022             |                  | 2023             |                  | 2022             |                  |
|                           | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. | Number of Shares | Market Value Rs. |
| Maldives Islamic Bank PLC | 1,800,000        | 2,787,829,229    | 1,800,000        | 1,691,071,200    | -                | -                | -                | -                |
| Available for Sale        |                  | 2,787,829,229    |                  | 1,691,071,200    |                  | -                |                  | -                |
| Investments at Fair Value |                  |                  |                  |                  |                  |                  |                  |                  |

### 9.3.3 UNQUOTED

|                                                                     | Group            |          |                  |          | Company          |          |                  |          |
|---------------------------------------------------------------------|------------------|----------|------------------|----------|------------------|----------|------------------|----------|
|                                                                     | 2023             |          | 2022             |          | 2023             |          | 2022             |          |
|                                                                     | Number of Shares | Cost Rs. | Number of Shares | Cost Rs. | Number of Shares | Cost Rs. | Number of Shares | Cost Rs. |
| Available for sale financial assets re classified to profit or loss |                  |          |                  |          |                  |          |                  |          |
| Cleanco (Pvt) Ltd                                                   | 35,000           | 525,000  | 35,000           | 525,000  | 35,000           | 525,000  | 35,000           | 525,000  |
| Available for Sale                                                  |                  | 525,000  |                  | 525,000  |                  | 525,000  |                  | 525,000  |
| Investments at Fair Value                                           |                  |          |                  |          |                  |          |                  |          |

## 9.4 FINANCIAL INSTRUMENTS - FAIR VALUE AND RISK MANAGEMENT

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1 : Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2 : Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3 : Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

## NOTES TO THE FINANCIAL STATEMENTS

### 9.4.1 ACCOUNTING CLASSIFICATIONS AND FAIR VALUES

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

| Group                                              | Carrying Amount       |                    |                                   |                | Fair value    |             |         |               |
|----------------------------------------------------|-----------------------|--------------------|-----------------------------------|----------------|---------------|-------------|---------|---------------|
| 31st December 2023                                 | Loans and receivables | Available for sale | Fair value through profit or loss | Total          | Level 1       | Level 2     | Level 3 | Total         |
| Financial assets measured at fair value            | Rs.                   | Rs.                | Rs.                               | Rs.            | Rs.           | Rs.         | Rs.     | Rs.           |
| Equity securities - Quoted                         | - 2,787,829,229       | 277,725,423        | 3,065,554,652                     | 3,065,554,652  | -             | -           | -       | 3,065,554,652 |
| Equity Securities - Unit Linked                    | -                     | 65,239,199         | 65,239,199                        | 65,239,199     | -             | -           | -       | 65,239,199    |
| Unit Trust                                         | - 187,168,687         | -                  | 187,168,687                       | -              | 187,168,687   | -           | -       | 187,168,687   |
| Unit Trust - Unit Linked                           | - 39,542,958          | -                  | 39,542,958                        | -              | 39,542,958    | -           | -       | 39,542,958    |
| Investment In Gold                                 | -                     | 256,657,500        | 256,657,500                       | -              | 256,657,500   | -           | -       | 256,657,500   |
|                                                    | - 3,014,540,874       | 599,622,122        | 3,614,162,996                     | 3,130,793,851  | 483,369,145   | -           | -       | 3,614,162,996 |
| <b>Financial assets not measured at fair value</b> |                       |                    |                                   |                |               |             |         |               |
| Repurchase Agreements                              | 2,039,187,999         | -                  | 2,039,187,999                     | -              | -             | -           | -       | -             |
| Equity securities - Unquoted                       | -                     | 525,000            | 525,000                           | -              | -             | -           | -       | -             |
| Fixed Term Investments                             | 3,388,070,089         | -                  | 3,388,070,089                     | -              | -             | -           | -       | -             |
| Advances to Company Officers                       | 17,723,121            | -                  | 17,723,121                        | -              | -             | -           | -       | -             |
| Repurchase Agreements - Unit Linked                | 95,086,651            | -                  | 95,086,651                        | -              | -             | -           | -       | -             |
| Mudharaba Investments - Unit Linked                | 2,727,374,466         | -                  | 2,727,374,466                     | -              | -             | -           | -       | -             |
|                                                    | 8,267,442,326         | 525,000            | 8,267,967,326                     | -              | -             | -           | -       | -             |
|                                                    | 8,267,442,326         | 3,015,065,874      | 599,622,122                       | 11,882,130,322 | 3,130,793,851 | 483,369,145 | -       | 3,614,162,996 |

## 9.4.2

| Company<br>31st December 2023                      | Carrying Amount       |                    |                                   | Total         | Fair value |         |         | Total      |
|----------------------------------------------------|-----------------------|--------------------|-----------------------------------|---------------|------------|---------|---------|------------|
|                                                    | Loans and receivables | Available for sale | Fair value through profit or loss |               | Level 1    | Level 2 | Level 3 |            |
| Financial assets measured at fair value            | Rs.                   | Rs.                | Rs.                               | Rs.           | Rs.        | Rs.     | Rs.     | Rs.        |
| Equity securities - Quoted                         | -                     | -                  | 49,792,612                        | 49,792,612    | 49,792,612 | -       | -       | 49,792,612 |
|                                                    | -                     | -                  | 49,792,612                        | 49,792,612    | 49,792,612 | -       | -       | 49,792,612 |
| <b>Financial assets not measured at fair value</b> |                       |                    |                                   |               |            |         |         |            |
| Repurchase Agreements                              | 531,453,134           | -                  | -                                 | 531,453,134   | -          | -       | -       | -          |
| Fixed Term Investments                             | 767,387,331           | -                  | -                                 | 767,387,331   | -          | -       | -       | -          |
| Equity securities - Unquoted                       | -                     | 525,000            | -                                 | 525,000       | -          | -       | -       | -          |
| Advances to Company Officers                       | 15,180,585            | -                  | -                                 | 15,180,585    | -          | -       | -       | -          |
| Fixed Term Investments - Unit Linked               | -                     | 107,483,229        | -                                 | 107,483,229   | -          | -       | -       | -          |
| Investment In Gold                                 | -                     | -                  | 21,502,500                        | 21,502,500    | -          | -       | -       | -          |
|                                                    | 1,314,021,050         | 108,008,229        | 21,502,500                        | 1,443,531,779 | -          | -       | -       | -          |
|                                                    | 1,314,021,050         | 108,008,229        | 71,295,112                        | 1,493,324,391 | 49,792,612 | -       | -       | 49,792,612 |

## NOTES TO THE FINANCIAL STATEMENTS

### 9.4.3

| Group<br>31st December 2022 | Carrying Amount          |                       |                                            | Total | Fair value |         |         | Total |
|-----------------------------|--------------------------|-----------------------|--------------------------------------------|-------|------------|---------|---------|-------|
|                             | Loans and<br>receivables | Available for<br>sale | Fair value<br>through<br>profit or<br>loss |       | Level 1    | Level 2 | Level 3 |       |
|                             | Rs.                      | Rs.                   | Rs.                                        | Rs.   | Rs.        | Rs.     | Rs.     | Rs.   |

#### Financial assets measured at fair value

|                                 |   |               |             |               |               |             |   |               |
|---------------------------------|---|---------------|-------------|---------------|---------------|-------------|---|---------------|
| Equity securities - Quoted      | - | 1,691,071,200 | 221,862,659 | 1,912,933,859 | 1,912,933,859 | -           | - | 1,912,933,859 |
| Equity Securities - Unit Linked | - | -             | 62,665,261  | 62,665,261    | 62,665,261    | -           | - | 62,665,261    |
| Unit Trust                      | - | 104,234,926   | -           | 104,234,926   | -             | 104,234,926 | - | 104,234,926   |
| Unit Trust - Unit Linked        | - | 34,161,002    | -           | 34,161,002    | -             | 34,161,002  | - | 34,161,002    |
| Investment In Gold              | - | -             | 222,750,000 | 222,750,000   | -             | 222,750,000 | - | 222,750,000   |
|                                 | - | 1,829,467,128 | 507,277,920 | 2,336,745,049 | 1,975,599,120 | 361,145,928 | - | 2,336,745,049 |

#### Financial assets not measured at fair value

|                                         |               |               |             |               |               |             |   |               |
|-----------------------------------------|---------------|---------------|-------------|---------------|---------------|-------------|---|---------------|
| Repurchase Agreements                   | 1,597,745,775 | -             | -           | 1,597,745,775 | -             | -           | - | -             |
| Equity securities - Unquoted            | -             | 525,000       | -           | 525,000       | -             | -           | - | -             |
| Fixed Term Investments                  | 3,251,868,068 | -             | -           | 3,251,868,068 | -             | -           | - | -             |
| Advances to Company<br>Officers         | 18,425,251    | -             | -           | 18,425,251    | -             | -           | - | -             |
| Repurchase Agreements -<br>Unit Linked  | 60,612,070    | -             | -           | 60,612,070    | -             | -           | - | -             |
| Fixed Term Investments - Unit<br>Linked | 2,216,058,654 | -             | -           | 2,216,058,654 | -             | -           | - | -             |
|                                         | 7,144,709,818 | 525,000       | -           | 7,145,234,818 | -             | -           | - | -             |
|                                         | 7,144,709,818 | 1,829,992,128 | 507,277,920 | 9,481,979,866 | 1,975,599,120 | 361,145,928 | - | 2,336,745,049 |

## 9.4.4

| Company<br>31st December 2022                      | Carrying Amount          |                       |                                            |               | Fair value |         |         |            |
|----------------------------------------------------|--------------------------|-----------------------|--------------------------------------------|---------------|------------|---------|---------|------------|
|                                                    | Loans and<br>receivables | Available for<br>sale | Fair value<br>through<br>profit or<br>loss | Total         | Level 1    | Level 2 | Level 3 | Total      |
|                                                    | Rs.                      | Rs.                   | Rs.                                        | Rs.           | Rs.        | Rs.     | Rs.     | Rs.        |
| Equity securities - Quoted                         | -                        | -                     | 34,989,733                                 | 34,989,733    | 34,989,733 | -       | -       | 34,989,733 |
|                                                    | -                        | -                     | 34,989,733                                 | 34,989,733    | 34,989,733 | -       | -       | 34,989,733 |
| <b>Financial assets not measured at fair value</b> |                          |                       |                                            |               |            |         |         |            |
| Repurchase Agreements                              | 465,438,580              | -                     | -                                          | 465,438,580   | -          | -       | -       | -          |
| Mudharaba Investments                              | 808,597,234              | -                     | -                                          | 808,597,234   | -          | -       | -       | -          |
| Equity securities - Unquoted                       | -                        | 525,000               | -                                          | 525,000       | -          | -       | -       | -          |
| Advances to Company Officers                       | 15,882,715               | -                     | -                                          | 15,882,715    | -          | -       | -       | -          |
| Fixed Term Investments - Unit<br>Linked            | -                        | 41,221,407            | -                                          | 41,221,407    | -          | -       | -       | -          |
| Investment In Gold                                 |                          |                       | 11,250,000                                 | 11,250,000    | -          | -       | -       | -          |
|                                                    | 1,289,918,530            | 41,746,407            | 11,250,000                                 | 1,342,914,937 | -          | -       | -       | -          |
|                                                    | 1,289,918,530            | 41,746,407            | 46,239,733                                 | 1,377,904,670 | 34,989,733 | -       | -       | 34,989,733 |

## 10. CONTRIBUTION (PREMIUM) RECEIVABLES

| Year ended 31 December 2023                                               | Group         |               | Company       |               |
|---------------------------------------------------------------------------|---------------|---------------|---------------|---------------|
|                                                                           | 2023          | 2022          | 2023          | 2022          |
|                                                                           | Rs.           | Rs.           | Rs.           | Rs.           |
| Contribution (Premiums) Receivable From Participants                      | 720,354,312   | 839,105,801   | 440,806,700   | 504,241,743   |
| Contribution (Premium) Receivable From Agents, Brokers and Intermediaries | 827,745,870   | 517,522,267   | 827,745,870   | 517,522,267   |
| Contribution (Premium) Receivable - Net                                   | 1,548,100,182 | 1,356,628,068 | 1,268,552,570 | 1,021,764,011 |

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2023. Based on the assessment, no impairment provision has been made in the Consolidated and Seperate Financial Statements as at the reporting date in respect of premium receivable.

## NOTES TO THE FINANCIAL STATEMENTS

### 11. OTHER ASSETS

| Year ended 31 December 2023      | Group       |             | Company     |             |
|----------------------------------|-------------|-------------|-------------|-------------|
|                                  | 2023        | 2022        | 2023        | 2022        |
|                                  | Rs.         | Rs.         | Rs.         | Rs.         |
| Financial Assets (Note 11.1)     | 224,328,201 | 269,279,215 | 91,700,890  | 96,663,226  |
| Non-Financial Assets (Note 11.2) | 122,716,872 | 125,764,184 | 48,791,793  | 30,755,037  |
|                                  | 347,045,073 | 395,043,400 | 140,492,683 | 127,418,263 |

#### 11.1 FINANCIAL ASSETS

| Year ended 31 December 2023   | Group       |             | Company    |            |
|-------------------------------|-------------|-------------|------------|------------|
|                               | 2023        | 2022        | 2023       | 2022       |
|                               | Rs.         | Rs.         | Rs.        | Rs.        |
| Other Receivables             | 224,328,201 | 269,279,215 | 85,524,065 | 83,060,432 |
| Amount Due from Related Party | -           | -           | 6,176,825  | 13,602,794 |
|                               | 224,328,201 | 269,279,215 | 91,700,890 | 96,663,226 |

#### 11.2 NON-FINANCIAL ASSETS

| Year ended 31 December 2023        | Group       |             | Company    |            |
|------------------------------------|-------------|-------------|------------|------------|
|                                    | 2023        | 2022        | 2023       | 2022       |
|                                    | Rs.         | Rs.         | Rs.        | Rs.        |
| Deposits, Advances and Prepayments | 122,716,872 | 125,764,184 | 48,791,793 | 30,755,037 |
|                                    | 122,716,872 | 125,764,184 | 48,791,793 | 30,755,037 |

### 12. FINANCIAL ASSETS - UNIT LINKED

| Year ended 31 December 2023                                 | Group         |               | Company |      |
|-------------------------------------------------------------|---------------|---------------|---------|------|
|                                                             | 2023          | 2022          | 2023    | 2022 |
|                                                             | Rs.           | Rs.           | Rs.     | Rs.  |
| Financial Assets at Fair Value Through Profit & Loss (12.1) | 175,267,949   | 114,415,261   | -       | -    |
| Available For Sale (12.2)                                   | 39,542,958    | 34,161,002    | -       | -    |
| Loans and Receivable (12.3)                                 | 2,822,461,117 | 2,276,670,724 | -       | -    |
|                                                             | 3,037,272,024 | 2,425,246,987 | -       | -    |

#### 12.1 FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT & LOSS

| Year ended 31 December 2023            | Group       |             | Company |      |
|----------------------------------------|-------------|-------------|---------|------|
|                                        | 2023        | 2022        | 2023    | 2022 |
|                                        | Rs.         | Rs.         | Rs.     | Rs.  |
| Investment in Equity Securities (12.4) | 65,239,199  | 62,665,261  | -       | -    |
| Investment In Gold                     | 110,028,750 | 51,750,000  | -       | -    |
|                                        | 175,267,949 | 114,415,261 | -       | -    |

## 12.2 AVAILABLE FOR SALE

| Year ended 31 December 2023     | Group      |            | Company |      |
|---------------------------------|------------|------------|---------|------|
|                                 | 2023       | 2022       | 2023    | 2022 |
|                                 | Rs.        | Rs.        | Rs.     | Rs.  |
| Unit Trust - Candor Income Fund | 39,542,958 | 34,161,002 | -       | -    |
|                                 | 39,542,958 | 34,161,002 | -       | -    |

## 12.3 LOANS AND RECEIVABLE

| Year ended 31 December 2023        | Group         |               | Company |      |
|------------------------------------|---------------|---------------|---------|------|
|                                    | 2023          | 2022          | 2023    | 2022 |
|                                    | Rs.           | Rs.           | Rs.     | Rs.  |
| Repurchase Agreements              | 95,086,651    | 60,612,070    | -       | -    |
| Mudharaba / Fixed Term Investments | 2,727,374,466 | 2,216,058,654 | -       | -    |
|                                    | 2,822,461,117 | 2,276,670,724 | -       | -    |

## 12.4 INVESTMENTS IN EQUITY SECURITIES - UNIT LINKED

| Year ended 31 December 2023                         | Group         |                  |               |                  |
|-----------------------------------------------------|---------------|------------------|---------------|------------------|
|                                                     | 2023          |                  | 2022          |                  |
|                                                     | No. of shares | Market Value Rs. | No. of shares | Market Value Rs. |
| Hemas Holdings PLC                                  | 100,000       | 6,670,000        | 100,000       | 5,640,000        |
| ACL Cables PLC                                      | 65,000        | 4,472,000        | -             | -                |
| Dialog Telecom PLC                                  | 860,000       | 7,740,000        | 960,000       | 8,160,000        |
| Ceylon Grain Elevators PLC                          | 35,681        | 5,655,439        | 43,141        | 3,472,851        |
| Expolanka Holdings PLC                              | 13,668        | 1,957,941        | 35,668        | 6,500,493        |
| Hayleys MGT Knitting Mills PLC (Hayleys Fabric PLC) | -             | -                | 250,000       | 5,650,000        |
| Kelani Valley Plantations PLC                       | 31,856        | 2,312,746        | -             | -                |
| Sri Lanka Telecom PLC                               | 18,019        | 1,673,965        | -             | -                |
| Amana Bank PLC                                      | 702,000       | 1,614,600        | -             | -                |
| Lanka Milk Foods (CWE) PLC                          | -             | -                | 30,000        | 3,712,500        |
| Lanka Wall Tile PLC                                 | 76,613        | 3,233,069        | 225,000       | 11,587,500       |
| Lanka Tiles PLC                                     | -             | -                | 3,000         | 138,300          |
| Chevron Lubricants Lanka PLC                        | 69,995        | 6,320,549        | 63,995        | 6,175,518        |
| Tokyo Cement Company (Lanka) PLC                    | 269,800       | 10,252,400       | 90,000        | 2,340,000        |
| Bairaha Farms PLC                                   | 22,973        | 4,261,492        | -             | -                |
| Teejay Lanka PLC                                    | 250,000       | 9,075,000        | 293,000       | 9,288,100        |
|                                                     |               | 65,239,199       |               | 62,665,261       |

## NOTES TO THE FINANCIAL STATEMENTS

### 13. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT

| Year ended 31 December 2023                    | Group         |               | Company     |             |
|------------------------------------------------|---------------|---------------|-------------|-------------|
|                                                | 2023          | 2022          | 2023        | 2022        |
|                                                | Rs.           | Rs            | Rs.         | Rs          |
| <b>Components of Cash and Cash Equivalents</b> |               |               |             |             |
| Cash & Bank Balances                           | 343,492,613   | 244,776,076   | 103,452,208 | 61,439,739  |
| Cash & Bank Balances - Unit Linked             | 11,338,181    | 15,841,002    | -           | -           |
| Investments in Government Securities           | 2,006,407,338 | 1,123,559,812 | 403,680,610 | 174,338,587 |
|                                                | 2,361,238,132 | 1,384,176,889 | 507,132,818 | 235,778,325 |

### 14. STATED CAPITAL

| Year ended 31 December 2023                    | Company       |               |               |               |
|------------------------------------------------|---------------|---------------|---------------|---------------|
|                                                | 2023          |               | 2022          |               |
|                                                | No. of shares | Rs.           | No. of shares | Rs.           |
| Fully Paid Ordinary Shares -Voting (Note 14.1) | 203,630,643   | 1,966,338,648 | 180,000,130   | 1,860,001,339 |

#### 14.1 SHARE MOVEMENT

| Year ended 31 December 2023 | Company       |               |               |               |
|-----------------------------|---------------|---------------|---------------|---------------|
|                             | 2023          |               | 2022          |               |
|                             | No. of shares | Rs            | No. of shares | Rs            |
| Opening as at 01.01.2022    | 180,000,130   | 1,860,001,339 | 180,000,130   | 1,860,001,339 |
| Issue of Shares             | 23,630,513    | 106,337,309   | -             | -             |
| Closing as at 31.12.2023    | 203,630,643   | 1,966,338,648 | 180,000,130   | 1,860,001,339 |

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

### 15. OTHER RESERVES

| Year ended 31 December 2023          | Group       |             | Company    |            |
|--------------------------------------|-------------|-------------|------------|------------|
|                                      | 2023        | 2022        | 2023       | 2022       |
|                                      | Rs.         | Rs          | Rs.        | Rs         |
| Reserves consists of the following : |             |             |            |            |
| Revaluation Reserve (15.1)           | 45,424,314  | 45,424,314  | 33,541,361 | 33,541,361 |
| Translation Reserve (15.2)           | 636,546,955 | 837,169,267 | -          | -          |
|                                      | 681,971,269 | 882,593,581 | 33,541,361 | 33,541,361 |

## 15.1 REVALUATION RESERVE

| Year ended 31 December 2023 | Group |      | Company |      |
|-----------------------------|-------|------|---------|------|
|                             | 2023  | 2022 | 2023    | 2022 |
|                             | Rs.   | Rs   | Rs.     | Rs   |

The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.

|                                    |                   |                   |                   |                   |
|------------------------------------|-------------------|-------------------|-------------------|-------------------|
| Balance as at 1st January          | 45,424,314        | 45,424,314        | 33,541,361        | 33,541,361        |
| <b>Balance as at 31st December</b> | <b>45,424,314</b> | <b>45,424,314</b> | <b>33,541,361</b> | <b>33,541,361</b> |

## 15.2 TRANSLATION RESERVE

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

| Year ended 31 December 2023 | Group |      | Company |      |
|-----------------------------|-------|------|---------|------|
|                             | 2023  | 2022 | 2023    | 2022 |
|                             | Rs.   | Rs   | Rs.     | Rs   |

|                                                                 |                    |                    |          |          |
|-----------------------------------------------------------------|--------------------|--------------------|----------|----------|
| Balance as at 1st January                                       | 837,169,267        | 169,539,884        | -        | -        |
| Foreign Currency Translation Differences for Foreign Operations | (200,622,312)      | 667,629,385        | -        | -        |
| <b>Balance as at 31st December</b>                              | <b>636,546,955</b> | <b>837,169,267</b> | <b>-</b> | <b>-</b> |

## 16. REVENUE RESERVE

| Year ended 31 December 2023 | Group |      | Company |      |
|-----------------------------|-------|------|---------|------|
|                             | 2023  | 2022 | 2023    | 2022 |
|                             | Rs.   | Rs.  | Rs.     | Rs.  |

### Accumulated Profit / (Losses)

|                                                                                 |                    |                   |                      |                    |
|---------------------------------------------------------------------------------|--------------------|-------------------|----------------------|--------------------|
| Balance as at 1st January                                                       | 50,079,630         | (361,634,799)     | 854,551,245          | (220,101,089)      |
| Net Profit for the year                                                         | (9,988,087)        | 298,939,896       | (13,887,897)         | 294,558,690        |
| Changes in Share of Other Comprehensive Income of Equity Accounted Subsidiaries | -                  | -                 | 406,300,570          | 764,484,039        |
| Fair Value Changes taken to OCI                                                 | 12,800,856         | 4,190,369         | 11,261,824           | 4,879,463          |
| Defined Benefit Plan Actuarial Losses, net of Deferred Tax                      | 812,824            | 11,761,756        | (150,687)            | 10,730,143         |
| Fair Value Gain on AFS valuation                                                | 604,710,130        | 96,822,408        | -                    | -                  |
| Transfer of Revaluation Reserve on Disposal                                     | -                  | -                 | -                    | -                  |
| <b>Balance as at 31st December</b>                                              | <b>658,415,354</b> | <b>50,079,630</b> | <b>1,258,075,056</b> | <b>854,551,245</b> |

### 16.1 LIFE POLICYHOLDERS' RESERVE FUND

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

### 16.2 AVAILABLE-FOR-SALE RESERVE

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognized or impaired.

## NOTES TO THE FINANCIAL STATEMENTS

## 17. INSURANCE CONTRACT LIABILITIES - NON-LIFE

|  | Group |      | Company |      |
|--|-------|------|---------|------|
|  | 2023  | 2022 | 2023    | 2022 |
|  | Rs.   | Rs.  | Rs.     | Rs.  |

## 17.1 UNEARNED CONTRIBUTION (PREMIUM )

|                               |               |               |               |               |
|-------------------------------|---------------|---------------|---------------|---------------|
| Gross                         | 2,830,885,189 | 1,883,336,338 | 1,494,989,128 | 956,270,933   |
| Retakaful (Reinsurance)       | (405,521,067) | (193,177,275) | (405,521,067) | (193,177,275) |
| Unexpired Risk Reserve (UERR) | 3,079,000     | 1,523,000     | 3,079,000     | 1,523,000     |
| Net                           | 2,428,443,122 | 1,691,682,062 | 1,092,547,061 | 764,616,658   |

|  | Group |      | Company |      |
|--|-------|------|---------|------|
|  | 2023  | 2022 | 2023    | 2022 |
|  | Rs.   | Rs.  | Rs.     | Rs.  |

## 17.2 GROSS CLAIMS RESERVE

|                                         |               |               |               |               |
|-----------------------------------------|---------------|---------------|---------------|---------------|
| Claims Outstanding                      | 1,173,099,207 | 718,595,378   | 321,914,995   | 183,830,233   |
| Claims Incurred But Not Reported (IBNR) | 229,760,903   | 145,075,831   | 185,818,000   | 120,456,089   |
|                                         | 1,402,860,110 | 863,671,209   | 507,732,995   | 304,286,322   |
|                                         | 3,831,303,232 | 2,555,353,272 | 1,600,280,056 | 1,068,902,980 |

|  | Group |      | Company |      |
|--|-------|------|---------|------|
|  | 2023  | 2022 | 2023    | 2022 |
|  | Rs.   | Rs.  | Rs.     | Rs.  |

## 17.3 GENERAL TAKAFUL (INSURANCE) TECHNICAL RESERVES

|                                                          |               |               |               |               |
|----------------------------------------------------------|---------------|---------------|---------------|---------------|
| General Insurance (Non Life) Provision                   | 3,831,303,232 | 2,555,353,272 | 1,600,280,056 | 1,068,902,980 |
| Retakaful (Reinsurance) Receivable on Outstanding Claims | (272,661,892) | (99,678,093)  | (272,661,892) | (99,678,093)  |
|                                                          | 3,558,641,340 | 2,455,675,179 | 1,327,618,164 | 969,224,887   |

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by Actsure Lab (Pvt) Ltd as per SLFRS 04. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs. 185,818,000/- (2022- Rs.120,456,089/-) for IBNR claims reserve and Rs. 3,079,000/- (2022- Rs. 1,523,000) for Unexpired Risk Reserve respectively.

## 18. INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND

The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following :

| As at 31 December | Group |      |
|-------------------|-------|------|
|                   | 2023  | 2022 |
|                   | Rs.   | Rs.  |

### 18.1 INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND

|                                                  |             |             |
|--------------------------------------------------|-------------|-------------|
| Participant Investment Fund (PIF)                | 208,445,775 | 268,062,321 |
| Participant Tabarru Fund (PTF) & Group Fund (GF) | 90,463,219  | 83,700,266  |
| Unearned Premium - Group Family Takaful          | 5,442,494   | 4,930,629   |
|                                                  | 304,351,488 | 356,693,216 |

| Year ended 31 December 2023 | Group |      |
|-----------------------------|-------|------|
|                             | 2023  | 2022 |
|                             | Rs.   | Rs.  |

### 18.2 INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL UNIT LINKED

|                                                     |               |               |
|-----------------------------------------------------|---------------|---------------|
| Unit Fund - Unit Linked                             | 2,900,735,476 | 2,397,614,669 |
| Participant Tabarru Fund & Group Fund - Unit Linked | 69,608,144    | 75,965,012    |
|                                                     | 2,970,343,620 | 2,473,579,681 |
|                                                     | 3,274,695,108 | 2,830,272,898 |

### 18.3 INSURANCE CONTRACT LIABILITY

| Year ended 31 December 2023                                                     | Group         |               |
|---------------------------------------------------------------------------------|---------------|---------------|
|                                                                                 | 2023          | 2022          |
|                                                                                 | Rs.           | Rs.           |
| Insurance Contract Liability                                                    | 3,204,629,583 | 2,707,180,858 |
| Surplus of the Fund                                                             | 70,065,525    | 123,092,039   |
| Total Insurance Contract Liability - Family Takaful Fund (Note 18.1, Note 18.2) | 3,274,695,108 | 2,830,272,898 |

### 18.4 THE MOVEMENT IN FAMILY TAKAFUL FUND IS AS FOLLOWS:

| Year ended 31 December 2023        | Group         |               |
|------------------------------------|---------------|---------------|
|                                    | 2023          | 2022          |
|                                    | Rs.           | Rs.           |
| Balance as at 1 January            | 2,830,272,898 | 2,547,079,286 |
| Net Change in Contract Liabilities | 444,422,210   | 283,193,612   |
| Balance as at 31 December          | 3,274,695,108 | 2,830,272,898 |

## NOTES TO THE FINANCIAL STATEMENTS

### 18.5 THE INSURANCE PROVISION (FAMILY TAKAFUL FUND) HAS BEEN BASED UPON THE FOLLOWING ASSUMPTIONS AND OTHER INFORMATION;

#### 18.5.1 ACTUARIAL ASSUMPTIONS

##### Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 5.6%p.a. and 9.4%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.9%p.a. is used which is based on the average of the last 5 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

##### Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

##### Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

##### Expense Assumption

The company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 50.8% of the variable expenses and 15.3% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. The risk margin loading factor assumed for expenses is +10%.

##### Bonus Assumption

"No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

#### 18.5.2 OTHER INFORMATION

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2023 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders with no guaranteed returns.

## 18.6 LIABILITY ADEQUACY TESTING (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd, Malaysia as at 31 December 2023 as required by SLFRS 4 - Insurance Contracts. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the sum of the discounted cash flow reserves and any further additional reserves as at 31 December 2023.

## 19. EMPLOYEE BENEFITS

|                                       | Group        |             | Company      |             |
|---------------------------------------|--------------|-------------|--------------|-------------|
|                                       | 2023         | 2022        | 2023         | 2022        |
|                                       | Rs.          | Rs.         | Rs.          | Rs.         |
| Employee Benefits - Gratuity          |              |             |              |             |
| Balance at 1st January                | 156,208,096  | 119,528,552 | 51,898,474   | 54,511,610  |
| Net Benefit Expense (19.1)            | 32,072,507   | 2,425,843   | 17,908,077   | 2,214,962   |
|                                       | 188,280,603  | 121,954,395 | 69,806,551   | 56,726,571  |
| Foreign Currency Translation Movement | (4,287,531)  | 41,754,790  | -            | -           |
| Payments during the year              | (10,365,953) | (7,501,089) | (10,365,953) | (4,828,097) |
| Balance at 31st December              | 173,627,119  | 156,208,096 | 59,440,598   | 51,898,474  |

### 19.1 NET BENEFIT EXPENSE

|                                                              | Group      |             | Company    |            |
|--------------------------------------------------------------|------------|-------------|------------|------------|
|                                                              | 2023       | 2022        | 2023       | 2022       |
|                                                              | Rs.        | Rs.         | Rs.        | Rs.        |
| Included in Profit or Loss                                   |            |             |            |            |
| Interest Cost                                                | 20,133,215 | 7,279,845   | 7,844,782  | 5,560,184  |
| Current Service Cost                                         | 12,607,221 | 9,188,985   | 9,912,608  | 7,384,920  |
| Immediate recognition of (gain) loss (due to plan amendment) | -          | (2,436,368) | -          | -          |
|                                                              | 32,740,436 | 14,032,462  | 17,757,390 | 12,945,104 |

| Year ended 31 December 2023             | Group      |              | Company    |              |
|-----------------------------------------|------------|--------------|------------|--------------|
|                                         | 2023       | 2022         | 2023       | 2022         |
|                                         | Rs.        | Rs.          | Rs.        | Rs.          |
| Included in Other Comprehensive Income  |            |              |            |              |
| Actuarial Losses/(Gains) on Obligations | (667,929)  | (11,606,620) | 150,687    | (10,730,143) |
|                                         | (667,929)  | (11,606,620) | 150,687    | (10,730,143) |
| Net Benefit Expense                     | 32,072,507 | 2,425,843    | 17,908,077 | 2,214,962    |

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) at 31.12.2023 as requires by LKAS 19, Employee Benefits.

## NOTES TO THE FINANCIAL STATEMENTS

### 19.2 PRINCIPAL ACTUARIAL ASSUMPTIONS USED FOR THE GROUP AND THE COMPANY ARE AS FOLLOWS :

|                                                                    | % Per Annum |           |
|--------------------------------------------------------------------|-------------|-----------|
|                                                                    | 2023        | 2022      |
| a) Discount Rate                                                   | 13.8        | 19.1      |
| b) Salary Increase                                                 | 5           | 9.5       |
| c) Incidence of Withdrawals                                        | 21          | 19        |
| d) Expected Average Future Working Life of the Active Participants | 5.1 Years   | 5.1 Years |

The Liability is not externally funded

|                               | 2023                       | 2022                       |
|-------------------------------|----------------------------|----------------------------|
| <b>Demographic Assumption</b> |                            |                            |
| e) Retirement Age             | 60 years                   | 60 years                   |
| f) Mortality rates            | GA 1983<br>Mortality Table | GA 1983<br>Mortality Table |

### 19.3 SENSITIVITY OF ASSUMPTIONS EMPLOYED IN ACTUARIAL VALUATIONS

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below.

|                                    | 31 December 2023 |             | 31 December 2022 |             |
|------------------------------------|------------------|-------------|------------------|-------------|
|                                    | Increase         | Decrease    | Increase         | Decrease    |
| Discount rate (1% movement)        | (2,287,580)      | 2,099,358   | (1,844,161)      | 1,698,585   |
| Future salary growth (1% movement) | 2,265,214        | (2,436,106) | 1,843,695        | (1,977,363) |

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

## 20. OTHER LIABILITIES - UNIT LINKED

| Year ended 31 December 2023           | Group       |             | Company |      |
|---------------------------------------|-------------|-------------|---------|------|
|                                       | 2023        | 2022        | 2023    | 2022 |
|                                       | Rs.         | Rs.         | Rs.     | Rs.  |
| Financial Liabilities (Note 20.1)     | 113,248,441 | 56,654,969  | -       | -    |
| Non-Financial Liabilities (Note 20.2) | 73,005,297  | 62,275,368  | -       | -    |
|                                       | 186,253,738 | 118,930,337 | -       | -    |

### 20.1 FINANCIAL LIABILITIES

| Year ended 31 December 2023 | Group       |            | Company |      |
|-----------------------------|-------------|------------|---------|------|
|                             | 2023        | 2022       | 2023    | 2022 |
|                             | Rs.         | Rs.        | Rs.     | Rs.  |
| Retakaful Payable           | 113,248,441 | 56,654,969 | -       | -    |
|                             | 113,248,441 | 56,654,969 | -       | -    |

## 20.2 NON-FINANCIAL LIABILITIES

| Year ended 31 December 2023 | Group      |            | Company |      |
|-----------------------------|------------|------------|---------|------|
|                             | 2023       | 2022       | 2023    | 2022 |
|                             | Rs.        | Rs.        | Rs.     | Rs.  |
| Advances Received           | 68,044,580 | 52,281,182 | -       | -    |
| Other Creditors             | 4,960,717  | 9,994,187  | -       | -    |
|                             | 73,005,297 | 62,275,368 | -       | -    |

## 21. OTHER LIABILITIES

| Year ended 31 December 2023           | Group         |               | Company     |             |
|---------------------------------------|---------------|---------------|-------------|-------------|
|                                       | 2023          | 2022          | 2023        | 2022        |
|                                       | Rs.           | Rs.           | Rs.         | Rs.         |
| Financial Liabilities (Note 21.1)     | 851,636,135   | 774,582,496   | 697,662,695 | 447,797,190 |
| Non-Financial Liabilities (Note 21.2) | 1,402,228,048 | 1,422,227,638 | 263,074,815 | 228,834,978 |
|                                       | 2,253,864,183 | 2,196,810,134 | 960,737,510 | 676,632,168 |

### 21.1 FINANCIAL LIABILITIES

| Year ended 31 December 2023 | Group       |             | Company     |             |
|-----------------------------|-------------|-------------|-------------|-------------|
|                             | 2023        | 2022        | 2023        | 2022        |
|                             | Rs.         | Rs.         | Rs.         | Rs.         |
| Retakaful Payable           | 851,636,135 | 774,582,496 | 691,271,052 | 447,797,190 |
| Amount Due to Related Party | -           | -           | 6,391,643   | -           |
|                             | 851,636,135 | 774,582,496 | 697,662,695 | 447,797,190 |

### 21.2 NON-FINANCIAL LIABILITIES

| Year ended 31 December 2023 | Group         |               | Company     |             |
|-----------------------------|---------------|---------------|-------------|-------------|
|                             | 2023          | 2022          | 2023        | 2022        |
|                             | Rs.           | Rs.           | Rs.         | Rs.         |
| Accrued Liabilities         | 790,737,772   | 791,164,481   | 77,361,425  | 84,401,980  |
| Other Creditors             | 572,230,569   | 591,573,789   | 185,713,390 | 144,432,998 |
| Income Tax Payable          | 39,259,707    | 39,489,368    | -           | -           |
|                             | 1,402,228,048 | 1,422,227,638 | 263,074,815 | 228,834,978 |

## 22. SUBORDINATED DEBT

| Year ended 31 December 2023 | Group       |             | Company     |             |
|-----------------------------|-------------|-------------|-------------|-------------|
|                             | 2023        | 2022        | 2023        | 2022        |
|                             | Rs.         | Rs.         | Rs.         | Rs.         |
| Unsecured Subordinated Debt | 286,000,089 | 413,764,648 | 339,453,478 | 464,704,354 |
|                             | 286,000,089 | 413,764,648 | 339,453,478 | 464,704,354 |

## NOTES TO THE FINANCIAL STATEMENTS

### 22.1 THE DETAILS OF THE ABOVE INSTRUMENT ARE AS FOLLOWS (COMPANY),

| Purpose/ Rationale                                 | Invested Party                  | Relationship  | Face Value<br>Rs. | Repayment<br>Terms |
|----------------------------------------------------|---------------------------------|---------------|-------------------|--------------------|
| To meet the Risk Based Capital Requirements        | Amana Takaful<br>(Maldives) PLC | Subsidiaries  | 145,789,785       | 5 Years            |
| To meet the Risk Based Capital Requirements (22.2) | Aberdeen<br>Holdings (pvt) Ltd  | Other Related | 143,893,863       | 5 Years            |
| To meet the Risk Based Capital Requirements (22.2) | Others                          | Investors     | 49,769,830        | 5 Years            |
|                                                    |                                 |               | 339,453,478       |                    |

#### 22.1.1 REPAYMENTS OF SUBORDINATED DEBT

During the year, the Group has not settled any Subordinated Debt (2022 - Rs.95,000,000/-). The Company has not settled any subordinated debt (2022 - Rs.75,000,000/-). The company has made a Debenture conversion in to stated capital amounting to Rs.106,337,309/- (2022 - NIL)

### 22.2

| Objective No | Objective as per Circular/ Prospectus                                                             | Amount allocated as per Circular/ Prospectus in Rs. | Proposed Date of Utilization as per Circular/ Prospectus | Amount allocated upon the receipt of proceeds in Rs.[A] | As a % of Total Proceeds | Converted into Stated Capital Rs..[B] | Balance Amount Utilized in the Objective Rs.[C]=[A-B] | % of Instrument Utilize against allocation [(B+C)/A] |
|--------------|---------------------------------------------------------------------------------------------------|-----------------------------------------------------|----------------------------------------------------------|---------------------------------------------------------|--------------------------|---------------------------------------|-------------------------------------------------------|------------------------------------------------------|
| 01)          | To improve the Capital Adequacy of the Company Balance Sheet, by strengthening its Tier 2 Capital | 300,000,000                                         | 15.01.2021                                               | 300,000,000                                             | 100%                     | 106,337,309                           | 193,662,691                                           | 100% Convertible and redeemable debentures           |

### 22.3 SUBORDINATED DEBT - AMANA TAKAFUL LIFE PLC (GROUP)

| As at 31 December | Group       |             | Company     |             |
|-------------------|-------------|-------------|-------------|-------------|
|                   | 2023<br>Rs. | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Less than 1 year  | -           | -           | -           | -           |
| 1 to 5 years      | 286,000,089 | 413,764,648 | 339,453,478 | 464,704,354 |
| More than 5 years | -           | -           | -           | -           |
|                   | 286,000,089 | 413,764,648 | 339,453,478 | 464,704,354 |

## 22.4 MATURITY ANALYSIS OF SUBORDINATED DEBT

|                   | 2023       |             |             |                  | 2022       |             |             |                  |
|-------------------|------------|-------------|-------------|------------------|------------|-------------|-------------|------------------|
|                   | Amount USD | Amount Rs.  | Profit Rate | Maturity Date    | Amount USD | Amount Rs.  | Profit Rate | Maturity Date    |
| Subordinated Debt | 175,000    | 56,696,028  | 6.0%        | 30 December 2023 | 175,000    | 64,051,225  | 6.0%        | 30 December 2023 |
| Subordinated Debt | 110,000    | 35,637,503  | 6.0%        | 20 March 2024    | 110,000    | 40,260,770  | 6.0%        | 20 March 2024    |
| Subordinated Debt | 50,000     | 16,198,865  | 6.0%        | 24 June 2024     | 50,000     | 18,300,350  | 6.0%        | 24 June 2024     |
|                   |            | 108,532,396 |             |                  |            | 122,612,346 |             |                  |

\* Subordinated Debt of Rs. 16,198,865/- (USD 50,000) has been eliminated in Group consolidation as at 31st December 2023

## 23. RIGHT OF USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognized and the movement during the year.

|                                                    | Group                |                     | Company             |                     |
|----------------------------------------------------|----------------------|---------------------|---------------------|---------------------|
|                                                    | 2023                 | 2022                | 2023                | 2022                |
|                                                    | Rs.                  | Rs.                 | Rs.                 | Rs.                 |
| <b>Cost</b>                                        |                      |                     |                     |                     |
| Balance at the beginning of the year               | 506,777,970          | 296,812,782         | 98,630,525          | 45,563,358          |
| Additions & Improvements                           | 171,952,221          | 58,023,472          | 163,974,514         | 53,067,167          |
| Transfers from Leasehold to freehold               | -                    | -                   | -                   | -                   |
| Exchange Gain/loss                                 | (75,442,402)         | 151,941,716         | -                   | -                   |
| Cost as at 31st December 2023                      | 603,287,789          | 506,777,970         | 262,605,039         | 98,630,525          |
| <b>Accumulated Depreciation</b>                    |                      |                     |                     |                     |
| Balance at the beginning of the year               | (94,106,277)         | (46,767,337)        | (57,468,156)        | (24,013,003)        |
| Depreciation Charge for the period                 | (69,963,832)         | (70,093,274)        | (35,316,588)        | (33,455,153)        |
| Exchange Gain/loss                                 | 36,638,124           | 22,754,334          | -                   | -                   |
| <b>Accumulated Depreciation 31st December 2023</b> | <b>(127,431,985)</b> | <b>(94,106,277)</b> | <b>(92,784,744)</b> | <b>(57,468,156)</b> |
| Carrying Amount                                    | 475,855,804          | 412,671,693         | 169,820,295         | 41,162,369          |

### 23.1 LEASE LIABILITY

Set out below are the carrying amounts of lease liability recognized as per SLFRS 16 and the movement during the year.

|                                      | Group        |              | Company      |              |
|--------------------------------------|--------------|--------------|--------------|--------------|
|                                      | 2023         | 2022         | 2023         | 2022         |
|                                      | Rs.          | Rs.          | Rs.          | Rs.          |
| Balance at the beginning of the year | 206,129,829  | 123,837,659  | 43,266,252   | 22,426,056   |
| Additions                            | 171,952,221  | 58,023,472   | 163,974,514  | 53,067,167   |
| Interest Expense                     | 19,624,303   | 19,926,638   | 8,825,721    | 9,661,872    |
| Repayments                           | (70,903,295) | (67,397,613) | (45,116,604) | (41,888,843) |
| Exchange Gain/loss                   | (16,271,335) | 71,739,674   | -            | -            |
| Balance as at 31st December 2023     | 310,531,723  | 206,129,829  | 170,949,883  | 43,266,252   |

## NOTES TO THE FINANCIAL STATEMENTS

### 23.2 MATURITY ANALYSIS OF LEASE LIABILITY (DISCOUNTED)

|                   | Group       |             | Company     |             |
|-------------------|-------------|-------------|-------------|-------------|
|                   | 2023<br>Rs. | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Less than 1 year  | 82,256,001  | 40,038,718  | 43,347,436  | 16,921,650  |
| 1 to 5 years      | 353,897,117 | 165,694,896 | 181,232,576 | 67,305,414  |
| More than 5 years | 319,880,321 | 109,597,887 | 160,487,140 | -           |

### 24. GROSS WRITTEN CONTRIBUTION

|                                    | Group          |               | Company       |               |
|------------------------------------|----------------|---------------|---------------|---------------|
|                                    | 2023<br>Rs.    | 2022<br>Rs.   | 2023<br>Rs.   | 2022<br>Rs.   |
| <b>General Takaful (Insurance)</b> |                |               |               |               |
| Motor                              | 2,290,993,961  | 1,842,198,900 | 2,136,723,931 | 1,658,783,750 |
| Fire                               | 832,537,321    | 888,011,462   | 455,810,948   | 360,709,420   |
| Marine                             | 899,566,991    | 870,882,650   | 626,986,087   | 513,884,241   |
| Medical                            | 4,448,430,599  | 2,987,991,131 | 750,353,503   | 537,265,778   |
| Miscellaneous                      | 586,162,410    | 601,097,956   | 328,183,228   | 288,291,977   |
|                                    | 9,057,691,283  | 7,190,182,099 | 4,298,057,697 | 3,358,935,166 |
| <b>Long Term Policies</b>          |                |               |               |               |
| Unit Linked                        | 1,082,962,109  | 998,130,229   | -             | -             |
| Family Takaful                     | 23,216,117     | 30,945,389    | -             | -             |
| Mortgage & Group Family Takaful    | 44,478,131     | 31,701,961    | -             | -             |
|                                    | 1,150,656,357  | 1,060,777,579 | -             | -             |
|                                    | 10,208,347,640 | 8,250,959,678 | 4,298,057,697 | 3,358,935,166 |

### 25. INCOME FROM INVESTMENTS

|                                                 | Group         |             | Company     |             |
|-------------------------------------------------|---------------|-------------|-------------|-------------|
|                                                 | 2023<br>Rs.   | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Investment Income (25.1)                        | 1,021,764,469 | 629,063,145 | 279,472,116 | 155,122,577 |
| Fair Value Gain/(Loss) on Investment Properties | 450,000       | 3,050,000   | -           | -           |
| Fair Value Gain/(Loss) on Gold Investments      | 133,500       | 250,000     | 133,500     | 250,000     |
| Net Realised Capital Gain or (Losses)           | (4,810,626)   | 21,819,755  | -           | -           |
| Unrealised Capital Gain or (Losses)             | 66,982,194    | 61,914,723  | -           | -           |
|                                                 | 1,084,519,536 | 716,097,623 | 279,605,616 | 155,372,577 |

## 25.1 INVESTMENT INCOME

|                                                                 | Group         |              | Company     |              |
|-----------------------------------------------------------------|---------------|--------------|-------------|--------------|
|                                                                 | 2023          | 2022         | 2023        | 2022         |
|                                                                 | Rs.           | Rs.          | Rs.         | Rs.          |
| Dividend Income                                                 | 79,298,466    | 49,462,621   | 70,675,509  | 64,552,619   |
| Income from Fixed Term Deposits                                 | 756,662,843   | 496,613,420  | 113,937,627 | 65,229,030   |
| Share income/ (Loss) Quoted shares                              | 1,714,904     | (21,869,409) | 1,714,904   | (21,869,409) |
| Interest Income from investment in Government Securities (25.2) | 184,088,255   | 104,856,513  | 93,144,077  | 47,210,337   |
|                                                                 | 1,021,764,469 | 629,063,145  | 279,472,116 | 155,122,577  |

**25.2** Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

## 26. OTHER INCOME

|                                                     | Group       |             | Company     |             |
|-----------------------------------------------------|-------------|-------------|-------------|-------------|
|                                                     | 2023        | 2022        | 2023        | 2022        |
|                                                     | Rs.         | Rs.         | Rs.         | Rs.         |
| Profit on Disposal of Property, Plant and Equipment | 190,800     | 285,368     | 190,800     | 285,368     |
| Sundry Income                                       | 269,028,202 | 160,191,059 | 137,801,178 | 74,953,564  |
| Fund Management Fee Income                          | 178,392,270 | 128,607,170 | -           | -           |
| Rental Income                                       | 4,000,500   | 5,700,000   | -           | 1,500,000   |
| Salvage Income                                      | 8,051,900   | 3,585,550   | 8,051,900   | 3,585,550   |
| Exchange Gain/(Loss)                                | 12,271,362  | 144,076,112 | 9,614,172   | 142,185,273 |
|                                                     | 471,935,033 | 442,445,259 | 155,658,050 | 222,509,754 |

## 27. TOTAL REVENUE

|                                                                        | Group           |                 | Company         |                 |
|------------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                        | 2023            | 2022            | 2023            | 2022            |
|                                                                        | Rs.             | Rs.             | Rs.             | Rs.             |
| Gross Written Contribution (Premium)                                   | 10,208,347,640  | 8,250,959,678   | 4,298,057,696   | 3,358,935,166   |
| Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers) | (2,022,852,582) | (2,080,270,933) | (1,353,303,572) | (1,138,720,258) |
| Net Written Contribution (Premium)                                     | 8,185,495,058   | 6,170,688,745   | 2,944,754,124   | 2,220,214,908   |
| Net Change in Reserve for Unearned Contribution (Premium)              | (841,895,839)   | (386,558,042)   | (326,374,403)   | (155,149,231)   |
| Net Earned Contribution (Premium)                                      | 7,343,599,218   | 5,784,130,703   | 2,618,379,721   | 2,065,065,677   |
| Income from Investments                                                | 1,084,519,536   | 716,097,623     | 279,605,616     | 155,372,577     |
| Changes in Share of profit of equity accounted subsidiaries            | -               | -               | 164,233,322     | 205,025,472     |
| Other Income                                                           | 471,935,033     | 442,445,259     | 155,658,050     | 222,509,754     |
| Total Revenue                                                          | 8,900,053,788   | 6,942,673,585   | 3,217,876,711   | 2,647,973,480   |

## NOTES TO THE FINANCIAL STATEMENTS

### 28. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET)

|                                             | Group         |               | Company       |               |
|---------------------------------------------|---------------|---------------|---------------|---------------|
|                                             | 2023          | 2022          | 2023          | 2022          |
|                                             | Rs.           | Rs.           | Rs.           | Rs.           |
| <b>General Takaful (Insurance)</b>          |               |               |               |               |
| Gross Claims Incurred                       |               |               |               |               |
| Motor                                       | 1,352,179,503 | 882,172,772   | 1,301,233,959 | 861,879,064   |
| Fire                                        | 112,448,042   | 155,311,700   | 70,887,730    | 90,901,508    |
| Marine                                      | 90,364,959    | 67,580,152    | 42,495,130    | 14,243,173    |
| Medical                                     | 3,251,987,404 | 2,170,823,706 | 578,273,311   | 416,673,865   |
| Miscellaneous                               | 135,042,034   | 90,788,218    | 135,323,815   | 84,674,245    |
|                                             | 4,942,021,942 | 3,366,676,548 | 2,128,213,945 | 1,468,371,855 |
| Retakaful (Reinsurance) Recoveries          | (194,558,713) | (201,957,411) | (143,226,555) | (137,585,763) |
| General Insurance Claims & Benefits (Net)   | 4,747,463,229 | 3,164,719,137 | 1,984,987,390 | 1,330,786,092 |
| <b>Family Takaful (Long Term Insurance)</b> |               |               |               |               |
| Claims Incurred                             | 52,599,449    | 56,126,191    | -             | -             |
| Surrenders                                  | 384,553,275   | 360,385,986   | -             | -             |
| Policy Maturities                           | 100,033,512   | 73,425,562    | -             | -             |
| Interim Payments/Part withdrawals           | 36,774,447    | 28,831,043    | -             | -             |
| Long Term Insurance Claims & Benefits       | 573,960,683   | 518,768,780   | -             | -             |
|                                             | 5,321,423,912 | 3,683,487,918 | 1,984,987,390 | 1,330,786,092 |

### 29. OTHER OPERATING AND ADMINISTRATION EXPENSES

|                                         | Group         |               | Company       |             |
|-----------------------------------------|---------------|---------------|---------------|-------------|
|                                         | 2023          | 2022          | 2023          | 2022        |
|                                         | Rs.           | Rs.           | Rs.           | Rs.         |
| Staff Expenses (Note 29.1)              | 1,366,761,989 | 1,194,202,154 | 570,234,999   | 518,679,491 |
| Administration & Establishment Expenses | 624,973,189   | 454,680,338   | 282,962,024   | 161,005,293 |
| Selling Expenses                        | 191,553,592   | 109,759,861   | 127,045,536   | 67,185,770  |
| Depreciation ROU Assets (Note 31)       | 69,963,832    | 70,093,274    | 35,316,588    | 33,455,153  |
| Depreciation (Note 6)                   | 32,116,151    | 32,935,141    | 13,253,875    | 15,518,737  |
|                                         | 2,285,368,753 | 1,861,670,768 | 1,028,813,022 | 795,844,444 |

#### 29.1 STAFF EXPENSES

|                                                        | Group         |               | Company     |             |
|--------------------------------------------------------|---------------|---------------|-------------|-------------|
|                                                        | 2023          | 2022          | 2023        | 2022        |
|                                                        | Rs.           | Rs.           | Rs.         | Rs.         |
| Wages, Salaries, Travel & Bonuses                      | 1,183,811,213 | 1,064,747,126 | 485,898,580 | 451,361,497 |
| Contribution to defined contribution plans - EPF & ETF | 96,147,386    | 84,910,514    | 54,019,121  | 45,459,355  |
| Staff welfare                                          | 21,174,346    | 12,320,560    | 9,249,224   | 6,010,008   |
| Staff training                                         | 12,885,616    | 9,837,086     | 3,310,685   | 2,903,527   |
| Medical claims                                         | 13,927,731    | 8,354,399     | -           | -           |
| Gratuity                                               | 38,815,696    | 14,032,469    | 17,757,390  | 12,945,104  |
|                                                        | 1,366,761,989 | 1,194,202,154 | 570,234,999 | 518,679,491 |

### 30. AMORTISATION

|                            | Group      |            | Company   |           |
|----------------------------|------------|------------|-----------|-----------|
|                            | 2023       | 2022       | 2023      | 2022      |
|                            | Rs.        | Rs.        | Rs.       | Rs.       |
| Intangible Asset (Note 05) | 14,734,750 | 14,242,702 | 2,284,254 | 2,203,920 |
|                            | 14,734,750 | 14,242,702 | 2,284,254 | 2,203,920 |

### 31. THE PROFIT/(LOSS) FROM OPERATIONS FOR THE YEAR

is stated after charging/(crediting) the following :

|                                                   | Group         |               | Company     |             |
|---------------------------------------------------|---------------|---------------|-------------|-------------|
|                                                   | 2023          | 2022          | 2023        | 2022        |
|                                                   | Rs.           | Rs.           | Rs.         | Rs.         |
| Directors' Emoluments - Executive                 | 18,407,109    | 15,477,203    | 7,860,000   | 6,000,000   |
| - Non-Executive                                   | 13,023,374    | 8,040,829     | 7,511,274   | 4,491,304   |
| Auditors' Remuneration (Fees)                     |               |               |             |             |
| - Audit                                           | 7,653,661     | 7,166,157     | 2,720,577   | 2,668,784   |
| - Audit Related Other                             | 2,803,898     | 946,614       | 540,545     | 490,879     |
| - Non Audit                                       | 1,970,683     | 1,704,098     | 1,303,794   | 1,183,962   |
| Depreciation                                      | 32,116,151    | 32,935,141    | 13,253,875  | 15,518,737  |
| Depreciation ROU Assets                           | 69,963,832    | 70,093,274    | 35,316,588  | 33,455,153  |
| Advertisement Costs                               | 18,456,478    | 10,972,764    | 18,456,478  | 15,396,752  |
| Amortisation of Intangibles                       | 14,489,118    | 14,092,164    | 2,284,254   | 2,203,920   |
| Staff Cost                                        | 1,366,761,989 | 1,194,202,154 | 570,234,999 | 518,679,491 |
| Profit on Disposal of Property, Plant & Equipment | 190,800       | 285,368       | 190,800     | 285,368     |

### 32. FINANCE COST

|                                          | Group      |            | Company    |            |
|------------------------------------------|------------|------------|------------|------------|
|                                          | 2023       | 2022       | 2023       | 2022       |
|                                          | Rs.        | Rs.        | Rs.        | Rs.        |
| Profit Mark up on Lease (Ijara) Facility | 19,506,635 | 18,841,468 | 8,825,721  | 9,661,872  |
| Profit Mark up on Subordinated Debt      | 33,387,032 | 52,138,909 | 36,225,728 | 50,237,308 |
|                                          | 52,893,667 | 70,980,377 | 45,051,449 | 59,899,180 |

## NOTES TO THE FINANCIAL STATEMENTS

### 33. INCOME TAX EXPENSE

|                                          | Group         |              | Company |      |
|------------------------------------------|---------------|--------------|---------|------|
|                                          | 2023          | 2022         | 2023    | 2022 |
|                                          | Rs.           | Rs.          | Rs.     | Rs.  |
| Current Income Tax (Note 33.1)           | (245,622,621) | (75,883,159) | -       | -    |
|                                          | (245,622,621) | (75,883,159) | -       | -    |
| Deferred Tax (Note 33.3)                 | 179,646,346   | 5,835,909    | -       | -    |
|                                          | 179,646,346   | 5,835,909    | -       | -    |
| Tax Expense (Note 33.1)                  | (65,976,275)  | (70,047,250) | -       | -    |
| Recognised in Profit or Loss             | (69,218,991)  | (70,047,250) | -       | -    |
| Recognised in Other Comprehensive Income | -             | -            | -       | -    |
|                                          | (69,218,991)  | (70,047,250) | -       | -    |

#### 33.1 TAX RECONCILIATION STATEMENT

|                                        | Group                |                     | Company              |                     |
|----------------------------------------|----------------------|---------------------|----------------------|---------------------|
|                                        | 2023                 | 2022                | 2023                 | 2022<br>Restated    |
|                                        | Rs.                  | Rs.                 | Rs.                  | Rs.                 |
| Accounting Profit/ (Loss) before Tax   | 220,654,664          | 557,655,472         | (13,887,897)         | 294,558,690         |
| Aggregate Disallowed Items             | 2,148,055,328        | 709,938,258         | 229,697,369          | 115,281,638         |
| Aggregate Allowable Expenses           | (799,950,692)        | (823,958,176)       | (536,570,708)        | (501,652,387)       |
| <b>Total Statutory Income/(Losses)</b> | <b>1,568,759,300</b> | <b>443,635,554</b>  | <b>(320,761,236)</b> | <b>(91,812,059)</b> |
| Utilization of tax losses              | -                    | -                   | -                    | -                   |
| Consolidated Adjustment                | 68,724,834           | 62,252,165          | -                    | -                   |
| <b>Taxable Income</b>                  | <b>1,637,484,134</b> | <b>505,887,720</b>  | <b>-</b>             | <b>-</b>            |
| Tax @ 15%                              | (245,622,621)        | (75,883,159)        | -                    | -                   |
| Tax @ 28%                              | -                    | -                   | -                    | -                   |
| <b>Income Tax Expense for the Year</b> | <b>(245,622,621)</b> | <b>(75,883,159)</b> | <b>-</b>             | <b>-</b>            |
| Deferred taxation charge/(reversal)    | 179,646,346          | 5,835,909           | -                    | -                   |
| <b>Total Tax Expense</b>               | <b>(65,976,275)</b>  | <b>(70,047,250)</b> | <b>-</b>             | <b>-</b>            |

**33.1.1** Amana Takaful Maldives PLC is liable for income tax at 15% (2022 - 15%) on the taxable income for the Year of Assessment 2023, and the income tax expense recognised during the year is from Amana Takaful Maldives PLC.

**33.1.2** Amana Takaful PLC is liable for income tax at 30% (2022 - 30%) on the taxable income for the Year of Assessment 2023.

**33.1.3** Amana Global Ltd is liable for income tax at 30% (2022 - 30%) on the taxable income for the Year of Assessment 2023.

**33.1.4** Amana Takaful Life PLC is liable for income tax at 30% (2022 - 30%) on the taxable income for the Year of Assessment 2023.

**33.1.5** Income tax assessment relating to years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18 The Department of Inland Revenue has raised an assessment for the following years of assessment :

- Year of Assessment 2010/11 : assessing the General Insurance business to pay an income tax liability of Rs. 578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12 : an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation
- Year of Assessment 2012/13 : assessing the Life Insurance business to pay an income tax liability of Rs. 188,249/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2013/14 : assessing the Life Insurance business to pay an income tax liability of Rs. 11,070,604/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2014/15 : assessing the Life Insurance business to pay an income tax liability of Rs. 18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment From Jan 2015 : assessing the Interest income earned from loans and receivable is considered as 'income earned from financial services' and made liable VAT on FS and NBT on FS , grounds identified by IRD for ATL being liable. No excess taxes stated and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16 : assessing the Life Insurance business to pay an income tax liability of Rs. 39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay on income tax liability of Rs. 142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment..
- Year of Assessment 2016/17 : assessing the Life Insurance business to pay an income tax liability of Rs. 63,775,270/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business. However No tax Liability raised, the Tax Losses are reduced from liability assessed .The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs. 30,368,243/- . The Company has lodged a valid appeal against the said assessment

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16, 2016/17 & 2017/18. Therefore, the above assessments have no rationale or basis in law.

## NOTES TO THE FINANCIAL STATEMENTS

### 33.2 DEFERRED TAX ASSET

|                                                                                                         | Group           |                 | Company         |                 |
|---------------------------------------------------------------------------------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                                                                                         | 2023            | 2022            | 2023            | 2022            |
|                                                                                                         | Rs.             | Rs.             | Rs.             | Rs.             |
| Tax Losses Brought Forward                                                                              | 1,988,653,653   | 2,067,020,402   | 1,314,472,515   | 1,215,512,684   |
| Tax Losses of which Deferred Tax Asset was not recognized                                               | (2,090,143,242) | (2,054,679,962) | (1,314,472,515) | (1,215,512,684) |
| Defined Benefit Obligation                                                                              | 173,627,119     | 156,208,096     | 59,440,598      | 51,898,474      |
| Defined Benefit Obligation which Deferred Tax Asset was not recognized                                  | (72,137,530)    | (62,719,409)    | (59,440,598)    | (51,898,474)    |
|                                                                                                         | -               | 105,829,127     | -               | -               |
| Deferred Tax Assets @ 15% & 30%                                                                         | -               | 15,874,369      | -               | -               |
| Recognised Deferred Tax Asset                                                                           | -               | 15,874,369      | -               | -               |
| <b>Deferred Tax Liability</b>                                                                           |                 |                 |                 |                 |
| Property, Plant and Equipment                                                                           | 28,914,463      | 19,865,622      | 28,914,463      | 19,865,622      |
| Property, Plant and Equipment which Deferred Tax Liability was not recognized                           | (28,914,463)    | (19,865,622)    | (28,914,463)    | (19,865,622)    |
| Revaluation Gain                                                                                        | -               | -               | -               | -               |
| Revaluation Gain which Deferred Tax Asset was not recognized                                            | -               | -               | -               | -               |
| Fair Value gain/(loss) of Investment Property                                                           | 450,000         | 3,050,000       | -               | -               |
| Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognized               | (450,000)       | (3,050,000)     | -               | -               |
| Changes in Share of profit of Equity accounted subsidiaries                                             | -               | -               | 570,533,893     | 969,509,511     |
| Changes in Share of profit of Equity accounted subsidiaries which Deferred Tax Asset was not recognized | -               | -               | (570,533,893)   | (969,509,511)   |
| Right of use asset                                                                                      | 475,855,804     | 412,671,693     | 169,820,295     | 41,162,369      |
| Right of use asset which Deferred Tax Liability was not recognized                                      | (475,855,804)   | (412,671,693)   | (169,820,295)   | (41,162,369)    |
| Intangible Assets                                                                                       | 4,838,575       | 25,341,772      | 4,838,575       | 25,341,772      |
| Intangible asset which Deferred Tax Liability was not recognized                                        | (4,838,575)     | (25,341,772)    | (4,838,575)     | (25,341,772)    |
| Net change in Equity Instruments at fair value through OCI                                              | 842,011,493     | -               | -               | -               |
| Total Taxable Temporary Differences                                                                     | 842,011,493     | -               | -               | -               |
| Deferred Tax Liability @ 15% & 30%                                                                      | 126,301,724     | -               | -               | -               |
| Deferred income tax charge/ (reversal)                                                                  | 69,218,991      | -               | -               | -               |
| Net Deferred Tax Liability                                                                              | 195,520,715     | -               | -               | -               |

### 33.3 MOVEMENT IN TEMPORARY DIFFERENCES DURING THE YEAR

|                                                 | Group       |            | Company |      |
|-------------------------------------------------|-------------|------------|---------|------|
|                                                 | 2023        | 2022       | 2023    | 2022 |
|                                                 | Rs.         | Rs.        | Rs.     | Rs.  |
| Balance at 1st January                          | 15,874,369  | 10,038,460 | -       | -    |
| <b>Recognised in Total Comprehensive Income</b> |             |            |         |      |
| Defined Benefit Obligation                      | 179,646,346 | 5,835,909  | -       | -    |
|                                                 | 179,646,346 | 5,835,909  | -       | -    |
| Balance at 31st December                        | 195,520,715 | 15,874,369 | -       | -    |

**33.4** Deferred tax assets are recognized for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and the level of future taxable profits together with future tax planning strategies. In year 2023 Company has not recognized deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value of Investment Property, since the doubt of recoverability of the deferred tax asset.

**33.5** Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognized amounting to Rs.1,314,472,515/- (2022 - 1,215,512,684/-), The recognized taxable loss during the financial year 2023 is Rs.305,617,618/- and the remaining accumulated tax loss as at 31 December 2023, is amounting to Rs. 1,008,854,897/- will be carried forward for five years.

## 34. EARNINGS PER SHARE

**34.1** Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

**34.2** The following Reflect the Income and Share Data Used in the Basic Earnings Per Share Computations.

### AMOUNT USED AS THE NUMERATOR:

| For the Year ended 31 December                   | Group       |             | Company      |             |
|--------------------------------------------------|-------------|-------------|--------------|-------------|
|                                                  | 2023        | 2022        | 2023         | 2022        |
|                                                  | Rs.         | Rs.         | Rs.          | Rs.         |
| Net Profit attributable to Ordinary Shareholders | (9,988,087) | 298,939,896 | (13,887,897) | 294,558,690 |

### NUMBER OF ORDINARY SHARES USED AS DENOMINATOR:

|                                    | Number      | Number      | Number      | Number      |
|------------------------------------|-------------|-------------|-------------|-------------|
| Number of Ordinary Shares in Issue | 203,630,643 | 180,000,130 | 203,630,643 | 180,000,130 |
| Earnings per share (Rs.)           | (0.05)      | 1.66        | (0.07)      | 1.64        |

**34.3** Diluted Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding and dilutive shares during the period.

|                                                        | Group         |             | Company       |             |
|--------------------------------------------------------|---------------|-------------|---------------|-------------|
|                                                        | 2023          | 2022        | 2023          | 2022        |
|                                                        | Rs.           | Rs.         | Rs.           | Rs.         |
| <b>Amount used as the Numerator</b>                    |               |             |               |             |
| Net Profit attributable to Ordinary Shareholders (Rs.) | (9,988,087)   | 298,939,896 | (13,887,897)  | 294,558,690 |
| <b>Number of shares used as Denominator:</b>           |               |             |               |             |
| Ordinary shares - Voting (One vote per Ordinary Share) | 203,630,643   | 180,000,130 | 203,630,643   | 180,000,130 |
| Convertible Shares                                     | 43,036,154    | 66,666,667  | 43,036,154    | 66,666,667  |
| Total Shares                                           | 246,666,797   | 246,666,797 | 246,666,797   | 246,666,797 |
| <b>Diluted Earnings Per Share</b>                      | <b>(0.04)</b> | <b>1.21</b> | <b>(0.06)</b> | <b>1.19</b> |

## NOTES TO THE FINANCIAL STATEMENTS

### 35. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below :

#### (A) TRANSACTIONS AND OUTSTANDING BALANCES WITH RELATED PARTIES

The following table shows the outstanding balance and transaction with related parties during the year.

| Related Parties | Nature of the transaction/Outstanding balance | 2023<br>Rs  | 2022<br>Rs  |
|-----------------|-----------------------------------------------|-------------|-------------|
| Subsidiaries    | Takaful Premium                               | 867,782     | 9,118,986   |
|                 | Takaful Premium paid                          | 771,221     | 634,679     |
|                 | Claims Paid                                   | 3,990,035   | 4,394,342   |
|                 | Shared Cost                                   | 83,837,099  | 69,692,229  |
|                 | Supporting Fee                                | 1,675,632   | 4,735,759   |
|                 | Shared Cost Settlement                        | 94,589,129  | 58,940,199  |
|                 | Current Account Balance                       | 12,720,878  | 18,428,111  |
|                 | Dividend Received                             | 68,724,834  | 62,252,165  |
|                 | Subordinated Debt                             | 145,789,785 | 164,704,352 |
| Other Related   | Net Written Contribution (Premium)            | 96,181,244  | 85,553,782  |
|                 | Claims Paid                                   | 20,455,576  | 20,595,328  |
|                 | Convertible Debenture                         | 143,893,863 | 143,893,863 |

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

#### (B) COMPENSATION OF KEY MANAGEMENT PERSONNEL

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

"According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly, the Directors (including Executive and Non - Executive Directors) of the Company and their close family members have been classified as Key Management Personnel of the Company

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates.

| Year ended 31 December                                             | Group       |             | Company     |             |
|--------------------------------------------------------------------|-------------|-------------|-------------|-------------|
|                                                                    | 2023<br>Rs. | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Salary and Other Short Term Benefits                               | 102,435,347 | 98,310,830  | 15,869,800  | 16,372,800  |
| Contributions made by the Company to Provident Fund and Trust Fund | 1,224,720   | 1,537,451   | 1,224,720   | 1,195,920   |
| Non Cash Benefits                                                  | 1,320,000   | 1,140,000   | -           | -           |
|                                                                    | 104,980,067 | 100,988,282 | 17,094,520  | 17,568,720  |

### 36. PRINCIPAL SUBSIDIARIES

The following disclosure highlights the group composition and the proportion of ownership interests held by NCI.

| Company and Country of Incorporation/<br>Operation | Principal<br>Activities      | Class of Shares<br>Held | Proportion of<br>class held by<br>the Company | Group Interest<br>(%) | Non-controlling<br>interest (%) |
|----------------------------------------------------|------------------------------|-------------------------|-----------------------------------------------|-----------------------|---------------------------------|
| <b>Sri Lanka</b>                                   |                              |                         |                                               |                       |                                 |
| Amana Takaful Life PLC                             | Life Insurance               | Ordinary                | 82.3%                                         | 82.3%                 | 17.7%                           |
| Amana Global Limited                               | Technical Advisor            | Ordinary                | 100%                                          | 100%                  | -                               |
| <b>Maldives</b>                                    |                              |                         |                                               |                       |                                 |
| Amana Takaful Maldives PLC                         | General Takaful<br>Insurance | Ordinary                | 55%                                           | 55%                   | 45%                             |

#### 36.1 SUMMARY FINANCIAL INFORMATION FOR SUBSIDIARIES THAT HAVE NON-CONTROLLING INTERESTS THAT ARE MATERIAL TO THE GROUP.

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations.

| 31st December 2023                                                                  | Amana Takaful<br>Life PLC | Amana Takaful<br>Maldives PLC |
|-------------------------------------------------------------------------------------|---------------------------|-------------------------------|
| <b>NCI Percentage</b>                                                               | 17.7%                     | 45%                           |
| Total Assets                                                                        | 4,339,641,692             | 7,851,702,428                 |
| Total Liabilities                                                                   | (3,729,134,393)           | (3,808,198,226)               |
| <b>Net Assets</b>                                                                   | 610,507,299               | 4,043,504,202                 |
| - Attributable to Non-Controlling Interest                                          | 108,059,792               | 1,750,721,479.09              |
| - Attributable to Parent                                                            | 502,447,507               | 2,292,782,723                 |
| <b>Net Earned Contribution (Premium)</b>                                            | 1,093,687,260             | 3,632,400,018                 |
| <b>Profit for the Period</b>                                                        | 50,319,468                | 348,264,061                   |
| - Profit Attributable to Non-Controlling Interest                                   | 8,906,546                 | 156,718,828                   |
| - Profit Attributable to Parent                                                     | 41,412,922                | 191,545,234                   |
| Other Comprehensive Income, net of tax                                              | 15,553,895                | 714,229,079                   |
| <b>Total Comprehensive Income for the year</b>                                      | 65,873,364                | 1,062,493,141                 |
| Cash Flows From/(Used) in Operating Activities                                      | 255,722,696               | 983,678,260                   |
| Cash Flows From/(Used) in Investment Activities                                     | (19,502,420)              | (899,954,860)                 |
| Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs.50,933,589.66/-) | (9,567,600)               | (154,056,887)                 |
| <b>Net Increase/(Decrease) in Cash and Cash Equivalents</b>                         | 226,652,676               | (70,333,486)                  |

## NOTES TO THE FINANCIAL STATEMENTS

| 31st December 2022                                | Amana Takaful<br>Life PLC | Amana Takaful<br>Maldives PLC |
|---------------------------------------------------|---------------------------|-------------------------------|
| <b>NCI Percentage</b>                             | 17.7%                     | 45%                           |
| Total Assets                                      | 3,820,739,630             | 6,186,443,377                 |
| Total Liabilities                                 | (3,276,924,320)           | (3,080,140,293)               |
| <b>Net assets</b>                                 | 543,815,309               | 3,106,303,083                 |
| - Attributable to Non-Controlling Interest        | 96,255,310                | 1,397,836,388                 |
| - Attributable to Parent                          | 447,559,999               | 1,708,466,696                 |
| <b>Net Earned Contribution (Premium)</b>          | 1,003,241,216             | 2,724,942,796                 |
| <b>Profit for the Period</b>                      | 54,090,731                | 405,019,937                   |
| - Profit Attributable to Non-Controlling Interest | 9,574,059                 | 182,258,972                   |
| - Profit Attributable to Parent                   | 44,516,671                | 222,760,965                   |
| Other Comprehensive Income, net of tax            | 5,091,579                 | 1,381,040,598                 |
| <b>Total Comprehensive Income for the year</b>    | 59,182,309                | 1,786,060,535                 |
| Cash Flows From Operating Activities              | 419,672,346               | 731,486,412                   |
| Cash Flows Used in Investment Activities          | (587,640,635)             | (553,356,031)                 |
| Cash Flows Used in Financing Activities           | (7,327,500)               | (141,791,912)                 |
| <b>Net Increase in Cash and Cash Equivalents</b>  | (175,295,789)             | 36,338,469                    |

### 37. COMMITMENTS AND CONTINGENCIES

#### 37.1 COMMITMENTS

The Group does not have significant capital commitments as at the reporting date.

#### 37.2 CONTINGENCIES

A contingent liability at a fair value of Rs. 535 million has been determined from four claims where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 100 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

### 38. TRANSFER PRICING

Transfer pricing regulations applicable from 01.04.2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31st December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs. 50 Million, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

### 39. EVENTS OCCURRING AFTER THE REPORTING DATE

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

### 40. ASSETS PLEDGED

The following assets have been pledged as security for liabilities. (Company)

| Nature of Assets      | Nature of Liability                              | Carrying Amount Pledged |             | Included Under                         |
|-----------------------|--------------------------------------------------|-------------------------|-------------|----------------------------------------|
|                       |                                                  | 2023<br>Rs.             | 2022<br>Rs. |                                        |
| Cash on hold          | Bank Guarantee for<br>Garages for their services | 4,000,000               | 4,000,000   | Other Assets -<br>General Fund         |
| Repurchase Agreements | Bank Guarantee for a<br>Performance Bond         | 1,000,000               | 1,000,000   | Financial Assets -<br>Shareholder Fund |
| Cash on hold          | Bank Guarantee for a<br>Government Tender        | 1,267,883               | 3,063,462   | Other Assets -<br>General Fund         |

#### 40.1 The following assets have been pledged as security for liabilities of Amana Takaful Life PLC (Group)

| Nature of Assets                              | Nature of Liability                         | Included Under        | Carrying Amount Pledge |             |
|-----------------------------------------------|---------------------------------------------|-----------------------|------------------------|-------------|
|                                               |                                             |                       | 2023<br>Rs.            | 2022<br>Rs. |
| Fixed Term Investments/<br>Mudharaba (Seylan) | Bank Guarantee for Tax Appeal<br>Commission | Financial Investments | 1,909,629              | 1,909,629   |
| Fixed Term Investments/<br>Mudharaba          | Bank Guarantee for Tax Appeal<br>Commission | Financial Investments | -                      | 1,600,563   |

## NOTES TO THE FINANCIAL STATEMENTS

### 41. COMPARATIVE INFORMATION

Comparative information has been reclassified where necessary to conform with the current year presentation. Refer note 8

### 42. RISK MANAGEMENT

#### 42.1 OVERVIEW

All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

#### 42.2 RISK MANAGEMENT FRAMEWORK

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework categorized into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
3. Liquidity Risk

## 42.3 FINANCIAL RISK

### 42.3.1 CAPITAL MANAGEMENT

#### a. Objectives and Policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimize capital utilization within the regulatory and Shariah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business

The Group currently has stated capital worth Rs. 1.96 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc.,) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimize the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

#### b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyze the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

### 42.3.2 CREDIT RISK

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

## NOTES TO THE FINANCIAL STATEMENTS

## 2023 - Industry Analysis

Financial  
ServicesAsset  
Management

## Government

## Assets

## Financial assets at Fair Value through Profit or Loss

Investments in equity securities

28,252,217

-

-

Investments in equity securities - Unit Linked

1,614,600

-

-

Investment In Gold

-

-

-

## Available-for-Sale Financial Assets

Investment in Equity Securities

2,787,829,229

-

-

Unit Trust

-

187,168,686

-

-

Unit Trust - Unit Linked

-

39,542,958

-

-

Unquoted

-

-

-

## Loans and Receivables

Repurchase Agreements

-

-

2,039,187,999

Repurchase Agreements - Unit Linked

-

-

95,086,651

Fixed Term Investments

3,388,070,089

-

-

Mudharaba /Fixed Term Investments - Unit Linked

2,727,374,466

-

-

Advances to Company Officers

-

-

-

Total Credit Exposure

8,933,140,601

226,711,644

2,134,274,650

## 2022 - Industry Analysis

Financial  
ServicesAsset  
Management

## Government

## Assets

## Financial assets at Fair Value through Profit or Loss

Investments in equity securities

16,545,182

-

-

Investments in equity securities - Unit Linked

-

-

-

Investment In Gold

-

-

-

## Available-for-Sale Financial Assets

Investment in Equity Securities

1,691,071,200

-

-

Unit Trust

-

104,234,925

-

-

Unit Trust - Unit Linked

-

34,161,002

-

-

Unquoted

-

-

-

## Loans and Receivables

Repurchase Agreements

-

-

1,597,745,775

Repurchase Agreements - Unit Linked

-

-

60,612,070

Fixed Term Investments

3,251,868,068

-

-

Mudharaba /Fixed Term Investments - Unit Linked

2,216,058,654

-

-

Advances to Company Officers

-

-

-

Total Credit Exposure

7,175,543,104

138,395,927

1,658,357,845

|  | Food & Beverages | Teleco.     | Construction, Manufacturing, Power & Chemicals | Others      | Total          |
|--|------------------|-------------|------------------------------------------------|-------------|----------------|
|  | -                | 208,233,187 | 39,924,798                                     | 1,315,222   | 277,725,423    |
|  | -                | 9,413,965   | 41,902,565                                     | 12,308,069  | 65,239,199     |
|  | -                | -           | -                                              | 256,657,500 | 256,657,500    |
|  | -                | -           | -                                              | -           | 2,787,829,229  |
|  | -                | -           | -                                              | -           | 187,168,686    |
|  | -                | -           | -                                              | -           | 39,542,958     |
|  | -                | -           | 525,000                                        | -           | 525,000        |
|  | -                | -           | -                                              | -           | 2,039,187,999  |
|  | -                | -           | -                                              | -           | 95,086,651     |
|  | -                | -           | -                                              | -           | 3,388,070,089  |
|  | -                | -           | -                                              | -           | 2,727,374,466  |
|  | -                | -           | -                                              | 17,723,121  | 17,723,121     |
|  | -                | 217,647,152 | 82,352,363                                     | 288,003,912 | 11,882,130,322 |

|  | Food & Beverages | Teleco.     | Construction, Manufacturing, Power & Chemicals | Others      | Total         |
|--|------------------|-------------|------------------------------------------------|-------------|---------------|
|  | -                | 173,455,549 | 31,861,928                                     | -           | 221,862,659   |
|  | -                | 8,160,000   | 33,491,361                                     | 21,013,900  | 62,665,261    |
|  | -                | -           | -                                              | 222,750,000 | 222,750,000   |
|  | -                | -           | -                                              | -           | 1,691,071,200 |
|  | -                | -           | -                                              | -           | 104,234,925   |
|  | -                | -           | -                                              | -           | 34,161,002    |
|  | -                | -           | 525,000                                        | -           | 525,000       |
|  | -                | -           | -                                              | -           | 1,597,745,775 |
|  | -                | -           | -                                              | -           | 60,612,070    |
|  | -                | -           | -                                              | -           | 3,251,868,068 |
|  | -                | -           | -                                              | -           | 2,216,058,654 |
|  | -                | -           | -                                              | 18,425,251  | 18,425,251    |
|  | -                | 181,615,549 | 65,878,289                                     | 262,189,151 | 9,481,979,866 |

## NOTES TO THE FINANCIAL STATEMENTS

### 42.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2023 and 2022, is the carrying amounts of respective financial instruments.

| Credit Exposure - 31st December 2023                         | Neither Past Due nor Impaired<br>Rs. | Past Due but Not Impaired<br>Rs. | Individually Impaired<br>Rs. | As at 31st December 2023<br>Rs. |
|--------------------------------------------------------------|--------------------------------------|----------------------------------|------------------------------|---------------------------------|
| <b>Financial Assets</b>                                      |                                      |                                  |                              |                                 |
| <b>Financial Assets at Fair Value through Profit or Loss</b> |                                      |                                  |                              |                                 |
| Investment in Equity Securities                              | 424,354,173                          | -                                | -                            | 424,354,173                     |
| Investment in Equity Securities - Unit Linked                | 175,267,949                          | -                                | -                            | 175,267,949                     |
| <b>Available-for-Sale Financial Assets</b>                   |                                      |                                  |                              |                                 |
| Investment in Equity Securities - Quoted                     | 2,787,829,229                        | -                                | -                            | 2,787,829,229                   |
| Unit Trust - Unit Linked                                     | 39,542,958                           | -                                | -                            | 39,542,958                      |
| Investment in Equity Securities - Unquoted                   | 525,000                              | -                                | -                            | 525,000                         |
| <b>Loans &amp; Receivables</b>                               |                                      |                                  |                              |                                 |
| Repurchase Agreements                                        | 2,039,187,999                        | -                                | -                            | 2,039,187,999                   |
| Repurchase Agreements - Unit Linked                          | 95,086,651                           | -                                | -                            | 95,086,651                      |
| Fixed Term Investments                                       | 3,388,070,089                        | -                                | -                            | 3,388,070,089                   |
| Commercial Paper                                             | -                                    | -                                | -                            | -                               |
| Mudharaba Investments - Unit Linked                          | 2,727,374,466                        | -                                | -                            | 2,727,374,466                   |
| Advance to Company Officers                                  | 17,723,121                           | -                                | -                            | 17,723,121                      |
| <b>Other Assets Related to Financial Risk</b>                |                                      |                                  |                              |                                 |
| Retakaful (reinsurance) Receivables                          | 603,709,479                          | -                                | -                            | 603,709,479                     |
| Contribution (Premium) Receivables                           | 1,548,100,182                        | -                                | -                            | 1,548,100,182                   |
| Cash and Cash Equivalents                                    | 354,830,794                          | -                                | -                            | 354,830,794                     |
| <b>Total Credit Exposure</b>                                 | <b>14,201,602,090</b>                | <b>-</b>                         | <b>-</b>                     | <b>14,201,602,090</b>           |

| Credit Exposure - 31st December 2022                         | Neither Past Due nor Impaired<br>Rs. | Past Due but Not Impaired<br>Rs. | Individually Impaired<br>Rs. | As at 31st December 2022 |
|--------------------------------------------------------------|--------------------------------------|----------------------------------|------------------------------|--------------------------|
| <b>Financial Assets</b>                                      |                                      |                                  |                              |                          |
| <b>Financial Assets at Fair Value through Profit or Loss</b> |                                      |                                  |                              |                          |
| Investment in Equity Securities                              | 392,862,659                          | -                                | -                            | 392,862,659              |
| Investment in Equity Securities - Unit Linked                | 114,415,261                          | -                                | -                            | 114,415,261              |
| <b>Available-for-Sale Financial Assets</b>                   |                                      |                                  |                              |                          |
| Investment in Equity Securities - Quoted                     | 1,691,071,200                        | -                                | -                            | 1,691,071,200            |
| Unit Trust - Unit Linked                                     | 34,161,002                           | -                                | -                            | 34,161,002               |
| Investment in Equity Securities - Unquoted                   | 525,000                              | -                                | -                            | 525,000                  |
| <b>Loans &amp; Receivables</b>                               |                                      |                                  |                              |                          |
| Repurchase Agreements                                        | 1,597,745,775                        | -                                | -                            | 1,597,745,775            |
| Repurchase Agreements - Unit Linked                          | 60,612,070                           | -                                | -                            | 60,612,070               |
| Fixed Term Investments                                       | 3,251,868,068                        | -                                | -                            | 3,251,868,068            |
| Mudharaba Investments - Unit Linked                          | 2,216,058,654                        | -                                | -                            | 2,216,058,654            |
| Advance to Company Officers                                  | 18,425,251                           | -                                | -                            | 18,425,251               |
| <b>Other Assets Related to Financial Risk</b>                |                                      |                                  |                              |                          |
| Retakaful (reinsurance) Receivables                          | 368,471,084                          | -                                | -                            | 368,471,084              |
| Contribution (Premium) Receivables                           | 1,356,628,068                        | -                                | -                            | 1,356,628,068            |
| Cash and Cash Equivalents                                    | 260,617,077                          | -                                | -                            | 260,617,077              |
| Total Credit Exposure                                        | 11,363,461,170                       | -                                | -                            | 11,363,461,170           |

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2023 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

| Credit Rating | Exposure % |
|---------------|------------|
| A             | 12         |
| A (ika)       | 30         |
| A- (ika)      | 13         |
| BB+ (ika)     | 33         |
| BBB+ (stable) | 12         |

## NOTES TO THE FINANCIAL STATEMENTS

### 42.4 MARKET RISK

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

#### 42.4.1 INTEREST RATE RISK

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

#### 42.4.2 EQUITY RISK

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

#### Amana Takaful Equity Exposure (Group) - Quoted

| Sector             | 2023              |                    | 2022              |                    |
|--------------------|-------------------|--------------------|-------------------|--------------------|
|                    | Equity Exposure   |                    | Equity Exposure   |                    |
|                    | Exposure<br>(Rs.) | Sector Weight<br>% | Exposure<br>(Rs.) | Sector Weight<br>% |
| Financial Services | 2,847,573,545     | 93%                | 1,739,478,310     | 91%                |
| Telecommunication  | 213,956,886       | 7%                 | 173,455,549       | 9%                 |
|                    | 3,065,554,652     | 100%               | 1,912,933,859     | 100%               |

| Sector        | 2023                          |                    | 2022                          |                    |
|---------------|-------------------------------|--------------------|-------------------------------|--------------------|
|               | Equity Exposure - Unit Linked |                    | Equity Exposure - Unit Linked |                    |
|               | Exposure<br>(Rs.)             | Sector Weight<br>% | Exposure<br>(Rs.)             | Sector Weight<br>% |
| Construction  | 27,049,839                    | 41%                | 11,452,851                    | 18%                |
| Manufacturing | 38,189,360                    | 59%                | 51,212,411                    | 82%                |
|               | 65,239,199                    | 100%               | 62,665,261                    | 100%               |

#### 42.4.2.1 Sensitivity Analysis of Equity Risk-Group

|                                 | Type of Classification | 2023         |              | 2022         |              |
|---------------------------------|------------------------|--------------|--------------|--------------|--------------|
|                                 |                        | Rs.          | Rs.          | Rs.          | Rs.          |
|                                 |                        | 10% Decline  | 10% Increase | 10% Decline  | 10% Increase |
| Financial Assets                | FVTPL                  | (5,343,829)  | 5,343,829    | (4,446,127)  | 4,446,127    |
|                                 | AFS                    | (30,150,659) | 30,150,659   | (18,299,921) | 18,299,921   |
| Financial Assets - Unit Linked  | FVTPL                  | (652,392)    | 652,392      | (626,653)    | 626,653      |
| Net impact on profit before tax | FVTPL                  | (5,343,829)  | 5,343,829    | (4,446,127)  | 4,446,127    |
| Net impact on OCI               | AFS                    | (30,150,659) | 30,150,659   | (18,299,921) | 18,299,921   |

#### 42.4.3 FOREIGN CURRENCY RISK

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

#### 42.4.4 RELATED IMPLICATIONS OF INCREASING FOREIGN EXCHANGE, INTEREST AND INFLATION RATES

Sri Lanka has been facing a foreign exchange crisis due to the adverse economic impacts of the Covid-19 pandemic and it has grown from acute to severely acute during the financial period ended 31st December 2023. The deterioration of foreign reserves is putting pressure on exchange rates to depreciate in the market. Sri Lankan Rupee (LKR) has depreciated notably against USD during the FY 2023.

Sri Lanka's annual inflation has increased significantly and will continue to increase further. As a response to the prevailing economic crisis and inflation, the Central Bank of Sri Lanka (CBSL), has implemented a tightening Monetary Policy while increasing policy rates. Yields on Government securities have also increased notably to reflect market conditions in view of the higher financing requirement of the Government. Whilst inflation will cause interest rates to move upwards, the Group being in the Insurance sector will gain benefits from investment income while experiencing a negative impact due to fluctuation in market value of financial assets and expenses. Accordingly the Group has observed a notable fluctuation after the balance sheet date and has not adjusted in the current year financial statements since the conditions that gave rise to the gain/(loss) did not exist as of 31st December 2023.

The Board continues to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

## NOTES TO THE FINANCIAL STATEMENTS

### 42.5 INSURANCE RISK

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks,

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected.
3. Investment return risk – risk of loss arising from actual returns being different than expected.
4. Expense risk – risk of loss arising from expense experience being different than expected.
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

#### 42.5.1 UNDER-WRITING RISKS

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

#### Management Strategy

- i. Price - The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. Exposure – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
- iii. Personnel – The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

### 42.5.2 CLAIMS RISK

The key risk insurance companies are facing is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

### Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

### Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

### Gross non-life insurance outstanding claims provision for 2023

(All figures are in Rupees thousands unless otherwise stated)

| DY/AY | 2017    | 2018      | 2019      | 2020    | 2021    | 2022      | 2023      |
|-------|---------|-----------|-----------|---------|---------|-----------|-----------|
| 1     | 859,932 | 1,219,262 | 1,345,185 | 861,083 | 937,522 | 1,284,356 | 1,776,730 |
| 2     | 899,992 | 1,239,751 | 1,418,704 | 934,918 | 962,731 | 1,553,898 |           |
| 3     | 896,273 | 1,240,098 | 1,429,043 | 937,850 | 957,805 |           |           |
| 4     | 896,648 | 1,243,632 | 1,429,451 | 915,594 |         |           |           |
| 5     | 896,885 | 1,243,592 | 1,429,496 |         |         |           |           |
| 6     | 899,189 | 1,245,652 |           |         |         |           |           |
| 7     | 899,189 |           |           |         |         |           |           |

Net non-life insurance outstanding claims provision for 2023

(All figures are in Rupees thousands unless otherwise stated)

| DY/AY | 2017    | 2018    | 2019      | 2020    | 2021    | 2022      | 2023      |
|-------|---------|---------|-----------|---------|---------|-----------|-----------|
| 1     | 672,032 | 821,145 | 1,016,883 | 661,715 | 805,359 | 1,181,018 | 1,579,153 |
| 2     | 720,444 | 864,369 | 1,081,823 | 720,999 | 873,972 | 1,360,104 |           |
| 3     | 717,641 | 864,097 | 1,087,141 | 716,854 | 873,468 |           |           |
| 4     | 717,915 | 866,266 | 1,087,545 | 716,563 |         |           |           |
| 5     | 718,153 | 866,226 | 1,087,590 |         |         |           |           |
| 6     | 720,456 | 868,286 |           |         |         |           |           |
| 7     | 720,456 |         |           |         |         |           |           |

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation

## NOTES TO THE FINANCIAL STATEMENTS

### 42.5.2 CLAIMS RISK

**Table 1: Impact on Undiscounted Net Claim Liability**

| Description | CE IBNR<br>incl. CHE | CE CL<br>incl. CHE | Profit<br>Impact |
|-------------|----------------------|--------------------|------------------|
| Base        | 175,020              | 235,071            |                  |
| ULR +10%    | 260,568              | 349,439            | (114,368)        |
| ULR -10%    | 95,513               | 125,417            | 109,654          |
| CHE +10%    | 176,737              | 236,788            | (1,717)          |
| CHE -10%    | 173,303              | 233,354            | 1,717            |

**Table 2: Impact on Undiscounted Net Contribution Liability**

| Description | UCR       | CE URR<br>incl. Exp. | PL        | Profit<br>Impact |
|-------------|-----------|----------------------|-----------|------------------|
| Base        | 1,089,468 | 769,159              | 1,092,547 |                  |
| ULR +10%    | 1,089,468 | 846,064              | 1,105,985 | (13,438)         |
| ULR -10%    | 1,089,468 | 692,245              | 1,090,713 | 1,834            |
| CHE +10%    | 1,089,468 | 772,822              | 1,092,634 | (87)             |
| CHE -10%    | 1,089,468 | 765,496              | 1,092,460 | 87               |

**Table 3: Impact on Undiscounted Gross Claim Liability**

| Description | CE IBNR<br>incl. CHE | CE CL<br>incl. CHE | Profit<br>Impact |
|-------------|----------------------|--------------------|------------------|
| Base        | 185,818              | 507,733            |                  |
| ULR +10%    | 279,361              | 768,589            | (260,856)        |
| ULR -10%    | 100,012              | 253,531            | 254,202          |
| CHE +10%    | 187,535              | 509,450            | (1,717)          |
| CHE -10%    | 184,101              | 506,016            | 1,717            |

**Table 4: Impact on Undiscounted Gross Contribution Liability**

| Description | UCR       | CE URR<br>incl. Exp. | PL        | Profit<br>Impact |
|-------------|-----------|----------------------|-----------|------------------|
| Base        | 1,494,989 | 914,825              | 1,494,989 |                  |
| ULR +10%    | 1,494,989 | 1,006,361            | 1,505,173 | (10,184)         |
| ULR -10%    | 1,494,989 | 823,518              | 1,494,989 | -                |
| CHE +10%    | 1,494,989 | 919,181              | 1,494,989 | -                |
| CHE -10%    | 1,494,989 | 910,469              | 1,494,989 | -                |

<sup>^</sup> During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%)

\* A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

#### 42.5.2.1 Claims Risk Amana Takaful Life PLC (Group)

The key risk faced by insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

#### Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

| 31st December 2023          | Impact on Takaful Contract Liabilities |          |         |                               |
|-----------------------------|----------------------------------------|----------|---------|-------------------------------|
|                             | Change in Assumptions                  | Gross    | Net     | Underwriting Deficit/ Surplus |
|                             | %                                      | RS.      | RS.     | RS.                           |
| Mortality/morbidity         | +10%                                   | 12,747   | 4,845   | 4,845                         |
| Mortality/morbidity         | -10%                                   | (12,744) | (4,826) | (4,826)                       |
| Lapse and surrender rates   | -10%                                   | 3,934    | 3,802   | 3,802                         |
| Discount rate               | -1%                                    | 3,474    | 2,769   | 2,769                         |
| Expenses                    | +10%                                   | 8,469    | 8,446   | 8,446                         |
| Unit Fund Investment Return | -1%                                    | (1,159)  | (1,121) | (1,121)                       |

#### Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarized in the table below by measurement category

|                                         | Takaful Contract Liabilities |               |
|-----------------------------------------|------------------------------|---------------|
|                                         | Gross                        | Net           |
|                                         | Rs.                          | Rs.           |
| As at 31 December 2022                  | 2,734,263,000                | 2,707,954,000 |
| Reserve Unwinding                       | (4,261,000)                  | (3,223,000)   |
| Experience variance                     | (14,962,000)                 | (10,799,000)  |
| Change in valuation basis (Methodology) | -                            | -             |
| Change in valuation basis (Assumptions) | 8,836,000                    | 9,012,000     |
| New Business                            | 20,321,000                   | 18,431,000    |
| Others                                  | 482,261,000                  | 482,302,000   |
| As at 31 December 2023                  | 3,226,458,000                | 3,203,677,000 |

## NOTES TO THE FINANCIAL STATEMENTS

### Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasized in Key Performance indicators of all staff levels.

### Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance

#### Amana Takaful PLC

| Class of business | Name of the reinsurer                                         | Reinsurers Country of origin | Rating         |                    | Name of the Rating Agency | Date of rating |
|-------------------|---------------------------------------------------------------|------------------------------|----------------|--------------------|---------------------------|----------------|
|                   |                                                               |                              | Credit         | Financial Strength |                           |                |
| Marine            | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Labuan Reinsurance (L) Ltd.                                   | Malaysia                     | a-             | A-                 | AM Best                   | 25.10.2023     |
|                   | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
|                   | Best Meridian International Insurance Company                 | Cayman                       | A-             | A-                 | AM Best                   | 29.11.2023     |
|                   | Misr Insurance Company                                        | Egypt                        | BBB            | B++                | AM Best                   | 31.12.2022     |
|                   | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
| Fire              | NITF                                                          | Sri Lanka                    |                |                    |                           |                |
|                   | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Labuan Reinsurance (L) Ltd.                                   | Malaysia                     | a-             | A-                 | AM Best                   | 25.10.2023     |
|                   | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
|                   | Best Meridian International Insurance Company                 | Cayman                       | A-             | A-                 | AM Best                   | 29.11.2023     |
|                   | Misr Insurance Company                                        | Egypt                        | BBB            | B++                | AM Best                   | 31.12.2022     |
|                   | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
|                   | NITF                                                          | Sri Lanka                    |                |                    |                           |                |

| Class of business | Name of the reinsurer                                         | Reinsurers Country of origin | Rating         |                    | Name of the Rating Agency | Date of rating |
|-------------------|---------------------------------------------------------------|------------------------------|----------------|--------------------|---------------------------|----------------|
|                   |                                                               |                              | Credit         | Financial Strength |                           |                |
| Motor             | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
|                   | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
| Liability         | NITF                                                          | Sri Lanka                    |                |                    |                           |                |
|                   | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
| Miscellaneous     | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
|                   | NITF                                                          | Sri Lanka                    |                |                    |                           |                |
|                   | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Labuan Reinsurance (L) Ltd.                                   | Malaysia                     | a-             | A-                 | AM Best                   | 25.10.2023     |
| Travel PA         | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
|                   | Best Meridian International Insurance Company                 | Cayman                       | A-             | A-                 | AM Best                   | 29.11.2023     |
|                   | Misr Insurance Company                                        | Egypt                        | BBB            | B++                | AM Best                   | 31.12.2022     |
|                   | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
|                   | NITF                                                          | Sri Lanka                    |                |                    |                           |                |
|                   | Labuan Reinsurance (L) Ltd.                                   | Malaysia                     | a-             | A-                 | AM Best                   | 25.10.2023     |
|                   | NITF                                                          | Sri Lanka                    |                |                    |                           |                |

## NOTES TO THE FINANCIAL STATEMENTS

| Class of business | Name of the reinsurer                                         | Reinsurers Country of origin | Rating         |                    | Name of the Rating Agency | Date of rating |
|-------------------|---------------------------------------------------------------|------------------------------|----------------|--------------------|---------------------------|----------------|
|                   |                                                               |                              | Credit         | Financial Strength |                           |                |
| Engineering       | Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful) | Singapore                    | A2             | AA3                | Moody's                   | 18.12.2023     |
|                   |                                                               |                              | A              | AA-                | S&P                       | 05.10.2023     |
|                   |                                                               |                              | a+             | A+                 | AM Best                   | 08.09.2023     |
|                   | Saudi Re for Cooperative Reinsurance Company                  | Kingdom of Saudi Arabia      | A-             | A3 (IFSR)          | Moody's                   | 08.11.2023     |
|                   | Labuan Reinsurance (L) Ltd.                                   | Malaysia                     | a-             | A-                 | AM Best                   | 25.10.2023     |
|                   | Ocean International Reinsurance Company Limited               | Barbados                     | a- (excellent) | A- (Excellent)     | AM Best                   | 01.09.2023     |
|                   | Asian Reinsurance Corporation                                 | Thailand                     | bbb (Good)     | B+ (Good)          | AM Best                   | 16.06.2023     |
|                   | Best Meridian International Insurance Company                 | Cayman                       | A-             | A-                 | AM Best                   | 29.11.2023     |
|                   | Misr Insurance Company                                        | Egypt                        | BBB            | B++                | AM Best                   | 31.12.2022     |
|                   | Tunis Re                                                      | Tunisia                      | AA+            | AA                 | Fitch                     | 06.07.2023     |
|                   | NITF                                                          | Sri Lanka                    |                |                    |                           |                |

## Amana Takaful Life PLC

| Class of business | Name of the reinsurer | Reinsurers Country of origin | Name of the regulatory authority which approval obtained to transact reinsurance business * | License validity period of the reinsurer | Rating             |        | Rating Agency | Date of Rating |
|-------------------|-----------------------|------------------------------|---------------------------------------------------------------------------------------------|------------------------------------------|--------------------|--------|---------------|----------------|
|                   |                       |                              |                                                                                             |                                          | Financial Strength | Credit |               |                |

## Life

|                                         |               |          |                         |                          |              |              |     |         |
|-----------------------------------------|---------------|----------|-------------------------|--------------------------|--------------|--------------|-----|---------|
| 1. Long Term Takaful Plans (Endowments) | 1. Munich Re  | Malaysia | Negara Malaysia (BNM)   | Yearly Renewal Unlimited | AA- (Stable) | AA- (Stable) | S&P | 8/16/23 |
|                                         | 2. Hanover Re | Bahrain  | Central Bank of Bahrain | Yearly Renewal Unlimited | A+ (Stable)  | A+ (Stable)  | S&P | 7/27/23 |

## Other

|                                            |                         |          |                         |                          |              |              |     |          |
|--------------------------------------------|-------------------------|----------|-------------------------|--------------------------|--------------|--------------|-----|----------|
| 1. All family Takaful Policies (CAT Cover) | Hanover Re              | Bahrain  | Central Bank of Bahrain | Yearly Renewal Unlimited | AA- (Stable) | AA- (Stable) | S&P | 7/27/23  |
| 2. Unit Link Takaful                       | Hanover Re              | Bahrain  | Central Bank of Bahrain | Yearly Renewal Unlimited | AA- (Stable) | AA- (Stable) | S&P | 7/27/23  |
| 3. Group Family                            | Munich Re               | Malaysia | Negara Malaysia (BNM)   | Yearly Renewal Unlimited | AA- (Stable) | AA- (Stable) | S&P | 8/16/23  |
| 4. Credit & Mortgage Takaful               | 1. Munich Re            | Malaysia | Negara Malaysia (BNM)   | Yearly Renewal Unlimited | AA- (Stable) | AA- (Stable) | S&P | 8/16/23  |
|                                            | 2. Score Global Life SE | Malaysia | Labuan FSA              | Yearly Renewal Unlimited | A+ (Stable)  | A+ (Stable)  | S&P | 11/17/22 |

**Amana Takaful (Maldives) PLC**

| Name of the reinsurer                        | Financial Strength | Name of the Rating Agency |
|----------------------------------------------|--------------------|---------------------------|
| Swiss Re-insurance                           | A+ (Superior)      | AM Best                   |
| Labuan Reinsurance (L) Ltd.                  | A- (Excellent)     | AM Best                   |
| General Insurance Corporation of India       | B++ (Stable)       | AM Best                   |
| Saudi Re for Cooperative Reinsurance Company | A- (Excellent)     | AM Best                   |
| Asian Reinsurance Corporation                | B+ (Good)          | AM Best                   |
| Kenya Re-insurance                           | B (Fair)           | AM Best                   |
| Oman Re-insurance                            | B+ (Good)          | AM Best                   |
| Kuwait Re-insurance                          | A- (Excellent)     | AM Best                   |
| Himalayan Re-insurance                       | B + (Fair)         | AM Best                   |

**42.6 LIQUIDITY RISK**

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

## NOTES TO THE FINANCIAL STATEMENTS

Maturity profile of Group investments based on remaining maturity is given below.

| 2023 - Maturity Analysis                | Within<br>One Month | 1-3<br>Months | 3 months<br>to 1 year | 1- 5<br>Years | No Stated<br>Maturity | Total          |
|-----------------------------------------|---------------------|---------------|-----------------------|---------------|-----------------------|----------------|
|                                         | Rs.                 | Rs.           | Rs.                   | Rs.           | Rs.                   | Rs.            |
| <b>Assets</b>                           |                     |               |                       |               |                       |                |
| Investments in Quoted Equity Securities | -                   | -             | 1,556,989,052         | -             | 1,508,565,600         | 3,065,554,652  |
| Unit Trust                              | -                   | -             | -                     | -             | 43,630,051            | 43,630,051     |
| Unquoted Investments                    | -                   | -             | -                     | -             | 525,000               | 525,000        |
| Repurchase Agreements                   | -                   | -             | 2,039,187,999         | -             | -                     | 2,039,187,999  |
| Investment in Gold                      | -                   | -             | -                     | -             | 146,628,750           | 146,628,750    |
| Fixed Term Investments                  | -                   | -             | 849,090,907           | 2,538,979,182 | -                     | 3,388,070,089  |
| Other Assets                            |                     |               |                       |               |                       |                |
| - Other Receivables                     | -                   | -             | 224,328,201           | -             | -                     | 224,328,201    |
| Advances to Company Officers            | -                   | -             | 17,723,121            | -             | -                     | 17,723,121     |
| Contribution (Premium) Receivables      | -                   | -             | 1,548,100,182         | -             | -                     | 1,548,100,182  |
| Total                                   | -                   | -             | 6,235,419,462         | 2,538,979,182 | 1,699,349,401         | 10,473,748,045 |
| <b>Liabilities</b>                      |                     |               |                       |               |                       |                |
| Other Liabilities - Unit Linked         | -                   | -             | 186,253,738           | -             | -                     | 186,253,738    |
| Other Liabilities                       | -                   | -             | 2,253,864,182         | -             | -                     | 2,253,864,182  |
| Short-Term Borrowings                   | -                   | -             | -                     | -             | -                     | -              |
| Subordinated Debt                       | -                   | -             | -                     | 286,000,089   | -                     | 286,000,089    |
| Lease Liability                         | -                   | -             | 82,256,001            | 228,275,723   | -                     | 310,531,723    |
| Total                                   | -                   | -             | 2,522,373,921         | 514,275,812   | -                     | 3,036,649,733  |

| 2022 - Maturity Analysis                | Within<br>One Month | 1-3<br>Months | 3 months<br>to 1 year | 1- 5<br>Years | No Stated<br>Maturity | Total         |
|-----------------------------------------|---------------------|---------------|-----------------------|---------------|-----------------------|---------------|
|                                         | Rs.                 | Rs.           | Rs.                   | Rs.           | Rs.                   | Rs.           |
| <b>Assets</b>                           |                     |               |                       |               |                       |               |
| Investments in Quoted Equity Securities | -                   | -             | 221,862,659           | -             | 1,691,071,200         | 1,912,933,859 |
| Unit Trust                              | -                   | -             | -                     | -             | 31,964,227            | 31,964,227    |
| Unquoted Investments                    | -                   | -             | -                     | -             | 525,000               | 525,000       |
| Repurchase Agreements                   | -                   | -             | 1,597,745,775         | -             | -                     | 1,597,745,775 |
| Investment in Gold                      | -                   | -             | 951,813,550           | 2,300,054,518 | -                     | 3,251,868,068 |
| Fixed Term Investments                  | -                   | -             | -                     | -             | -                     | -             |
| Other Assets - Other Receivables        | -                   | -             | 269,279,215           | -             | -                     | 269,279,215   |
| Advances to Company Officers            | -                   | -             | 18,425,251            | -             | -                     | 18,425,251    |
| Contribution (Premium) Receivables      | -                   | -             | 1,356,628,068         | -             | -                     | 1,356,628,068 |
| <b>Total</b>                            | -                   | -             | 4,415,754,519         | 2,300,054,518 | 1,894,560,427         | 8,610,369,464 |
| <b>Liabilities</b>                      |                     |               |                       |               |                       |               |
| Other Liabilities - Unit Linked         | -                   | -             | 118,930,337           | -             | -                     | 118,930,337   |
| Other Liabilities                       | -                   | -             | 2,196,810,134         | -             | -                     | 2,196,810,134 |
| Short-Term Borrowings                   | -                   | -             | -                     | -             | -                     | -             |
| Subordinated Debt                       | -                   | -             | -                     | 413,764,648   | -                     | 413,764,648   |
| Lease Liability                         | -                   | -             | 40,038,718            | 166,091,111   | -                     | 206,129,829   |
| <b>Total</b>                            | -                   | -             | 2,355,779,189         | 579,855,759   | -                     | 2,935,634,948 |

## NOTES TO THE FINANCIAL STATEMENTS

### 43. MATURITY PROFILE OF ASSETS & LIABILITIES

| Group                                                      | 2023                  |                        |                       | 2022                  |                        |                       |
|------------------------------------------------------------|-----------------------|------------------------|-----------------------|-----------------------|------------------------|-----------------------|
|                                                            | Within<br>12 months   | After<br>12 months     | Total                 | Within<br>12 months   | After<br>12 months     | Total                 |
|                                                            | Rs.                   | Rs.                    | Rs.                   | Rs.                   | Rs.                    | Rs.                   |
| <b>Assets</b>                                              |                       |                        |                       |                       |                        |                       |
| Cash and Bank Balances                                     | 343,492,613           | -                      | 343,492,613           | 244,776,076           | -                      | 244,776,076           |
| Cash and Bank Balances - Unit Linked                       | 11,338,181            | -                      | 11,338,181            | 15,841,002            | -                      | 15,841,002            |
| Financial Assets                                           | 7,336,292,697         | 1,508,565,600          | 8,844,858,297         | 5,365,661,679         | 1,691,071,200          | 7,056,732,879         |
| Financial Assets - Unit Linked                             | 3,037,272,024         | -                      | 3,037,272,024         | 2,425,246,987         | -                      | 2,425,246,987         |
| Right of use assets                                        | 82,256,001            | 393,599,803            | 475,855,804           | 40,038,718            | 372,632,974            | 412,671,693           |
| Retakaful (Reinsurance) Receivables                        | 603,709,479           | -                      | 603,709,479           | 368,471,084           | -                      | 368,471,084           |
| Contribution (Premium) Receivables                         | 1,548,100,182         | -                      | 1,548,100,182         | 1,356,628,068         | -                      | 1,356,628,068         |
| Investment Property                                        | -                     | 151,000,000            | 151,000,000           | -                     | 150,550,000            | 150,550,000           |
| Property, Plant and Equipment                              | -                     | 133,643,115            | 133,643,115           | -                     | 90,585,828             | 90,585,828            |
| Intangible Assets                                          | -                     | 188,679,718            | 188,679,718           | -                     | 174,990,104            | 174,990,104           |
| Deferred Tax Assets                                        | -                     | -                      | -                     | -                     | 15,874,369             | 15,874,369            |
| Other Assets                                               | 347,045,073           | -                      | 347,045,073           | 395,043,400           | -                      | 395,043,400           |
| Other Assets - Unit Linked                                 | -                     | -                      | -                     | -                     | -                      | -                     |
| <b>Total Assets</b>                                        | <b>13,309,506,252</b> | <b>2,375,488,236</b>   | <b>15,684,994,485</b> | <b>10,211,707,013</b> | <b>2,495,704,475</b>   | <b>12,707,411,490</b> |
| <b>Liabilities</b>                                         |                       |                        |                       |                       |                        |                       |
| Bank Overdrafts                                            | -                     | -                      | -                     | -                     | -                      | -                     |
| Short Term Borrowings                                      | -                     | -                      | -                     | -                     | -                      | -                     |
| Insurance Contract Liabilities - Non Life                  | 3,831,303,232         | -                      | 3,831,303,232         | 2,555,353,272         | -                      | 2,555,353,272         |
| Insurance Contract Liabilities - Family Takaful Fund       | -                     | 304,351,488            | 304,351,488           | -                     | 356,693,216            | 356,693,216           |
| Insurance Contract Liabilities- Family Takaful Unit Linked | -                     | 2,970,343,620          | 2,970,343,620         | -                     | 2,473,579,681          | 2,473,579,681         |
| Employee Benefits                                          | -                     | 173,627,119            | 173,627,119           | -                     | 156,208,096            | 156,208,096           |
| Subordinated Debt                                          | -                     | 286,000,089            | 286,000,089           | -                     | 413,764,648            | 413,764,648           |
| Lease Liability                                            | 82,256,001            | 228,275,723            | 310,531,723           | 40,038,718            | 166,091,111            | 206,129,829           |
| Deferred Tax Liability                                     | -                     | 195,520,715            | 195,520,715           | -                     | -                      | -                     |
| Other Liabilities - Unit Linked                            | 186,253,738           | -                      | 186,253,738           | 118,930,337           | -                      | 118,930,337           |
| Other Liabilities                                          | 2,253,864,183         | -                      | 2,253,864,183         | 2,196,810,134         | -                      | 2,196,810,134         |
| <b>Total Liabilities</b>                                   | <b>6,353,677,154</b>  | <b>4,158,118,754</b>   | <b>10,511,795,908</b> | <b>4,911,132,461</b>  | <b>3,566,336,752</b>   | <b>8,477,469,213</b>  |
| <b>Net Balance</b>                                         | <b>6,955,829,098</b>  | <b>(1,782,630,518)</b> | <b>5,173,198,577</b>  | <b>5,300,574,552</b>  | <b>(1,070,632,277)</b> | <b>4,229,942,278</b>  |

| Company                                   | 2023                 |                      |                      | 2022                 |                      |                      |
|-------------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|
|                                           | Within<br>12 months  | After<br>12 months   | Total                | Within<br>12 months  | After<br>12 months   | Total                |
|                                           | Rs.                  | Rs.                  | Rs.                  | Rs.                  | Rs.                  | Rs.                  |
| <b>Assets</b>                             |                      |                      |                      |                      |                      |                      |
| Cash and Bank Balances                    | 103,452,208          | -                    | 103,452,208          | 61,439,739           | -                    | 61,439,739           |
| Cash and Bank Balances - Unit Linked      | -                    | -                    | -                    | -                    | -                    | -                    |
| Financial Assets                          | 1,299,184,293        | 194,140,099          | 1,493,324,392        | 1,183,764,571        | 194,140,099          | 1,377,904,670        |
| Right of use assets                       | 41,243,553           | 128,576,742          | 169,820,295          | 14,817,767           | 26,344,602           | 41,162,369           |
| Retakaful (Reinsurance) Receivables       | 410,989,643          | -                    | 410,989,643          | 197,567,498          | -                    | 197,567,498          |
| Contribution (Premium) Receivables        | 1,268,552,570        | -                    | 1,268,552,570        | 1,021,764,011        | -                    | 1,021,764,011        |
| Investments in Subsidiaries               | -                    | 2,726,560,589        | 2,726,560,589        | -                    | 2,156,026,697        | 2,156,026,697        |
| Investment Property                       | -                    | -                    | -                    | -                    | -                    | -                    |
| Property, Plant and Equipment             | -                    | 45,821,268           | 45,821,268           | -                    | 41,203,417           | 41,203,417           |
| Intangible Assets                         | -                    | 29,802,943           | 29,802,943           | -                    | 29,011,509           | 29,011,509           |
| Deferred Tax Assets                       | -                    | -                    | -                    | -                    | -                    | -                    |
| Other Assets                              | 140,492,684          | -                    | 140,492,684          | 127,418,263          | -                    | 127,418,263          |
| <b>Total Assets</b>                       | <b>3,263,914,951</b> | <b>3,124,901,641</b> | <b>6,388,816,590</b> | <b>2,606,771,849</b> | <b>2,446,726,324</b> | <b>5,053,498,173</b> |
| <b>Liabilities</b>                        |                      |                      |                      |                      |                      |                      |
| Bank Overdrafts                           | -                    | -                    | -                    | -                    | -                    | -                    |
| Short Term Borrowings                     | -                    | -                    | -                    | -                    | -                    | -                    |
| Insurance Contract Liabilities - Non Life | 1,600,280,056        | -                    | 1,600,280,056        | 1,068,902,980        | -                    | 1,068,902,980        |
| Employee Benefits                         | -                    | 59,440,598           | 59,440,598           | -                    | 51,898,474           | 51,898,474           |
| Subordinated Debt                         | -                    | 339,453,478          | 339,453,478          | -                    | 464,704,354          | 464,704,354          |
| Lease Liability                           | 43,347,436           | 127,602,446          | 170,949,883          | 16,921,650           | 26,344,601           | 43,266,252           |
| Other Liabilities                         | 960,737,510          | -                    | 960,737,510          | 676,632,168          | -                    | 676,632,168          |
| <b>Total Liabilities</b>                  | <b>2,604,365,003</b> | <b>526,496,522</b>   | <b>3,130,861,524</b> | <b>1,762,456,797</b> | <b>542,947,430</b>   | <b>2,305,404,228</b> |
| <b>Net Balance</b>                        | <b>659,549,953</b>   | <b>2,598,405,119</b> | <b>3,257,955,065</b> | <b>844,315,052</b>   | <b>1,903,778,895</b> | <b>2,748,093,946</b> |





## **SUPPLEMENTARY INFORMATION**

# GROUP VALUE ADDED STATEMENT

|                                                     | 2023<br>Rs. Mn | 2022<br>Rs. Mn |
|-----------------------------------------------------|----------------|----------------|
| Net earned contribution (premium)                   | 7,344          | 5,784          |
| Investment & Other Income                           | 1,556          | 1,159          |
| Net Claims & Benefits                               | (5,321)        | (3,683)        |
| Cost of external services                           | (2,457)        | (1,832)        |
| Total Value added                                   | 1,122          | 1,428          |
| To employees as Salaries and other benefits         | 1,367          | 1,194          |
| To the Government as taxes                          | (53)           | (71)           |
| Change in Family Takaful (Long Term Insurance) Fund | (446)          | (286)          |
| Retained with the business                          |                |                |
| - depreciation                                      | 102            | 103            |
| - in reserves                                       | 151            | 488            |
| Total Value added                                   | 1,122          | 1,428          |

# SHARE INFORMATION

## 1. ANALYSIS OF THE DISTRIBUTION OF SHAREHOLDERS AS AT 31ST DECEMBER 2023

| Shareholding        | Resident            |               |      | Non-Resident        |               |      | Total               |               |
|---------------------|---------------------|---------------|------|---------------------|---------------|------|---------------------|---------------|
|                     | No. of Shareholders | No. of Shares | %    | No. of Shareholders | No. of Shares | %    | No. of Shareholders | No. of Shares |
| 1 - 1,000           | 3671                | 820,952       | 0.00 | 13                  | 4,162         | 0.00 | 3,684               | 825,114       |
| 1,001 - 10,000      | 717                 | 2,270,472     | 0.01 | 4                   | 27,750        | 0.00 | 721                 | 2,298,222     |
| 10,001 - 100,000    | 138                 | 3,843,828     | 0.02 | 3                   | 36,930        | 0.00 | 141                 | 3,880,758     |
| 100,001 - 1,000,000 | 9                   | 1,780,067     | 0.01 | 0                   | 0             | -    | 9                   | 1,780,067     |
| Over 1,000,000      | 8                   | 194,846,482   | 0.96 | 0                   | 0             | -    | 8                   | 194,846,482   |
|                     | 4,543               | 203,561,801   | 100% | 20                  | 68,842        | 0%   | 4,563               | 203,630,643   |

## 2.1 TOP 25 SHAREHOLDERS AS AT 31ST DECEMBER 2023

|                                                        | No. of Shares | %      |
|--------------------------------------------------------|---------------|--------|
| SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD         | 53,087,750    | 26.07% |
| MR. SATTAR KASSIM                                      | 30,861,752    | 15.16% |
| AMANA BANK PLC/MR.OSMAN KASSIM                         | 30,500,000    | 14.98% |
| AMANA BANK PLC/MR. SHAFIK KASSIM                       | 30,468,567    | 14.96% |
| AMANA BANK PLC                                         | 27,009,180    | 13.26% |
| MR. OSMAN KASSIM / MRS. K. KASSIM                      | 14,901,823    | 7.32%  |
| ABERDEEN HOLDINGS (PRIVATE) LIMITED                    | 5,156,108     | 2.53%  |
| FALCON TRADING (PVT) LTD.                              | 2,861,302     | 1.41%  |
| SEYLAN BANK PLC/JAYANTHA DEWAGE                        | 414,308       | 0.20%  |
| Mrs. NABEELA HAROON                                    | 270,000       | 0.13%  |
| Mr. GAJATH CHRYSANTHA GOONETILLEKE                     | 256,031       | 0.13%  |
| MR. MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER  | 185,248       | 0.09%  |
| MR. AMIRALLY LUKMANJEE                                 | 168,621       | 0.08%  |
| MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZIK       | 150,292       | 0.07%  |
| MR. WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA          | 121,206       | 0.06%  |
| COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN          | 113,757       | 0.06%  |
| MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE       | 100,604       | 0.05%  |
| MR. MOHAMED SAJJAD MAWZON                              | 100,000       | 0.05%  |
| MR. ARUNASALAM SITHAMPALAM                             | 99,179        | 0.05%  |
| MRS. KHAIRUNNISSA KASSIM                               | 97,920        | 0.05%  |
| MR. THEVAMOORTHY RAVI                                  | 90,000        | 0.04%  |
| SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM               | 78,605        | 0.04%  |
| MR. SUGATHADASA RUWANPATHIRANA /MRS. V. RUWANPATHIRANA | 77,824        | 0.04%  |
| MR. PERIYASAAMI PILLAI THEVARAJAH                      | 77,000        | 0.04%  |
| MR. SITHAMBARAM PILLAI JAYAKUMAR / MS. P. MEENA        | 75,000        | 0.04%  |
|                                                        | 197,322,077   | 0.97   |
| Others                                                 | 6,308,566     | 99.03  |
| Total                                                  | 203,630,643   | 100.00 |

## SHARE INFORMATION

### 2.2 TOP 25 SHAREHOLDERS AS AT 31ST DECEMBER 2022

|                                                        | No. of Shares | %      |
|--------------------------------------------------------|---------------|--------|
| SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD         | 32,646,350    | 18.14% |
| MR. SATTAR KASSIM                                      | 30,861,752    | 17.15% |
| AMANA BANK PLC/MR.OSMAN KASSIM                         | 30,500,000    | 16.94% |
| AMANA BANK PLC/MR. SHAFIK KASSIM                       | 30,468,567    | 16.93% |
| AMANA BANK PLC                                         | 27,009,180    | 15.01% |
| ABERDEEN HOLDINGS (PRIVATE) LIMITED                    | 14,156,108    | 7.86%  |
| FALCON TRADING (PVT) LTD.                              | 2,861,302     | 1.59%  |
| MR. OSMAN KASSIM / MRS. K. KASSIM                      | 2,382,423     | 1.32%  |
| SEYLAN BANK PLC/JAYANTHA DEWAGE                        | 414,308       | 0.23%  |
| Mrs. NABEELA HAROON                                    | 270,000       | 0.15%  |
| Mr. GAJATH CHRYSANTHA GOONETILLEKE                     | 256,031       | 0.14%  |
| MR. MOHAMED HUSSAIN MOHAMED FAIZER / MRS. F.R. FAIZER  | 185,248       | 0.10%  |
| MR. AMIRALLY LUKMANJEE                                 | 168,621       | 0.09%  |
| MR. KALI MUDIYANSELEGEDARA SEYYADU MOHAMED RAZEEK      | 150,292       | 0.08%  |
| MR. WANNIACHCHIGE LAL THILAKASIRI ANANDAWANSA          | 121,206       | 0.07%  |
| COMMERCIAL BANK OF CEYLON PLC/S.A.GULAMHUSEIN          | 113,757       | 0.06%  |
| MRS. PATTINIDEVA ASOKA SWARNA KANTHIE BERUWALAGE       | 100,604       | 0.06%  |
| MR. MOHAMED SAJJAD MAWZON                              | 100,000       | 0.06%  |
| MR. ARUNASALAM SITHAMPALAM                             | 99,179        | 0.06%  |
| MRS. KHAIRUNNISSA KASSIM                               | 97,920        | 0.05%  |
| MR. THEVAMOORTHY RAVI                                  | 90,000        | 0.05%  |
| SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM               | 78,605        | 0.04%  |
| MR. SUGATHADASA RUWANPATHIRANA /MRS. V. RUWANPATHIRANA | 77,824        | 0.04%  |
| MR. PERIYASAAMI PILLAI THEVARAJAH                      | 77,000        | 0.04%  |
| MR. SITHAMBARAM PILLAI JAYAKUMAR/MRS. P. MEENA         | 75,000        | 0.04%  |
|                                                        | 173,361,277   | 0.96   |
| Others                                                 | 6,638,853     | 99.04  |
| Total                                                  | 180,000,130   | 100.00 |

## PUBLIC SHAREHOLDING

|                                             | 31.12.2023    | 31.12.2022    |
|---------------------------------------------|---------------|---------------|
| Float Adjusted Market Capitalisation (Rs.)* | 2,322,025,934 | 2,023,165,552 |
| Percentage of Shares held by the Public     | 97.46%        | 92.13%        |
| Number of Public Shareholders               | 4561          | 4719          |

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

\* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

## 3. INVESTOR RATIOS

|                           | Group       |             | Company     |             |
|---------------------------|-------------|-------------|-------------|-------------|
|                           | 2023<br>Rs. | 2022<br>Rs. | 2023<br>Rs. | 2022<br>Rs. |
| Earnings/(Loss) per Share | 0.02        | 1.66        | 0.01        | 1.64        |
| Dividend per Share        | -           | -           | -           | -           |
| Dividend Payout Ratio     | -           | -           | -           | -           |
| Net Assets per Share      | 16.00       | 23.50       | 25.40       | 15.27       |

## 4. MARKET VALUE OF SHARES

|                | 2023<br>Rs. | 2022<br>Rs. |
|----------------|-------------|-------------|
| Highest Value  | 12.90       | 20.00       |
| Lowest Value   | 10.50       | 8.10        |
| Year End Value | 11.70       | 12.20       |

# TEN YEAR SUMMARY

## GROUP

| Statement of Income for the year ended                | 31.12.2023<br>Rs.'000 | 31.12.2022<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2020<br>Rs.'000 |
|-------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Gross Written Contribution (Premium)                  | 10,208,348            | 8,250,960             | 5,178,592             | 4,143,674             |
| Net Earned Contribution (Premium)                     | 7,343,599             | 5,784,131             | 3,698,734             | 2,999,477             |
| Income from Investments and Other Income              | 1,556,455             | 1,158,543             | 572,333               | 522,868               |
| Net Claims Incurred                                   | (5,321,424)           | (3,683,488)           | (1,924,002)           | (1,632,751)           |
| Net Commission Incurred                               | (559,124)             | (468,688)             | (377,188)             | (250,333)             |
| Expenses                                              | (2,352,997)           | (1,946,894)           | (1,472,883)           | (1,239,052)           |
| Increase in Family Takaful (Long Term Insurance) Fund | (445,854)             | (285,948)             | (184,031)             | (140,186)             |
| Profit/(Loss) Before Taxation                         | 220,655               | 557,655               | 312,963               | 260,023               |
| Income Tax Expenses                                   | (69,219)              | (70,047)              | (36,807)              | (37,597)              |
| Net Profit/(Loss) for the year                        | 151,436               | 487,608               | 276,157               | 222,426               |
| Basic Earnings/(Loss) Per Share (Rs.)                 | (0.05)                | 1.66                  | 0.91                  | (1.87)                |

## GENERAL INSURANCE BUSINESS

| Statement of Income for the year ended   | 31.12.2023<br>Rs.'000 | 31.12.2022<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2020<br>Rs.'000 |
|------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Gross Written Contribution (Premium)     | 9,057,691             | 7,190,182             | 4,248,762             | 3,377,022             |
| Net Earned Contribution (Premium)        | 6,249,912             | 4,780,889             | 2,817,015             | 2,257,304             |
| Income from Investments and Other Income | 885,696               | 708,264               | 309,619               | 260,955               |
| Net Claims Incurred                      | (4,747,463)           | (3,164,719)           | (1,496,966)           | (1,185,530)           |
| Net Commission Incurred                  | (406,814)             | (319,406)             | (242,166)             | (147,201)             |
| Expenses                                 | (1,810,996)           | (1,501,464)           | (1,084,098)           | (869,185)             |
| Profit/(Loss) Before Taxation            | 170,335               | 503,565               | 303,404               | 316,343               |

## AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

| Statement of Income for the year ended                | 31.12.2023<br>Rs.'000 | 31.12.2022<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2020<br>Rs.'000 |
|-------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Gross Written Contribution (Premium)                  | 1,150,656             | 1,060,778             | 929,830               | 767,232               |
| Net Earned Contribution (Premium)                     | 1,093,687             | 1,003,241             | 881,719               | 742,753               |
| Income from Investments and Other Income              | 670,758               | 450,278               | 262,714               | 289,996               |
| Net Claims Incurred                                   | (573,961)             | (518,769)             | (427,036)             | (447,220)             |
| Net Commission Incurred                               | (152,310)             | (149,282)             | (135,022)             | (103,132)             |
| Expenses                                              | (542,002)             | (445,430)             | (388,785)             | (376,923)             |
| Increase in Family Takaful (Long Term Insurance) Fund | (445,854)             | (285,948)             | (184,031)             | (140,186)             |
| Profit/(Loss) Before Taxation                         | 50,319                | 54,091                | 9,559                 | (34,712)              |

| 31.12.2019<br>Rs.'000 | 31.12.2018<br>Rs.'000 | 31.12.2017<br>Rs.'000 | 31.12.2016<br>Rs.'000 | 31.12.2015<br>Rs.'000 | 31.12.2014<br>Rs.'000 |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 4,275,776             | 4,213,900             | 3,640,635             | 3,406,904             | 3,237,609             | 2,652,008             |
|                       |                       |                       | -                     | -                     |                       |
| 3,292,601             | 3,224,809             | 2,662,652             | 2,548,797             | 2,511,374             | 2,081,401             |
| 579,351               | 486,893               | 452,831               | 373,319               | 240,612               | 302,752               |
| (2,244,905)           | (1,930,906)           | (1,479,674)           | (1,438,346)           | (1,337,090)           | (895,861)             |
| (258,814)             | (260,413)             | (202,356)             | (238,515)             | (226,904)             | (187,263)             |
| (1,492,769)           | (1,424,141)           | (1,223,014)           | (1,084,447)           | (976,552)             | (867,768)             |
| (27,284)              | 36,961                | (40,536)              | (301,048)             | (482,827)             | (346,831)             |
| (151,819)             | 133,203               | 169,904               | (140,239)             | (271,387)             | 86,429                |
| (125,351)             | (29,012)              | (14,900)              | (5,919)               | (9,113)               | 16,582                |
| (277,170)             | 104,191               | 155,004               | (146,158)             | (280,500)             | 103,011               |
| (1.87)                | 0.33                  | 0.08                  | (0.09)                | (0.18)                | 0.07                  |

| 31.12.2019<br>Rs.'000 | 31.12.2018<br>Rs.'000 | 31.12.2017<br>Rs.'000 | 31.12.2016<br>Rs.'000 | 31.12.2015<br>Rs.'000 | 31.12.2014<br>Rs.'000 |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 3,424,483             | 3,385,952             | 2,848,461             | 2,586,178             | 2,309,315             | 1,972,979             |
| 2,472,088             | 2,418,344             | 1,897,617             | 1,742,740             | 1,603,309             | 1,416,151             |
| 259,125               | 275,669               | 183,763               | 150,530               | 110,409               | 165,763               |
| (1,653,010)           | (1,387,459)           | (1,050,282)           | (1,118,164)           | (1,129,518)           | (734,623)             |
| (140,916)             | (154,588)             | (105,094)             | (130,278)             | (129,582)             | (113,552)             |
| (1,065,189)           | (956,187)             | (800,711)             | (820,759)             | (744,069)             | (647,310)             |
| (127,902)             | 195,778               | 125,294               | (175,931)             | (289,451)             | 86,429                |

| 31.12.2019<br>Rs.'000 | 31.12.2018<br>Rs.'000 | 31.12.2017<br>Rs.'000 | 31.12.2016<br>Rs.'000 | 31.12.2015<br>Rs.'000 | 31.12.2014<br>Rs.'000 |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 851,293               | 827,948               | 792,174               | 820,726               | 928,294               | 679,029               |
| 820,513               | 806,465               | 765,036               | 806,057               | 908,064               | 665,250               |
| 320,226               | 211,224               | 269,068               | 222,789               | 130,203               | 136,988               |
| (591,895)             | (543,446)             | (423,475)             | (320,181)             | (207,572)             | (161,238)             |
| (117,898)             | (105,825)             | (97,198)              | (108,237)             | (97,322)              | (73,711)              |
| (427,580)             | (467,954)             | (422,303)             | (263,688)             | (232,484)             | (220,458)             |
| (27,284)              | 36,961                | (40,536)              | (301,048)             | (482,827)             | (346,831)             |
| (23,917)              | (62,574)              | 50,592                | 35,691                | 18,064                | -                     |

## TEN YEAR SUMMARY

## GROUP

| Statement of Financial Position as at                        | 31.12.2023<br>Rs.'000 | 31.12.2022<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2020<br>Rs.'000 |
|--------------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| <b>Assets</b>                                                |                       |                       |                       |                       |
| Financial Assets                                             | 8,844,858             | 7,056,733             | 3,934,918             | 3,177,241             |
| Investment Property                                          | 151,000               | 150,550               | 196,100               | 194,000               |
| Financial Assets - Unit Linked                               | 3,037,272             | 2,425,247             | 2,121,645             | 1,907,620             |
| Intangible Assets                                            | 188,680               | 174,990               | 120,835               | 109,312               |
| Property, Plant and Equipment                                | 133,643               | 90,586                | 88,131                | 68,651                |
| Cash and Banks & Other Assets                                | 3,318,203             | 2,793,465             | 2,096,379             | 1,651,815             |
| Cash and Bank Balances - Unit Linked                         | 11,338                | 15,841                | 9,583                 | 2,244                 |
| Total Assets                                                 | 15,684,994            | 12,707,411            | 8,567,591             | 7,110,883             |
| <b>Liabilities</b>                                           |                       |                       |                       |                       |
| Insurance Control Liabilities - Non-Life                     | 3,831,303             | 2,555,353             | 1,636,433             | 1,260,984             |
| Insurance Control Liabilities - Family Takaful Fund          | 304,351               | 356,693               | 397,381               | 445,782               |
| Insurance Control Liabilities - Family Takaful - Unit Linked | 2,970,344             | 2,473,580             | 2,149,698             | 1,913,107             |
| Subordinated Debt                                            | 286,000               | 413,765               | 379,157               | 214,528               |
| Other Liabilities                                            | 2,933,544             | 2,559,148             | 1,534,066             | 1,106,357             |
| Other Liabilities - Unit Linked                              | 186,254               | 118,930               | 80,208                | 74,379                |
| Total liabilities                                            | 10,511,796            | 8,477,469             | 6,176,943             | 5,015,136             |
| <b>Shareholders' Equity</b>                                  |                       |                       |                       |                       |
| <b>Equity Attributable to Equity Holders of the Parent</b>   |                       |                       |                       |                       |
| Stated Capital                                               | 1,966,339             | 1,860,001             | 1,860,001             | 1,860,001             |
| Other Reserves                                               | 681,971               | 882,594               | 214,964               | 153,197               |
| Revenue Reserves                                             | 658,415               | 50,080                | (361,635)             | (487,950)             |
|                                                              | 3,306,725             | 2,792,675             | 1,713,331             | 1,525,248             |
| Non-Controlling Interest                                     | 1,866,473             | 1,437,268             | 677,319               | 570,499               |
| Total Equity                                                 | 5,173,199             | 4,229,942             | 2,390,649             | 2,095,747             |
| Total Equity and Liabilities                                 | 15,684,994            | 12,707,411            | 8,567,592             | 7,110,883             |

| 31.12.2019<br>Rs.'000 | 31.12.2018<br>Rs.'000 | 31.12.2017<br>Rs.'000 | 31.12.2016<br>Rs.'000 | 31.12.2015<br>Rs.'000 | 31.12.2014<br>Rs.'000 |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 2,831,688             | 2,835,181             | 2,727,923             | 2,305,095             | 2,448,385             | 1,754,470             |
| 194,000               | 220,429               | 79,925                | 78,500                | 73,500                | 101,800               |
| 1,716,210             | 1,621,208             | 1,526,679             | 1,441,276             | 1,054,183             | 603,171               |
| 114,455               | 86,943                | 31,812                | 36,658                | 24,703                | 24,159                |
| 86,386                | 96,024                | 76,726                | 101,870               | 123,231               | 127,570               |
| 1,652,759             | 1,722,151             | 1,485,573             | 1,450,105             | 937,383               | 1,000,999             |
| 38,198                | 8,155                 | 7,370                 | 104,248               | 84,611                | 130,239               |
| 6,633,695             | 6,590,091             | 5,936,008             | 5,517,752             | 4,745,995             | 3,742,407             |
| 1,070,778             | 1,394,787             | 1,015,130             | 917,870               | 742,618               | 625,154               |
| 471,280               | 534,967               | 580,710               | 559,914               | 574,711               | 551,211               |
| 1,747,560             | 1,660,124             | 1,525,136             | 1,504,145             | 1,191,795             | 730,799               |
| 226,250               | 46,600                | -                     |                       |                       |                       |
| 1,241,471             | 925,210               | 992,898               | 845,154               | 687,939               | 443,988               |
| 50,987                | 51,286                | 51,845                | 50,316                | 39,437                | 20,116                |
| 4,808,326             | 4,612,974             | 4,165,719             | 3,877,398             | 3,236,500             | 2,371,268             |
| 1,860,001             | 1,860,001             | 1,860,001             | 1,860,001             | 1,650,001             | 1,250,001             |
| 141,525               | 140,956               | 83,090                | 85,869                | 80,105                | 65,949                |
| (637,893)             | (377,686)             | (455,559)             | (567,430)             | (426,506)             | (121,500)             |
| 1,363,633             | 1,623,271             | 1,487,533             | 1,378,441             | 1,303,601             | 1,194,450             |
| 461,737               | 353,846               | 282,755               | 261,913               | 205,894               | 176,689               |
| 1,825,370             | 1,977,117             | 1,770,288             | 1,640,354             | 1,509,494             | 1,371,139             |
| 6,633,695             | 6,590,091             | 5,936,007             | 5,517,752             | 4,745,995             | 3,742,407             |

## TEN YEAR SUMMARY

## AMANA TAKAFUL LIFE PLC/LONG TERM (FAMILY TAKAFUL) INSURANCE BUSINESS

| Statement of Financial Position as at                         | 31.12.2021<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2021<br>Rs.'000 | 31.12.2020<br>Rs.'000 |
|---------------------------------------------------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| <b>Assets</b>                                                 |                       |                       |                       |                       |
| Financial Assets                                              | 924,185               | 1,052,176             | 881,849               | 857,600               |
| Investment Property                                           | 151,000               | 150,550               | 147,500               | 147,500               |
| Financial Assets - Unit Linked                                | 3,037,272             | 2,425,247             | 2,121,645             | 1,907,730             |
| Intangible Assets                                             | 19,049                | 20,456                | 17,420                | 18,363                |
| Property, Plant and Equipment                                 | 19,374                | 21,318                | 25,769                | 15,347                |
| Right Of Use Asset                                            | 12,391                | 11,954                | 13,251                | 19,839                |
| Cash and Banks & Other Assets                                 | 165,032               | 123,198               | 133,236               | 123,744               |
| Cash and Bank Balances - Unit Linked                          | 11,338                | 15,841                | 9,583                 | 2,244                 |
| Total Assets                                                  | 4,339,642             | 3,820,740             | 3,350,253             | 3,092,367             |
| <b>Liabilities</b>                                            |                       |                       |                       |                       |
| Insurance Contract Liabilities - Family Takaful Fund          | 304,351               | 356,693               | 397,381               | 446,995               |
| Insurance Contract Liabilities - Family Takaful - Unit Linked | 2,970,344             | 2,473,580             | 2,149,698             | 1,913,217             |
| Subordinated Debt                                             | 108,532               | 122,612               | 88,005                | 81,417                |
| Other Liabilities                                             | 159,653               | 205,109               | 151,205               | 115,968               |
| Other Liabilities - Unit Linked                               | 186,254               | 118,930               | 80,208                | 74,379                |
| Total Liabilities                                             | 3,729,134             | 3,276,925             | 2,866,497             | 2,631,976             |
| <b>Shareholders' Equity</b>                                   |                       |                       |                       |                       |
| <b>Equity Attributable to Equity Holders of the Parent</b>    |                       |                       |                       |                       |
| Stated Capital                                                | 500,000               | 500,000               | 500,000               | 500,000               |
| Other Reserves                                                | 47,043                | 31,489                | 26,398                | 11,545                |
| Revenue Reserves                                              | 63,464                | 12,326                | (42,641)              | (51,154)              |
| Total Equity                                                  | 610,507               | 543,815               | 483,757               | 460,391               |
| Total Equity and Liabilities                                  | 4,339,642             | 3,820,740             | 3,350,253             | 3,092,367             |

| 31.12.2019<br>Rs.'ooo | 31.12.2018<br>Rs.'ooo | 31.12.2017<br>Rs.'ooo | 31.12.2016<br>Rs.'ooo | 31.12.2015<br>Rs.'ooo | 31.12.2014<br>Rs.'ooo |
|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| 816,350               | 875,165               | 1,040,576             | 1,018,398             | 1,089,313             | 590,099               |
| 147,500               | 144,929               | -                     | -                     | -                     | 43,683                |
| 1,716,210             | 1,621,208             | 1,526,679             | 1,441,276             | 1,054,183             | 603,171               |
| 19,659                | 20,955                | 22,250                | 23,549                | 18,408                | -                     |
| 20,110                | 28,704                | 21,165                | 17,467                | 14,932                | -                     |
| 16,064                | -                     | -                     | -                     | -                     | -                     |
| 150,398               | 178,459               | 191,588               | 102,661               | 84,611                | 64,612                |
| 38,198                | 8,155                 | 7,370                 | 104,248               | 142,504               | 130,239               |
| 2,924,488             | 2,877,575             | 2,809,627             | 2,707,599             | 2,403,951             | 1,431,804             |
| 471,280               | 534,967               | 580,710               | 559,914               | 574,711               | 551,211               |
| 1,747,560             | 1,660,124             | 1,525,136             | 1,504,145             | 1,191,795             | 730,799               |
| 81,417                | 32,051                | -                     | -                     | -                     | -                     |
| 85,392                | 83,420                | 78,149                | 69,708                | 82,414                | 129,678               |
| 50,987                | 51,286                | 51,845                | 50,316                | 39,437                | 20,116                |
| 2,436,635             | 2,361,849             | 2,235,839             | 2,184,082             | 1,888,357             | 1,431,804             |
| 500,000               | 500,000               | 500,000               | 500,000               | 500,000               | -                     |
| 6,710                 | 3,431                 | (1,545)               | (2,669)               | 2,169                 | -                     |
| (18,857)              | 12,295                | 75,333                | 26,186                | 13,424                | -                     |
| 487,853               | 515,726               | 573,788               | 523,517               | 515,594               | -                     |
| 2,924,488             | 2,877,575             | 2,809,627             | 2,707,599             | 2,403,951             | 1,431,804             |

# GEOGRAPHY LOCATIONS

## Akkaraipattu

Main Street, Akkaraipattu 02  
067 7501104 / 1100

## Akurana

207/B, Matale Road, Akurana  
081 7501150 / 1151

## Ambalantota

106/B/1, Main Street, Ambalantota  
047 7389010

## Anuradhapura

521/22, Maithripala Senanayake Mawatha  
Anuradhapura.  
025 7501102 / 1103

## Bandarawela

572 1/2, Badulla Road, Bandarawela.  
057 7501000

## Batticaloa

32, Bar Road, Batticaloa  
065 7501103

## Beruwela

201 B - 2/1, 1st Floor Galle Road, Beruwela.  
034 7501138

## Dehiwela

142, Galle Road, Dehiwela.  
011 7501204 / 1275

## Galle

41, Sri Devamiththa Mawatha, Galle.  
091 7501127 / 1128

## Gampola

134 A, 1st Floor, Kandy Road, Gampola.  
081 7501105

## Head Office

660-1/1, Galle Road, Colombo-03  
0117 501000

## Jaffna

249, Power House Road, now  
C.Ponnambalam Road, Jaffna  
021 7501103 / 1100

## Kaduruwela

379 A, Main Street, Kaduruwela.  
027 7501120

## Kalmunai

32, Main Street, Kalmunai.  
067 7501120 / 1116

## Kalutara South

558A/2, Galle Road, Kalutara South  
034 7501135 / 1132

## Kandy

310, 1/2, Katugastota Road, Kandy.  
081 7501121

## Kurunegala

7, South Circular Road, Kurunegala.  
037 7501120 / 1125

## Mannar

Pallimunai, Mannar.  
023 7501200

## Matale

95/1/1, Dharmapala Mawatha, Matale.  
066 7501103 / 1101

## Matara

36/1, 1st floor, St. Thomas Mawatha,  
Matara.  
041 7501130 / 1133

## Mawanella

207, New Kandy Road, Mawanella.  
035 7501107 / 1108

## Monaragala

240 Wellavaya, Monaragala.  
055 7501101

## Negombo

No: 139/A, St. Joseph Street, Negombo.  
031 7501121

## Nuwara Eliya

72-1/2, Park Road, Nuwara Eliya.  
052 7501001

## Oddamavadi

Main Road, Oddamavadi.  
065 7501000

## Pannipitiya

318/A1, High Level Road, Mahalwarawa,  
Pannipitiya  
011 7500432

## Pettah

51 and 53, Bankshall Street, Colombo-11.  
011 7501212 / 1307

## Puttalam

126, Mannar Road, Puttalam  
032 7501123 / 1129

## Rathnapura

310/1, 1st Floor, Main Road, Kudukalwatta,  
Rathnapura.  
045 7501100 / 1105

## Thihariya

No. 539/B/5, Gemunu Mawatha,  
Malwattwaa, Nittambuwa  
033 7501100

## Trincomalee

319/2, Court Road, Trincomalee.  
026 7501100

## Vavuniya

9/60, First Cross Street, Vavuniya.  
024 7501100



# GLOSSARY OF FINANCIAL TERMS

## ACQUISITION EXPENSES – GENERAL TAKAFUL (INSURANCE)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

## ACQUISITION EXPENSES – FAMILY TAKAFUL (LIFE)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

## ACTUARY

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

## CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

## CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

## CLAIMS INCURRED BUT NOT REPORTED (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

## CLAIM OUTSTANDING – GENERAL TAKAFUL (INSURANCE) BUSINESS

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

## COMMISSIONS

A payment made to intermediaries in return for selling and servicing an insurer's products.

## EARNED PREMIUM

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

## GENERAL INSURANCE BUSINESS (GENERAL TAKAFUL)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

## INSURANCE PROVISION – FAMILY TAKAFUL (LONG TERM)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

## INSURANCE PROVISION – GENERAL TAKAFUL (INSURANCE)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

## LIFE INSURANCE BUSINESS (FAMILY TAKAFUL)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

## MUDHARABA

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

## GLOSSARY OF FINANCIAL TERMS

### NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

### PREMIUM (CONTRIBUTION)

The consideration payable by the insured for an insurance contract.

### RETAKAFUL (REINSURANCE)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

### RISK-BASED CAPITAL

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

### SHARI'AH

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

### SHARI'AH ADVISORY COUNCIL (SAC)

This comprises of Shari'ah Scholars or/and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

### SOLVENCY MARGIN – FAMILY TAKAFUL (LIFE)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

### SOLVENCY MARGIN – GENERAL TAKAFUL (INSURANCE)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

### SURRENDER

The act of cancelling of an insurance contract before it reaches its date of maturity.

### TAKAFUL

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

### UNDERWRITING

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

### UNEARNED PREMIUM/UNEARNED PREMIUM RESERVE

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

### WRITTEN PREMIUM

Total premium received or due from all insurance contracts during a period.

# NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 25th Annual General Meeting of Amana Takaful PLC will be held on 25th June 2024 at 10.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. Receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2023 and the Report of the Auditors thereon.
2. Re-elect the following Directors by Rotation in terms of Article 82 of Articles of Association of the Company
  - a. Mr. Thilan Manjith Wijesinghe.
  - b. Mr. Syed Rizwan Hussain.
3. Re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize the Directors to determine their remuneration.

By Order of the Board,  
AMANA TAKAFUL PLC



MANAGERS & SECRETARIES (PRIVATE) LTD.  
Secretaries  
15 May 2024  
Colombo

## Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.



# FORM OF PROXY

I/We the undersigned ..... bearing NIC No. ....  
 of .....  
 ..... being a member/members of Amana Takaful PLC, hereby appoint

- Full name of proxy - .....
- NIC of Proxy - .....
- Address of Proxy - .....
- Contact Numbers - Land ..... Mobile .....  
 Email address .....

|                          |                            |
|--------------------------|----------------------------|
| Failing him              |                            |
| Mr. M. Z. M. Ghouse      | of Colombo or failing him  |
| Ms. E. D. Wickramasuriya | of Colombo or failing her  |
| Mr. M. H. S. Kassim      | of Colombo or failing him  |
| Mr. S. R. Hussain        | of Pakistan or failing him |
| Mr. T. M. Wijesinghe     | of Colombo or failing him  |
| Mr. P. S. Weerasekera    | of Colombo or failing him  |
| Mr. A. O. Kassim         | of Colombo                 |

as my/our proxy to represent me/us and \* to vote for me/us on my/our behalf at the Annual General Meeting to be held on 25th June 2024 at 10.00 a.m. via Audio/Video (Virtual AGM) and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

| Ordinary Resolution                                                                                                                                                | For                      | Against                  | Abstained                |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|--------------------------|
| 1. Re-election of Directors                                                                                                                                        | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| (i) Mr. Thilan Manjith Wijesinghe as a Director of the Company.                                                                                                    | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| (ii) Mr. Syed Rizwan Hussain as a Director of the Company.                                                                                                         | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |
| 2. Re-appointment of the retiring Auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorize Directors to determine their remuneration. | <input type="checkbox"/> | <input type="checkbox"/> | <input type="checkbox"/> |

As witness my/our hands this ..... day of ..... 2024

.....  
 Signature

## FORM OF PROXY

### INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

# CORPORATE INFORMATION

## NAME OF THE COMPANY

Amana Takaful PLC

## LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

## COMPANY REGISTRATION NUMBER

PQ 23

## TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

## STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'

## DIRECTORS

M. Z. M. Ghouse – Chairman  
M. H. S. Kassim – Managing Director  
E. D. Wickramasuriya  
S. Rizwan Hussain  
T. M. Wijesinghe  
A. O. Kassim  
P. S. Weerasekera

## SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe – Chairman  
Mufti Shafique Ahmed Jakhura - Member  
Ash-Sheikh M. Murshid – Secretary  
Ash-Sheikh Huzaifal Hussain

## CHIEF EXECUTIVE OFFICER –

### Amana Takaful PLC

Ahamed Shehan Feisal – Resigned w.e.f.31st March 2024  
Siva Karthigun – Appointed w.e.f 1st of April 2024

### Amana Takaful Life PLC

Gehan Shivantha Rajapakse

### Amana Takaful (Maldives) PLC

Hareez Sulaiman

## REGISTERED OFFICE

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

## SUBSIDIARIES

### Amana Takaful Life PLC

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

### Amana Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

### Amana Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male, Republic of Maldives

## AUDITORS

Messrs Ernst & Young  
Chartered Accountants

## CONSULTANT ACTUARIES –

General Insurance  
Actsure Lab (Pvt) Ltd.  
No. 11/2, 1st Lane Pagoda Road,  
Nugegoda, Sri Lanka.

## CONSULTANT ACTUARIES –

Long-Term Insurance  
Actuarial Partners Consulting Sdn Bhd Suite 17.02, Kenanga  
International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia

## REINSURANCE PANEL

Swiss Reinsurance Company Ltd  
Labuan Reinsurance (L) Ltd, Labuan, Malaysia  
Ocean Re  
Asian Re  
GIC Retakaful  
Tunis Re  
Hannover Re  
Munich Re  
Score Re

## SECRETARIES

Managers & Secretaries (Pvt) Ltd.

## PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/NDB Bank/  
Bank of Ceylon/Commercial Bank/Sampath Bank/HNB/Nations Trust  
Bank/Seylan Bank/ MCB Bank

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